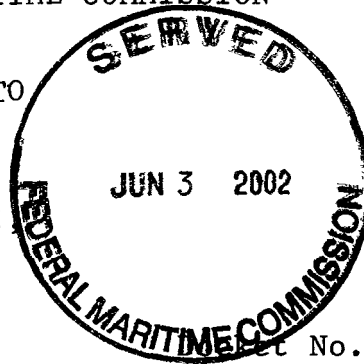


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BEFORE THE
FEDERAL MARITIME COMMISSION

ODYSSEA STEVEDORING OF PUERTO
RICO, INC.,
Pier Number 9
Post Office BOX 9023895
San Juan, Puerto Rico 00902



Complainant,

v.

PUERTO RICO PORT AUTHORITY
Isla Grande, San Juan
post Office BOX 362829
San Juan, Puerto Rico 00936-2829,

Respondent.

COMPLAINT AND PETITION FOR
CEASE AND DESIST ORDER

RECEIVED
FEDERAL MARITIME COMMISSION
JUN 5/31/02

#2673 184⁰⁰
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COMES NOW, Complainant, Odyssea Stevedoring Of Puerto Rico, Inc. (hereinafter referred to as "Complainant" or as "Odyssea Stevedoring") by and through its counsel, and submits this its Complaint and Petition For Cease and Desist Order as to Respondent Puerto Rico Port Authority (hereinafter referred to as "Respondent" or as "PRPA").

This Complaint and Petition is submitted to this Commission pursuant to the provisions of section 11(a) (46 App.U.S.C. §§ 1712(a)) of the Shipping Act of 1984. Complainant hereinafter alleges as follows:

- 1) Complainant conducts business as a Stevedore and Marine Terminal Operator, as well as carrier agent, at the Port of San Juan, Puerto Rico.
- 2) Respondent, at all times material to this Complaint,

held itself out as and conducted business as a Marine Terminal Operator as defined under section 3(14) of the Shipping Act of 1984.

3) Complainant, from at least July 1996 to April 13, 2000 conducted its operations as a stevedore and marine terminal operator under a lease agreement with Respondent identified as agreement "AP-96-97-(4)-137" dated September 27, 1996 and superceded on July 16, 1997 by agreement "AP-97-98-(4)-030".

4) That Respondent, in June 1998, announced to the public that Respondent, in conjunction with the Government of the Commonwealth of Puerto Rico, was planning to revitalize, reconstruct and undertake a modernization of the Port of San Juan, Puerto Rico.

5) That Respondent, in June 1998, in conjunction with the Government of the Commonwealth of Puerto Rico, identified the reconstruction plan for the Port of San Juan as the "Golden Triangle" project.

6) That Complainant was subsequently contacted by representatives of Respondent and advised the piers, including piers 8,9 and 10, used by Complainant would be demolished at some future point in time.

7) That Complainant and Respondent engaged in a series of meetings from June 1999 through April of 2000 during which Respondent represented to Complainant that, in accordance with the terms of the agreements identified in paragraph 3) above, Respondent

7) CONTINUED.

would relocate Complainant and its operations to facilities that were equal to and in a like condition for usage as those used by Complainant at piers 8, 9 and 10.

8) That Complainant, during the course of these meetings, did express a request for consistent amounts of office and warehouse space, for access to facilities, and for a five (5) year contract authorizing Complainant the preferential usage of the facilities to be provided. Correspondence confirming this request is attached hereto and identified as Exhibit No. 1.

9) Respondent, on April 13, 2000, sent representatives to the offices of Complainant at pier 9, and announced that the pier 9 facilities were being demolished effective immediately.

10) Respondent, on April 13, 2000, without any prior notice to Complainant, commenced and did in fact demolish the facilities used by Complainant to conduct its business and operations.

11) Respondent, contemporaneous with the commencement of demolition of the premises at pier 9, presented Complainant with a new lease agreement relocating Complainant to premises at piers 15 and 16 of the Port of San Juan.

12) Complainant, being presented with the option of being put out of business, and under objection and duress, did execute Port Authority agreement "AP-99-00(4)-074" effective April 13, 2000. Attached hereto and identified as Exhibit No. 2 and 2-A is a copy of that agreement with translation.

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13) That Complainant is the terminal operator, agent and stevedore for a vessel operating ocean common carrier known as Odyssey Shipping **Line, LLC** of Mobile, Alabama.

14) That Odyssey Shipping Line, LLC operates an integrated tug barge vessel and transports substantial breakbulk cargoes from points in the United States to Puerto Rico.

15) That from at least November 25, 1998, Complainant has requested that Respondent provide and enter into preferential use arrangements including preferential use of warehouse space, open areas and berthing for vessels.

16) That Complainant is also the marine terminal operator, agent and stevedore for vessel operating ocean common carriers conducting operations in the United States foreign trades.

17) That from at least November 25, 1998 through February 19, 2002, Complainant has made requests to Respondent that Respondent provide and enter into preferential use arrangements including preferential use of warehouse space, open areas and berthing of vessels to handle the business of these carriers. Attached hereto and identified as Exhibits 3-A through 3-J are copies of requests and correspondence between Complainant and Respondent documenting these requests.

18) That on June 29, 2000 Complainant met with representatives of Respondent and was again specifically informed that Respondent would not grant preferential use to any company of any facilities, including preferential use of Berths 15 and 16. Attached hereto and identified as Exhibit No. 4 is a copy of correspondence confirming that meeting and the representations.

19) That Respondent, on or about October 18, 2000, in direct contravention of its representations to Complainant, did in fact provide and enter into a preferential berthing agreement, number "AP-00-10-(4)-022", with another party. A copy of the translation of that agreement is attached hereto and identified as Exhibit No. 5.

20) That Respondent, on or about 22 February 2002, in direct contravention of its representations to Complainant, did in fact provide and enter into a preferential and exclusive warehousing and open space agreement number "AP-01-02-(4)-079" with another party. A copy of that agreement is attached hereto and identified as Exhibit No. 6 and 6-A(translation).

21) That, on April 30, 2001 Respondent represented to Complainant that it was the policy of Respondent "not to grant preferential areas". A copy of Respondent's written correspondence to Complainant is attached hereto and identified as Exhibit No. 7 and 7-A(translation).

22) That the beneficiary of agreement number AP-01-02-(4)-079 is Island Stevedoring, Inc. and is a competitor of Complainant.

23) That Island Stevedoring, Inc. also conduct business as agent and stevedore for Puerto Rico Lines, Inc. and HUAL, AS.

24) That the beneficiary of agreement number AP-00-01-(4)-022 is HUAL, AS.

25) That Complainant and Odyssey Shipping Line, LLC have the ability, capacity, and operations to meet all of the terms and

conditions contained in the agreements between Respondent and Island Stevedoring, Inc. and HUAL, AS.

COUNT NO. 1

26) The averments of paragraphs 1 through 25 above are incorporated herein as if set forth in full.

27) That Respondent, in direct violation of sections 10(d)(1), 10(d)(2) and 10(d)(4), has failed to observe and enforce just and reasonable regulations and practices in negotiating and entering into terminal leases and agreements, including preferential use, berthing and warehousing agreements.

28) That as a direct and proximate result, Complainant has been damaged in an amount to be determined after hearing before this Commission.

COUNT NO. 2

29) The averments of paragraphs 1 through 28 above are incorporated herein as if set forth in full.

30) That Respondent, in direct violation of sections 10(d)(1), 10(d)(2) and 10(d)(4) has, through its actions refused to deal with Complainant and with Odyssea Shipping Line, LLC with regard to entering into terminal leases and agreements, including preferential use, berthing and warehousing agreements.

31) That as a direct and proximate result, Complainant has been damaged in an amount to be determined after hearing before this Commission.

COUNT NO. 3

32) The averments of paragraphs 1 through 31 above are incorporated herein as if set forth in full.

33) That Respondent, in direct violation of sections 10(d)(1), 10(d)(2) and 10(d)(4), has discriminated against Complainant and Odyssea Shipping Line, LLC with regard to entering into terminal leases and agreements, including preferential use, berthing and warehousing agreements.

34) That upon information and belief, Respondent has discriminated against Complainant and Odyssea Shipping Line, LLC with the express purpose of diverting customers and business from Complainant and Odyssea Shipping Line, LLC to other carriers which will then be required to use the services of Island Stevedoring, Inc. and Puerto Rico Line in order to handle the involved breakbulk cargoes in both the United States foreign as well as domestic trades.

35) That as a direct and proximate result, Complainant has been damaged through the loss of business, lost profits, and exposure to greater risk of loss and damage claims in an amount to be determined after hearing before this Commission.

COUNT NO. 4

36) The averments of paragraphs 1 through 35 above are incorporated herein as if set forth in full.

37) That Respondent, in direct violation of sections 10(d)(1), 10(d)(2) and 10(d)(4), has engaged in a pattern of misrepresentation and deceit regarding the availability of preferential use agreements, including berthing, warehousing and open spaces,

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and terminal facilities agreements.

38) That Complainant, in direct reliance upon Respondent's misrepresentations, did conduct business under and pursuant to Respondent's generally applicable terminal tariff.

39) That as a direct and proximate result of Respondent's deceit and misrepresentation, Complainant paid over to Respondents rates and charges which were greater than that which would have been incurred by Complainant had Respondent provided to Complainant the sought exclusive and preferential use agreements, including berthing, warehousing and open space agreements.

40) That as a direct and proximate result of Complainant's disadvantage on both a cost of service and availability of facilities basis, Complainant lost customers and business which it would have otherwise had and maintained.

41) That as a direct and proximate result, Complainant has been damaged, in addition to that stated in paragraph 39 above, in an amount to be determined after hearing before this Commission.

CEASE AND DESIST ORDER

42) The averments of paragraphs 1 through 41 above are incorporated herein as if set forth in full.

43) That Respondent is in continuing violation of sections 10(d)(1), 10(d)(2) and 10(d)(4) in that Respondent has in force and effect discriminatory and preferential agreements for the facilities located at the Port of San Juan, Puerto Rico.

44) That Respondent, with the intent to limit and restrict the competition for stevedoring and breakbulk services in the Puerto Rico trades, did remove, demolish and destroy over 500,000 square feet of warehouse and terminal facilities space in the Port of San Juan.

45) That Respondent, with the intent to limit and restrict the competition for stevedoring and breakbulk services in the Puerto Rico trades did enter into and or maintain terminal facilities agreements, including preferential use and berthing agreements, for favored parties, including Island Stevedoring, Inc. and Puerto Rico Line that have enabled such parties to monopolize and control the limited remaining properties and facilities at the Port of San Juan.

46) That Complainant, by virtue of Respondent's actions, has been limited and otherwise excluded from competing for stevedoring and warehousing business due to the lack of sufficient available facilities.

47) Now therefore, in consideration of the above and foregoing, and ongoing violations of the provisions of sections 10(d)(1), 10(d)(3) and 10(d)(4) of the Shipping Act of 1984, appropriate remedial relief is requested.

48) That, in consideration of the above and foregoing, it is respectfully requested that Respondent be ordered to cease and desist from the ongoing violations; and that Respondent be ordered to re-apportion the remaining terminal facilities located at the Port of San Juan between the remaining

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stevedoring and marine terminal companies, including Complainant; and that Respondent be ordered to take such further and other actions as to afford preferential usage, including berthing, warehousing and open spaces, as the Commission establishes as necessary to restore competition in regard to stevedoring and breakbulk services in the Port of San Juan.

Prayer

Complainant, in furtherance of its claims as stated in Count numbers 1 through 4 above, hereby prays as follows:

That as to Count Numbers 1 through 4, the Commission set this matters for hearing and after hearing award Complainant damages in an amount to be determined by the Commission reflecting Complainant's lost business and profits; the amounts which Complainant has paid pursuant to Respondent's tariff which are in excess of the amounts which Complainant would have paid pursuant to the preferential use and exclusive use agreements between Respondent on the one hand, and HUAL, AS, Island Stevedoring, Inc. and Puerto Rico Line on the other; for enter of an appropriate cease and desist order as requested herein; and for such other and further relief as the Commission deems just and proper in the circumstances.



RICK A. RUDE, Esq.
Suite 103
207 Park Avenue
Falls Church, VA. 22046
(703) 536-3063
Counsel For Complainant

Dated

May 30, 2002

VERIFICATION

I, Julio Ortiz Mercado, of legal age, single, Vice President of Odyssea Stevedoring, Inc., and resident of Carolina, Puerto Rico, declare under oath:

1. That my personal circumstances are the above stated.
2. That I have read the Complaint and Petition for Cease and Desist Order and that the facts states therein, upon information and belief, are true as stated.
3. That I sign this statement freely and voluntarily.

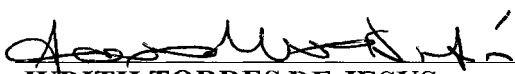
IN WITNESS WHEREOF, I sign the present Verification, in San Juan, Puerto Rico, this 21st day of May, 2002.



JULIO ORTIZ MERCADO

Affidavit #252

Sworn to and subscribed before me by **JULIO ORTIZ MERCADO**, of the personal circumstances above stated, personally known to me, in San Juan, Puerto Rico, this 21st day of May, 2002.



JUDITH TORRES DE JESUS
NOTARIO PUBLICO

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ODYSSEA STEVEDORING PUERTO RICO, INC.

Pier #9

San Juan, Puerto Rico

Tel. 7251065 / Fax. 7251035

November 25, 1998

Government of Puerto Rico
Ports Authority
Isla Grande, Puerto Rico

Attention: Mr. Hector Rivera
Executive Director

RE: Operations Berths #15 and #16

As indicated to us at our last meeting in your offices and in recent articles [appearing] in the press of the country, the efforts for the acquisition of the facilities of Berths #15 and #16 are well advanced.

As it is of general knowledge, Odyssey Stevedoring Puerto Rico, Inc., since our beginnings, have been operating from Berths #8, #9 and #10. We currently have projected a total volume of 250,000 metric tons of breakbulk for the end of the year 1998. For next year, we should have an increase between 40% and 50%, according to compromises already contracted and new services that will increase our total volume some 350,000/375,000 metric tons.

We have a great deal of concern as to the capacity of the facilities of Berths #15 and #16 to accommodate our cargo volume and the volume of the other companies that would also be relocated to this area. We hereby request to take into consideration that the space equivalent to the one we currently occupy would be the minimum we would need in the area of Berths #15 and #16. This would be approximately twelve (12) "cuerdas" of open land and a warehouse of 150,000 square feet.

We would appreciate to be referred to the officers in charge of this project so as to be available to assist on its development and appropriateness of spaces.

Appreciating your courtesy and support, receive our warmest regards.

(Signed) Julio Ortiz
vice President

ODYSSEA STEVEDORING OF PUERTO RICO, INC.

25 de noviembre de 1998

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Gobierno de Puerto Rico
Autoridad de los Puertos
Isla Grande, San Juan

Atención: Sr. Héctor Rivera
Director Ejecutivo

Re: Operaciones Muelles #15 y #16

Según se nos indicara en nuestra última reunión en sus oficinas y en recientes artículos en la prensa del país, las gestiones para la adquisición de las facilidades de los Muelles #15 y #16 se encuentran adelantadas.

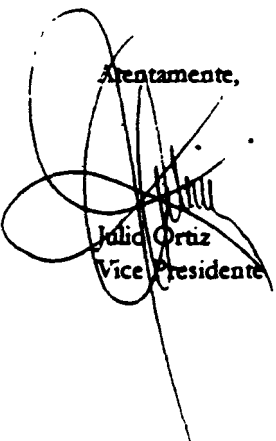
Como es de conocimiento general, Odyssea Stevedoring Puerto Rico Inc., desde nuestros comienzos hemos estado operando de los Muelles #8/#9/#10. Actualmente hemos proyectado para el final del año 1998 un volumen total de 250,000 toneladas métricas de carga general ("Breakbulk"). Para el año próximo debemos tener un aumento entre 40% y 50% según compromisos ya contraídos y nuevos servicios lo que aumentará nuestro volumen total unas 350,000/375,000 toneladas métricas.

Tenemos una gran preocupación en cuanto a la capacidad de las facilidades de los Muelles #15 y #16 para acomodar nuestro volumen de carga y el volumen de las otras Compañías que también se relocalizarán a esta área. Le solicitamos por este medio el que se tome en consideración que el espacio equivalente al que ocupamos actualmente sería el mínimo que necesitaríamos en el área de los Muelles #15 y #16. Esto sería aproximadamente doce (12) cuerdas de terreno abierto y un Almacén de 150,000 pies cuadrados.

Le agradeceremos que se nos refiera con los funcionarios a cargo de este proyecto de manera que podamos estar disponibles para asistir en todo lo referente a su desarrollo y aprovisionamiento de espacios.

Muy agradecidos por su gentileza y apoyo, reciba usted nuestro más cordial saludo.

Atentamente,


Julio Ortiz
Vice Presidente

MUELLE #9 SAN JUAN PUERTO RICO
TEL. 725-1065 FAX 725-1035

AGREEMENT

AP-99-00-(4)-074

In San Juan, Puerto Rico, this 13th day of April, 2000.

APPEARANCES

AS PARTY FOR THE FIRST PART: **THE PUERTO RICO PORTS AUTHORITY**, a public corporation and instrumentality of the Commonwealth of Puerto Rico, created by Act No. 125 of May 7, 1942, as amended, hereinafter referred to as "the Authority", represented by its Executive Director, Mr. Héctor R. Rivera, or any other officer authorized to act on his behalf.

AS PARTY FOR THE SECOND PART: **ODYSSEA STEVEDORING P. R., INC.**, hereinafter referred to as "the Lessee", represented by Mr. Julio Ortiz.

The appearing parties, free and spontaneously:

SET FORTH

The Authority is the owner of Pier 15, located in the Municipality of San Juan, of the Commonwealth of Puerto Rico, hereinafter referred to as "the property subject of this Agreement and other facilities".

The Lessee is engaged in the business of: **Shipping Agent of general cargo.**

CONDITIONS

ARTICLE 1. CONCESSION SUBJECT OF THIS AGREEMENT

The Authority leases to the Lessee, and the Lessee accepts to lease the area and the facilities designated and described in Exhibit No. 20-465, attachment that is made an integral part of this Agreement, which consists of: a warehouse space of 19,027.8383 square feet, and an office area of 4,477.0708 square feet, located in Pier Number 15 of Miramar, San Juan, Puerto Rico.

ARTICLE 2. TERM

A. The term of this Agreement shall be of five (5) years, commencing on the date of its execution by the Executive Director.

B. Notwithstanding the provisions of paragraph "A" above, or any other provision of this Agreement, the Authority may cancel and terminate this Agreement, as provided below.

C. In the event that the Lessee continues occupying the property subject of this Agreement after its termination by any reason, as agreed by the parties, it shall be understood that such occupation is on a month-to-month basis [and] the rent shall be paid with a month in advance, without altering the conditions herein agreed.

D. Should the Authority requires that the Lessee moves out and surrenders the facilities due to the termination of the Agreement, for any cause, and the Lessee does not move out from the facilities, then the Lessee shall be obligated to pay to the Ports Authority a penalty of \$676.24 (10% of the established monthly rate) for each day

following the date of the notification to move out, in addition to a sum equal to the monthly rent established in the Agreement, as compensation for the use and occupation of the facilities. The compliance by the Lessee with this stipulation shall not prevent the Authority from taking the corresponding legal action to force the Lessee to surrender the facilities, nor shall it be interpreted as if the Agreement has been renewed or amended. The Lessee is obligated to pay the costs and attorney's fees, in the event the Authority files an action for eviction, collection of money, tort, or any other action for breach by the Lessee of the obligations established in this Agreement.

ARTICLE 3. USE OF THE PROPERTY SUBJECT OF THIS AGREEMENT

The Lessee shall have the right to use the leased property during the period agreed, for the following purposes, solely and exclusively: **office and warehouse of general cargo.**

ARTICLE 4. RELOCATION OF THE LESSEE

The Authority reserves the right, during the term of this Agreement, if possible, to assign to the Lessee another location in the same area contracted, or at any other area or facilities built to serve as such, with approximately the same capacity as the one hereby leased, under the condition that there shall be areas available; and, if not available, the Ports Authority is not obliged, and the Lessee has to surrender the leased area. The Lessee shall cover the costs of said relocation.

ARTICLE 5. RENT

A. The Lessee agrees to pay to the Authority, for the rights and privileges herein conferred, a monthly rent of \$6,762.31 (19,027.8383 square feet of warehouse at \$2.50 = \$47,569.60 ÷ 12 = \$3,964.14 + 4,477.0708 square feet of office space at \$7.50 = 33,578.04 ÷ 12 = \$2,798.17).

B. The Lessee agrees and accepts to pay, from the date of occupation or possession of the real property or facility subject of this Agreement, the additional rent billed by the Authority, in the event that the corresponding capacity or surface area results to be larger than the one specified initially in the Agreement. This additional rent shall be billed, retroactively, in proportion with the larger capacity or real area.

The monthly rent shall be paid in advance on or before the tenth day of each month, at the Central Offices of the Authority, or at any other place established by the Authority.

C. The Lessee shall install electricity and water meters, where feasible, within the next 90 days following the date of effectiveness of this Agreement. Likewise, the Lessee relieves the Authority from responsibility over any act and/or effort related with the installation and use of said facilities.

D. The Lessee shall pay promptly to the entities that provide or supplies any utility or service when the Authority does not provide these. Any installation of these utilities or services that is necessary for the operation of the Lessee shall be installed at its own cost. Any adjustment that is made related to the consumption of these utilities

and/or services shall be retroactive to the date on which the Agreement begins or to the date on which the tools that generate such consumptions are installed or removed.

E. It is understood that the rents established in this Agreement have been computed based on the rates of the rents contained in the applicable Resolutions, as promulgated, and that said rents are subject to readjustments according to the rates, fees, rents and other charges to be adopted from time to time, pursuant to the Resolutions and the rules of the Authority. The Lessee agrees to pay the rent readjusted as determined by the Authority, pursuant to the provisions of said resolutions and the law.

F. The Lessee shall pay a penalty of 35% of the gross income obtained from any operation at the leased property that has not been authorized by this or any other agreement, or by subleases not authorized. However, this clause shall not be understood as an authorization to perform activities not specifically authorized by this or any other agreement, and the collection of such penalty shall not constitute a resignation of the right that the Authority reserves to terminate the agreement due to said breach.

G. The term "gross income" shall mean any monies received or earned by the Lessee in the operations of the business to which this Agreement refers. When determining the gross income, any costs or expenses incurred by the Lessee that is related to said gross income shall not be discounted.

H. The Lessee shall maintain, during the term of this Agreement, accounting books and records, in accordance with the normal accounting practices accepted, in which any transaction at the leased property shall be noted, and said accounting books and records shall be maintained in the Municipality of San Juan at all times.

The Lessee is required to maintain an accounting system separated from any other businesses and records and accounting books operated by the Lessee at the facilities of the Authority or outside of them.

I. The Authority reserves the right to examine and audit all and each one of the records and accounting books maintained by the Lessee before the expiration of the Agreement and the return of the contractual bond. The notification of the examination and audit of the accounting books shall be in writing and with at least five (5) days prior to the commencement of the same.

J. The examination and audit of the records and accounting books shall be made during working hours and by the personnel of the Internal Auditors Office of the Authority, with the purpose of verifying that the operations are made according to applicable laws, procedures, regulations and agreements.

K. The records and accounting books of the Lessee's sub-contracts shall be subject to being audited whenever it is deemed convenient or necessary by the personnel of the Internal Auditors Office of the Ports Authority.

L. The Authority shall photocopy and/or in any other way obtain a duplicate, of all relevant and pertinent information to its investigation that is discovered through the examination of the books and documents previously authorized.

M. Any sum due and payable under this Agreement not paid by the Lessee within the grace period of ten (10) days from the first day of each month, shall accrue a 9% annual interest without the need to notify its breach, computed said interest from the first day of each month and until the total amount owed is satisfied by the Lessee.

ARTICLE 6. BOND

A. On the date of the execution of this Agreement, a Lease Bond in the amount of \$20,287.00 shall be delivered to the Authority by the Lessee, as guarantee for the payment of rents, charges and fees, and the true compliance of its obligations under this Agreement.

B. In the event that the Authority is not satisfied with the terms of the Lease Bond mentioned in the previous paragraph, the Authority shall refuse to accept it and shall require the amendments or changes that it deem appropriate.

ARTICLE 7. INDEMNIFICATION

The Lessee agrees to indemnify and hold harmless the Authority independently of a determination of negligence, of all liability, and assumes all legal obligation for any claim for damage to the property or personal injury, or any other nature, or by death, caused to any person, as a result of the operations of the Lessee in the property subject of this Agreement. The Lessee shall assume the defense of any judicial or administrative claim arising against the Authority for said damages, injuries or death, and shall pay any compensation or judgment granted.

In the event the Lessee does not comply with the provisions mentioned above, resulting this in the imposition of sanctions or penalties against the Authority, the Lessee is obliged to reimbursed to the Authority the total amount of the sanction or penalty imposed.

ARTICLE 8. INSURANCE POLICIES

A. The Lessee shall maintain in effect, during the term of this Agreement, general liability policies, to be issued by an insurance company acceptable to the Authority and authorized to do business in Puerto Rico that shall insure the Lessee against any liability for damages to the property and for personal injuries, including body injuries or death caused by the use and occupation by the Lessee of the property subject of this Agreement and its operations in any other facility of the Authority.

B. The limits of said general liability policy shall not be less than \$1,000,000.00 for personal injuries, including body injuries per person or death; \$1,000,000.00 for any occurrence affecting more than one person; and \$1,000,000.00 for damages to the property.

C. The general liability policy shall contain a fire endorsement not less than \$1,000,000.00 that shall include, under the general liability coverage and damages to the property, any damage to the structure herein leased to the Lessee by the Authority, or part of the same, including any real property permanently embedded to said structure, if said damage arises as the result of negligence by the Lessee, its employees or any other person acting under its direction. Said endorsement shall provide that any loss shall be paid to the Authority.

D. The general liability policy shall contain the following endorsement: The coverage of this policy shall not be amended with the purpose of decreasing the protection under the limits herein established, or under any other circumstance, nor it shall be cancelled without the previous notification, in writing, to the Authority, with

thirty (30) days in advance. In addition, the Authority shall be notified in writing, thirty (30) days in advance, in the event of expiration of the policy.

In addition, the general liability policy shall contain an endorsement of contractual liability including the Authority as additional insured, and also an endorsement of indemnification that shall read as Article 7 of this Agreement.

The general liability policy shall not contain any deductible, with the exception that the Lessee provides another policy covering the risk in the amount not covered by the deductible.

E. The Lessee shall maintain a Workmen's Compensation Insurance, according to a policy issued by the State Insurance Fund.

F. The Lessee also agrees that, no later than thirty (30) days prior to the expiration of any of the policies required by this Agreement, or any policies that the Lessee might have at the time of its issuance, it shall submit to the Authority a Certificate of Insurance, or a certified copy, of all the policies required by this Agreement.

G. Simultaneously with the execution of this Agreement, the Lessee shall provide to the Authority copy of the above-mentioned insurance policies.

H. In the event that the Lessee fails to comply with this obligation of maintaining in effect the required insurances and bonds through this Agreement, the Authority shall impose a penalty of \$1,000.00 monthly until it complies with this obligation.

I. In the event that the obligations about insurances and bonds stipulated in this Agreement are left uncovered, or should the Authority becomes obliged to incur in

expenses to cover the risks herein described, the Lessee shall be obliged to pay or reimburse to the Authority any expense or expenditure incurred as a result of said breach.

J. In the event that the Lessee does not submit the insurance policies within the term of thirty (30) days prior to its expiration, this shall be considered as a violation of the terms and conditions of the present Agreement. The Authority shall immediately proceed with the cancellation of the Agreement and at the same time shall file the corresponding eviction action, in addition to the payment of the penalty.

ARTICLE 9. REPAIRS AND ALTERATIONS

A. The Lessee has examined and knows the current condition and state of the repairs of the facilities subject of this Agreement and, likewise, agrees to the same and recognizes that the Authority has not agreed nor compromises to alter, improve, adopt or repair any of the facilities or of its parts during the term of this Agreement. The Lessee recognizes that the Authority has made no representation whatsoever about the conditions or current state of the property subject of this Agreement that has not been established herein.

B. The Authority reserves the right to make any repair or improvement to the leased property during the term of the Agreement, if it deems it proper and necessary.

C. The Lessee shall not establish any claim whatsoever for inconvenience, nuisance or adverse effect to its business by reason of repairs or substitutions in the property subject of this Agreement.

ARTICLE 10. ALTERATIONS AND SUBSTANTIAL OR STRUCTURAL IMPROVEMENTS

A. Authorization granted to the Lessee

The Lessee, with prior authorization in writing from the Authority, shall make alterations, additions or substantial or structural improvements to the property subject of this Agreement.

B. Title of the improvements at the termination of the Agreement

The property title of all the alterations, additions or substantial or structural improvements made and installed by the Lessee, shall be Lessee's, but as of the expiration of this Agreement, said property title shall be transferred to the Authority, without any cost for to the Authority and free of liens and encumbrances, providing that the Authority shall require from the Lessee to retire or demolish all or part of the alterations, additions or improvements, and to return the property subject of this Agreement to its original state with the exception of the deterioration due to normal wear and tear over which the Lessee does not have any control, and to force majeure. The Lessee is obliged to perform said retirement or demolishing acts within the period of fifteen (15) days following the written request of the Authority. Should the Lessee does not proceed pursuant to what has been prescribed, it shall be understood that the Lessee has abandoned said property to the Authority and the Authority shall have the right to dispose of the same in the manner that it deems advisable or convenient, and the costs shall be assumed by the Lessee.

ARTICLE 11. CANCELLATION CLAUSE

A. This Agreement shall be terminated at any time, by any of the parties, through written notification with thirty (30) days prior to the date of cancellation, resolution, annulment or termination.

B. In addition, any other remedy or right that the Authority may exercise under the provisions of this Agreement, the Authority may terminate this Agreement upon the occurrence of the following facts:

1. Abandonment of the property subject of this Agreement by the Lessee; or the liquidation of the assets of the Lessee.
2. The occupation or attachment by a third party under judicial mandate or confiscation of the assets of the Lessee located in the property subject of this Agreement, if such occupation, attachment or confiscation is not finalized within the fifteen (15) days following the date of its commencement.
3. Breach by the Lessee of any of its obligations, pacts or agreements under this contract, or breach by the Lessee of any other payment obligation of liquid or payable debt for any other concept, pact or agreement towards the Authority that is not covered under this Agreement, if such breach is not corrected within the fifteen (15) days following the date on which the Authority required it.

C. Upon the occurrence of the above-mentioned facts, the Authority shall take immediate possession of the property subject of this Agreement and the Lessee shall pay to the Authority as liquid damages, without the need of judicial action, a sum equal to the rent established by this Agreement, from the date on which the fact occurred until the date of the normal expiration of this Agreement, [plus] expenses and attorneys' fees, if they fail to abandon the property.

ARTICLE 12. INSTALLATION OF ACCESSORIES

The Lessee may, at its own costs, install advertisements related to the business and any other accessory necessary for the normal course of its operations, in such a manner that it does not mutilate, damage or spoil the property subject of this Agreement. The Lessee shall not install such advertisements or accessories without the prior written authorization of the Authority.

ARTICLE 13. WITHDRAWAL OF ACCESSORIES AND FURNITURE

A. Within the fifteen (15) days following the date of termination of this Agreement, for any cause, the Lessee shall remove from the leased facilities all equipment, personal property, accessories, advertisements, structures and movable improvements, machinery and articles or merchandise constructed, made, maintained or deposited by the Lessee at said facilities, and shall restore the property subject of this Agreement to its original state at the moment prior to the execution of this Agreement, at its own cost.

B. In the event the Lessee does not proceed with the removal of its property as stated in the previous paragraph, it shall be understood that the Lessee has abandoned to the Authority all that property and the Authority shall dispose of it in the manner in which it deems advisable or convenient, which costs shall be assumed by the Lessee.

ARTICLE 14. COMPLIANCE WITH LAWS AND REGULATIONS

The Lessee shall obey and comply with the laws and regulations of the Commonwealth, the Federal Laws and Regulations, as well as the Municipal Ordinances, the Regulations and Resolutions of the Ports Authority, the Statutes of the Coast Guard, and any judicial or administrative mandate related with the occupation and operation at the facilities subject of this Agreement. The Lessee shall be obliged to pay or reimburse to the Authority any sanction or penalty imposed to the Authority as a result of the breach by said Lessee of the stipulations of this article.

ARTICLE 15. CONSERVATION AND MAINTENANCE OF THE LEASE FACILITIES

A. The Lessee shall maintain the property subject of this Agreement in a satisfactory state of salubrity, sanitation and cleanness at all times during the term of this Agreement.

B. The Lessee shall conserve, protect and maintain said property in good state of use, assuming its costs. The work required to comply with said requirements shall be made with prior written authorization by the Authority.

C. The breach by the Lessee of the above shall warrant the imposition of a daily penalty equal to the monthly rent established in this Agreement and, if the Lessee fails to correct the situation in a period of thirty (30) days, the Authority shall proceed with the cancellation of the Agreement.

ARTICLE 16. LIENS

The Lessee shall not make nor allow to be made, over the property subject of this Agreement, any act that might result in a lien or right in rem over said property; and shall expeditiously take the necessary action to lift, or allow the lift, of any attachment, lien or in rem right that arises from or may exist at any time with respect to said property, or any alteration, addition, improvement or modification to the same. Should the Authority has to resort to any legal eviction action, collection of money, damages or any other action related with this article, the Lessee shall pay the costs, expenses and attorneys' fees.

ARTICLE 17. LIABILITY FOR DAMAGES TO THE AUTHORITY'S PROPERTY

The Lessee shall be liable for any loss or damage to the property of the Authority that may occur as a result of its negligence or inadvertence in the compliance with the provisions of this Agreement.

ARTICLE 18. FIRE EXTINCTION EQUIPMENT

The Lessee shall maintain at the leased facilities equipment for the extinction of fires, as required by the Authority or the Local Fire Service.

ARTICLE 19. INSPECTION BY THE AUTHORITY

A. The Authority shall have the right to enter the property subject of this Agreement with the purpose of making repairs, substitutions or alterations when it

deems it necessary. Said action by the Authority shall not relieve the Lessee from its responsibility of maintaining and/or repairing its own facilities and equipment.

B. The Authority reserves the right to inspect, from time to time, through its representatives and authorized agents, the facilities and installations of the Lessee subject of this Agreement, during working hours, with the purpose of determining if the Lessee is complying with the obligations that has assumed by virtue of this Agreement.

ARTICLE 20. ASSIGNMENTS

A. The property or rights subject of this Agreement shall not be transferred or assigned nor sub-leased in any manner by the Lessee, without the prior written authorization by the Authority.

B. Prior to any transfer or assignment, in all or in part, of the property or rights subject of this Agreement, the Lessee or the part with interest in assuming the Agreement, shall liquidate any sum owed to the Authority up to the date on which the transfer or assignment is performed.

C. The Lessee, prior to any transfer or assignment, in all or in part, of the property or rights subject of this Agreement, shall obtain credit with the Authority as an indispensable requirement for the approval of the transfer or assignment.

D. The assigner shall not allow nor authorize the goods or services subject of the assignment to be occupied and/or offered, without having previously formalized the assignment and complied with all the requirements previously indicated. If the Authority has to resort to any legal eviction action, collection of money or any other

action related to said assignment, the Lessee shall pay costs, expenses and attorneys' fees.

ARTICLE 21. LIMITATIONS OF THE RIGHTS CONFERRED

This Agreement does not constitute the Lessee as an agent, officer or employee of the Authority, for any purpose.

ARTICLE 22. AGREEMENTS WITH THE GOVERNMENT OF THE UNITED STATES

This Lease Agreement shall be subordinated to the provisions of any existing or future agreement between the Authority and the Government of the United States, in regard to the operations or the maintenance of the concession and other facilities, whose execution is required or may be required as previous condition for the disbursement of federal funds for the development of the concession subject of this Agreement and other facilities.

ARTICLE 23. NOTIFICATIONS

Notifications to the Authority shall be made in writing and delivered by messenger, or sent by prepaid mail, addressed to the Executive Director, Puerto Rico Ports Authority, P. O. Box 362829, San Juan, P. R. 00936-2829. Notifications to the Lessee shall be made equally, addressed to Odyssea Stevedoring, P. R., Inc., PO Box 9023895, San Juan, Puerto Rico 00902-3895.

ARTICLE 24. SOLE AGREEMENT

This Agreement constitutes the sole agreement between the parties over the subject contracted and shall not be changed, modified or extended, except by supplementary agreement duly executed in writing by the parties.

ARTICLE 25. DISCRIMINATORY PRACTICES

The Lessee, in regard to the use of the contracted facilities, shall not discriminate against any person, employee or employment applicant, by reason of race, religion, color or nationality. This provision shall include, but shall not be limited to: employment, promotion, demotion, transfer, recruiting or publicity advertisement, suspensions, discharges or terminations, salaries or any other form of compensation or selection for training, including apprenticeship. The Lessee is obliged to place notices in places accessible to its employees and employment applicants, providing that said notices, containing the provisions of this non-discrimination clause, shall be provided by the Authority.

The Lessee assures that it shall establish an affirmative action program, as required by 14 CFR, Part 152, Subpart E. to guarantee that no person shall be excluded on the basis of race, color, nationality or sex. from participating in any employment activity covered by 14 CFR, Part 152, Subpart E. The Lessee assures that no person shall be excluded, over these bases, from participating or receiving the services or benefits of any program or activity covered by this Subpart. The Lessee assures that it shall be required from its sub-organizations to provide guarantees to the Lessee that

they, similarly, shall establish affirmative action programs and that they shall require guarantees from its sub-organizations, as required by 14 CFR, Part 152, Subpart E, to those same effects.

ARTICLE 26. SAFETY CLAUSE

The Lessee shall not allow personnel that are not authorized to enter the Operational Areas, or any other area marked as restricted by the state or federal regulations, within the facilities covered by this Agreement. In the event that the Authority is penalized or sanctioned by any local or federal agency, or by any Court of Justice, for the violation of any law or regulation related with the access to restricted areas, and that said violation is due to the Lessee's failure to comply with this section, said sanction or penalty shall be satisfied to the Authority by the Lessee.

ARTICLE 27. ENVIRONMENTAL CLAUSE

A. The Lessee shall comply with all the environmental laws and regulations, including federal, Commonwealth of Puerto Rico and local laws, statutes, ordinances, codes, rules and regulations, promulgated under the mentioned federal, Commonwealth of Puerto Rico and local and state laws, related with the protection of the environment and the place of work and/or that may regulate the management, use, generation, treatment, storage, transportation or disposal of hazardous and toxic substances, solid wastes and other regulated substances, within and outside the place of work.

B. Prior to beginning the operations, the Lessee shall request and obtain all the applicable permits and licenses, from those agencies, including federal, Commonwealth

or local agencies, such as: the Environmental Protection Agency, the Engineering Body of the United States Army, the Environmental Quality Board, the Department of Natural Resources, the Administration for the Solid Wastes Management and others.

C. During the term of the lease, the Authority, its employees or agents, shall have the right to enter the leased property and monitor the compliance by the Lessee with all the laws and regulations, environmental permits and licenses applicable. These monitoring activities include, among others: to perform physical inspections, tests and sampling; installation, service and inspection of artifacts or environmental monitoring plans; to examine and copy registers and documents that deal with the compliance on the part of the Lessee with laws, regulations, environmental licenses and permits; interviews with the personnel of the Lessee and contractors with respect to the performance and environmental compliance by the Lessee. During the term of the lease, the Lessee shall not alter nor disturb in any way the artifacts or monitoring plans.

D. The Lessee shall notify and inform the Authority of any violation of the laws, regulations, environmental licenses and permits applicable, or of any other matter that may give rise to environmental liability by the Ports Authority.

E. If during the term of this lease, the Lessee violates any law, regulation, environmental license and permit applicable, or acts in a way that may give raise to environmental liability by the Ports Authority, the authority reserves the right, at the cost of Lessee, to:

- i. Execute remedial actions as defined in CERCLA (Comprehensive Environmental Response, Compensation and Liability Act) and in the SWDA (Solid Waste Disposal Act), better known as RECRA

(Resource Conservation and Recovery Act), to immediately remedy the environmental violation.

- ii. Compel the Lessee, at its own costs, to undertake the remedial action mentioned in paragraph (i).
- iii. There shall be no right to reduction in the rent while any remedial action is being undertaken.

F. The Lessee shall not provoke or allow the use, storage, generation or disposal of any hazardous substance in or within the premises, by its agents, employees, contractors or invitees, without previously obtaining the written consent of the Authority. In the event [the premises] are used for the storage, generation or disposal of [hazardous substances] in or within the premises, except as previously allowed, or that the premises become contaminated in any way for which the Lessee is legally liable, the Lessee shall indemnify and maintain the Authority free of any liability and all the claims, damages, sanctions, judgments, penalties, expenses, responsibilities, or losses (including, without limitation, a decrease in value of the premises, damages caused by loss or restriction of space usable or profitable, or any damage caused by the adverse impact in the space market, and any and all the sums paid for the arrangement of claims, attorneys' fees and experts' and consultants' fees), that may arise during or after the term of the lease and that may arise as a result of this contamination by the Lessee. This indemnification includes, without limitation, any and all the expenses incurred by reason of any investigation of the location, or any cleanness, removal or restoration ordered by any federal, state or local agency or political subdivision.

G. As used herein, the term "Hazardous Substance" means any substance that is toxic, flammable, reactive or corrosive and that is regulated by any local, Commonwealth or federal authority. "Hazardous Substance" includes any and all material or substance as defined as "hazardous wastes", "extremely hazardous wastes" or a "hazardous waste" according to state, federal or local law authority.

H. The Lessee shall not provoke nor allow that any hazardous material is brought or maintained, used inside or near the leased premises, by its agents, employees, contractors, or invitees, except that hazardous material that is necessary and useful to the business of the Lessee.

Any hazardous material allowed within the premises or facility [and] all its packages, shall be used, maintained, stored and disposed of in a manner that complies with all federal, Commonwealth and local laws applicable to that hazardous material.

The Lessee shall not discharge, leak or allow any material to be discharged, leaked or launched to the atmosphere, surface, sewer system or any body of water, as long as that material (as well as reasonably determined by the Ports Authority or any government authority) infects or contaminates or may infect or contaminate the same or may adversely affect: (a) the health, the welfare or the safety of persons, whether inside or outside the premises or the facility; or (b) the condition, use or enjoyment of the building or any other personal or real property.

At the beginning of each year of the lease, the Lessee shall reveal to the Ports Authority the names and the approximate amounts of all the hazardous material that the Lessee proposes to storage, use, or dispose of, at the premises or facilities during the year of the lease. In addition, at the beginning of each year of the lease,

beginning with the second amounts of all the hazardous material that may have been used, stored, or disposed of at the premises if these materials have not been previously identified to the Ports Authority at the beginning of the previous leased year.

As used herein, the term "hazardous material" means: (a) any "hazardous waste" as defined by the Resource Conservation and Recovery Act of 1976, as amended from time to time, and the regulations promulgated therein; (b) any "hazardous substance", as defined by CERCLA (Comprehensive Environmental Response, Compensation and Liability Act of 1980), as defined from time to time and the regulations promulgated therein; (c) any oil, petroleum product or its derivatives; and (d) any substance that is or may be regulated by any federal, Commonwealth or local authority.

The Lessee agrees that it shall be completely responsible of all the expenses and disbursements related to the use, storage and disposal of hazardous materials maintained in the premises or the facility. and shall notify immediately to the Authority of any violation or potential violation of the previous section. The Lessee shall defend, indemnify and maintain the Authority, and its agents free of liability from and against any claims, complaints, penalties, sanctions, responsibilities, arrangements, damages, expenses, disbursements (including, without limitation, attorneys' and consultants' fees, costs and litigation disbursements) of any kind or nature, known or unknown, contingent or of any other type, that may arise from or that are related to: (a) the presence, disposal, launch or launch threat of any of these hazardous materials that are in, from or affecting the surface, water, vegetation, buildings, personal property, persons, animals, or of any other kind; (b) any personal injury (including illicit death) or

damage to the property (personal or real) that may arise or is related to this hazardous material; (c) any litigation brought or threatened, agreement reached or government order related to that hazardous material; or (d) any violation of any applicable law. The provisions of this section shall be in addition to any other obligations that in law or in equity the Lessee may have towards the Authority and shall survive the transactions herein contemplated, as well as the expiration of this lease.

ARTICLE 28. OTHER PROVISIONS

A. The Lessee shall not be relieved from the past, present or future compliance of its obligations by the fact that the Authority, on one or more circumstances, does not require or insists in the compliance of the same; nor shall it be understood that the Authority has renounced to demand the compliance or execution of the terms, pacts or conditions of the present Agreement at any time, understanding that the contractual obligations of the Lessee shall continue in all their force and effect; providing that the receipt and acceptance of the rent shall not be considered as a release of any breach or infraction on the part of the Lessee of what has been provided contractually nor shall invalidate or impair the effectiveness of the cancellation or its notification, except that it is expressly agreed in writing by the Authority.

B. The successors, trustees, administrators and assigners of the Lessee shall be obliged by the pacts and conditions herein contained.

C. This Agreement shall have no effectiveness whatsoever until the Lessee complies with the requirements of bond, cash deposits and insurance policies that are herein established, and the Authority shall not be obliged to the conditions herein

contained until the Agreement is not signed by the Executive Director or its authorized representative.

D. In the event that the Lessee has any complaint or claim in regard to the authorized operations under this Agreement, or of any other nature, it shall do so in writing, addressed to the Executive Director of the Authority, by certified mail, return receipt requested.

E. In the event that this contract applies for the exclusive use of any maritime operation, the Lessee shall not make nor collect on its own any charges whatsoever for the use of the leased area, from self-driven vessels or vessels driven by operators, except those charges of departing vessels, of its passengers and of its cargo, for which the Lessee serves as general agent and which charges have been previously satisfied to the Authority. Nothing stated herein shall affect the right of the Lessee to establish charges for demurrage to the shippers or consignees, but, in turn, the Lessee shall pay for said demurrages to the Authority, according to the provisions in effect or applicable.

F. The parties in this Agreement stipulate to submit to the jurisdiction of the Judicial District of San Juan, Puerto Rico, to entertain any legal controversy that may arise under this Agreement.

G. The contracting party certifies and guarantees that at the time of executing this Agreement it has rendered its income tax return during the five (5) years prior to this Agreement and that it does not owe any contributions to the Commonwealth of Puerto Rico or to the Center for the Collection of Municipal Income, or that it is complying with any terms and conditions of a payment plan.

All the sub-lessees designated by the principal Lessee shall also comply with the certification requirement indicated previously.

The principal Lessee shall be responsible of requiring from all its sub-lessees said certification and to notify the Authority of the compliance with the same. This obligation shall be continuous during the term of this Agreement.

H. The contracting party certifies and guarantees that at the time of executing this Agreement it has paid the contributions for unemployment insurance, temporary disability and social security to drivers (whatever may apply), or it is under a payment plan with which terms and conditions it is complying.

It is expressly recognized that these are essential conditions to the present Agreement and, in the event the previous certifications are not correct, in all or in part, it shall be sufficient cause for the Authority to terminate the Agreement, and the Lessee shall have to surrender the leased facilities immediately.

I. The Lessee certifies that, as of the date of execution of this Agreement, it has no relationship whatsoever that may create conflict of interests during the performing of the services under this Agreement.

J. The Lessee accepts the facilities in their current condition and shall be responsible for the maintenance of the air conditioners and the physical plant to be occupied.

K. The Lessee shall not request credit or extension of the term of the Agreement for any improvement made in the leased areas without the authorization of the Ports Authority.

L. This Agreement cancels [Agreement] AP-97-98(4)030 at Pier Number 9.

IN WITNESS WHEREOF, the appearing parties sign this Agreement on the date indicated above.

PUERTO RICO PORTS AUTHORITY

ODYSSEA STEVEDORING P.R.. INC.

(Signed) Mr. Hector R. **Rivera**
Executive Director

(Signed) Julio Ortiz
S. S. **66-055-2612**

Reviewed and recommended by:

(Signed) Miguel A. Maldonado
Chief, Tariffs Matters

(Signed) Segismundo **Quiñones**, Esq.
Chief, Maritime Bureau

Drafted, reviewed and recommended by Miguel A. Castellanos, Esq. of the Legal Division of the Puerto Rico Ports Authority, stating that the same includes all the clauses and conditions required by the Ports Authority for this transaction.

(Signed) Miguel A. Castellanos

Reviewed and recommended by:

(Signed) Yvonne **Licht**, Esq.
General Counsel

/af

NOTE: This page number 20 constitutes the last page of Agreement number AP-99-OO-(4)-074, subscribed on the 13th day of April, 2000, with Mr. Julio **Ortiz**, representative of Odyssey Stevedoring, P. R., Inc. and the Ports Authority.

EXHIBIT NO. 2-A

CONTRATO

AP- 97-00 (H) -074

En San Juan, Puerto Rico, a 13 de abril de 2000.

COMPARECEN

DE UNA PARTE: LA AUTORIDAD DE LOS PUERTOS DE **PUERTO** RICO, una **corporación pública** e instrumentalidad del Estado Libre Asociado de Puerto Rico, creada por la Ley **Número 125** del 7 de mayo de 1942, **según enmendada**, denominada de aqui en adelante **como** la "Autoridad", representada por su Director Ejecutivo, Sr. Hector R. **Rivera**, o cualquier otro funcionario autorizado que **actúe** en su lugar.

DE LA OTRA PARTE: ODYSSEA STEVEDORING P.R. INC., **denominado** de aqui en adelante **como el** "Arrendatario", representado por **el** Sr. Julio Ortiz.

Las partes comparecientes **libre y espontáneamente**

EXPONEN

La Autoridad es **dueña** del Muelle 15, localizado en la municipalidad de San Juan, del Estado Libre Asociado de Puerto Rico, de aqui en adelante denominada **como** la "Propiedad **objeto** de este **contrato** y otras facilidades".

El Arrendatario se dedica al negocio de: Agente Naviero de **carga** en general.

CONDICIONES

ARTICULO 1. CONCESION OBJETO DE ESTE CONTRATO

La Autoridad cede en arrendamiento al Arrendatario y **éste acepta el** arrendamiento del **área** y facilidades designadas y **descritas** en el Exhibit Núm. 20-465, anexo que hacemos **formar** parte integral de este contrato, **el cual** consiste de: un espacio de **almacén** de 19,027.8383 pies cuadrados y un area de oficina de 4,477.0708 pies cuadrados localizados en el Muelle **Número 15** de Miramar, San Juan, Puerto Rico.

ARTICULO 2. TERMINO

A. El **término** de este contrato **será** de cinco (5) años, comenzando a la fecha de la firma del Director Ejecutivo.

8. No obstante lo dispuesto en el **párrafo "A"** anterior, o cualquier **otra** **disposición** en contrario, la Autoridad **podrá cancelar** y terminar **este contrato según** se provee **más** adelante.

C. En caso de que el Arrendatario continúe ocupando la propiedad objeto de este contrato luego de terminado éste por cualesquiera razón, según lo convenido por las partes, se entenderá que tal ocupación es una de mes a mes, la renta será pagadera con un mes de anticipación, sin ello alterar las condiciones aquí acordadas.

D. Si la Autoridad requiere que el Arrendatario desaloje y entregue las facilidades debido a la terminación del contrato por cualquier causa y el Arrendatario no las desalojare, entonces éste vendrá obligado a pagar a la Autoridad de los Puertos una penalidad de \$ 676.24 (10% de la renta mensual establecida) por cada día subsiguiente a la fecha en la notificación para el desalojo, en adición a una suma equivalente a la renta mensual establecida en el contrato como compensación por el uso y ocupación de las facilidades. El cumplimiento por parte del Arrendatario con esta estipulación no evitará el que la Autoridad tome la acción legal correspondiente para obligar al Arrendatario a entregar las facilidades, ni dará lugar a que se interprete que el contrato ha sido renovado o enmendado. El Arrendatario se obliga al pago de costas y honorarios de abogado, en caso de que la Autoridad radique acción de desahucio, cobro de dinero, daños o cualquier otra acción por incumplimiento del Arrendatario en las obligaciones de este contrato.

ARTICULO 3. USO DE LA PROPIEDAD OBJETO DE ESTE CONTRATO

El Arrendatario tendrá derecho a utilizar la propiedad arrendada durante el período contratado para los siguientes fines, única y exclusivamente: para oficina y almacén para carga en general.

ARTICULO 4. RELOCALIZACION DEL ARRENDATARIO

La Autoridad se reserva el derecho durante la vigencia de este contrato, si es posible, asignar al Arrendatario otra localización en la misma área contratada en cualesquiera otra área o facilidades que se construyan para servir la misma, con aproximadamente igual cabida a la aquí arrendada, bajo la condición que haya áreas disponibles, y si no las hubiera, la Autoridad de los Puertos no está obligada y el Arrendatario tiene que desalojar el área arrendada. El costo de tal relocalización será sufragada por el Arrendatario.

ARTICULO 5. RENTA

A. El Arrendatario acepta pagar a la Autoridad, por los derechos y privilegios aquí concedidos, una renta mensual de \$6,762.31 (19,027.8383 p/c de

almacén a \$2.50 = $\$47,569.60 \div 12 = \$3,964.14 + 4,477.0708$ p/c de oficina a \$7.50 = $33578.04 \div 12 = \$2,798.17$).

6. El Arrendatario consiente y acepta pagar desde la fecha de **ocupación o posesión** del inmueble o local **objeto** del presente contrato, la **renta** adicional que **facture** la Autoridad en **caso** de que la **cabida** o area de **superficie correspondiente** **resulte ser** mayor que la especificada inicialmente en el contrato. **Esta renta** adicional se **facturará**, con tal **carácter retroactivo**, en **proporción** a la mayor **cabida** o area real.

La **renta** mensual **será** pagadera por adelantado en o antes **del** día 10 de **cada** mes, en las Oficinas Centrales de la Autoridad, o en cualquier otro **lugar** que la Autoridad designe.

C. El Arrendatario **instalará** contadores de luz y agua **donde** sea bctible dentro de **los próximos** 90 días de la fecha de efectividad del contrato. De igual forma el Arrendatario releva de responsabilidad a la Autoridad **sobre todo acto** y/o gestibn relacionado con la **instalación** y uso de **dichas** facilidades.

D. El Arrendatario **pagará** prontamente a las entidades que **provean** o suministren cualquier utilidad o servicio cuando **éstos** no **sean provistos** por la Autoridad. Cualquier **instalación** de estas utilidades o servicios que **sean necesarios** **para** la **operación** del arrendatario, **serán instaladas** a su propio **costo**. Cudquier ajuste que se **realice** en **relación** al **consumo** de **estas** utilidades y/o **servicios** **será retroactivo** a la fecha en que comienza el **contrato** o a la fecha en que se instalen o remuevan **los** implementos que **generan** tales **consumos**.

E. Se entiende que las **rentas** establecidas, en este **contrato** han sido computadas a base de **las** tarifas de **rentas** contenidas en las Resoluciones **aplicables** **según** promulgadas y que tales **rentas** **están** sujetas a reajustes de acuerdo a las tarifas, estipendios, alquileres y otros cargos a ser adoptados de ticmpo en tiempo, a tenor con las Resoluciones y la Ley de la Autoridad. El Arrendatario acepta **pagar** el canon de **renta** reajustado **según** es determinado por la Autoridad a tenor con **las** disposiciones de **dichas** resoluciones y la ley.

F. El Arrendatario **pagará** una penalidad de 35% de **los** ingresos **brutos** **obtenidos** de cualquier **operación** en la propiedad arrendada que no **haya sido** autorizada por **éste** o cualquier otro contrato, o por **subarrendamientos** no autorizados. Sin embargo, csta **cláusula** no se **entenderá** como una **autorización**

para llevar a cabo actividades no autorizadas específicamente por **éste** o cualquier otro **contrato** y el cobro de tal penalidad no **constituirá** una renuncia al **derecho** que la Autoridad se reserva de **cancelar** el **contrato** por incumplimiento.

G. El término "ingreso bruto" **significará todo** dinero recibido o devengado por el Arrendamiento en las operaciones del negocio a que se **refiere** este **contrato**. Al determinarse el ingreso bruto no se **descontarán** cualesquiera **costos o** gastos incurridos por el Arrendatario que **estén** relacionados con dicho ingreso **bruto**.

H. El Arrendatario **mantendrá** durante la vigencia de este **contrato**, libros y records de contabilidad, de acuerdo con las **prácticas normales** de contabilidad aceptadas, en **los** cuales **anotará** toda **transacción** en la propiedad arrendada, y tales libros y records de contabilidad se **mantendrán** en **todo momento** en la **Municipalidad** de San Juan.

Se requiere del Arrendatario mantener un sistema de contabilidad separado de cualquier otro negocio y cuyos records y libros de contabilidad de otros negocios que opere el Arrendatario en las facilidades de la Autoridad o fuera de Cstas.

I. La Autoridad se **reserva** el derecho de examinar y auditar todos y cada uno de **los records** y libros de contabilidad mantenidos por el Arrendatario **antes** del vencimiento del **contrato** y la **devolución** de la fianza contractual. La **notificación** del **examen** y auditoria de **los** libros de contabilidad **será** por escrito y con al menos cinco (5) días de **antelación** al **comienzo** de la misma.

J. El **examen** y auditoria de **los** records y libros de contabilidad se **hará** durante horas laborables y por el personal de la Oficina de Auditores Internos de la Autoridad, con el propósito de **verificar** que las operaciones se **realicen conforme a las** leyes, procedimientos, reglamentos y **contratos** aplicables.

K. Los records y libros de contabilidad de subcontratos del **Arrendatario** **estarán** sujetos a ser auditados cuando ello se estime **conveniente** o necesario por el **personal** de la Oficina de Auditores Internos de la Autoridad de **los Puertos**.

L. La Autoridad **podrá** fotocopiar, y/o de cualquier **otro** modo **obtener**, un duplicado de toda **información** relevante y **pertinente** a su **investigación**, que sea descubierta mediante el **examen** de **los** libros y **documentos** **anteriormente** autorizado.

M. Cualquier suma vencida y al descubierto bajo este contrato que no haya sido pagada por el Arrendatario dentro del período de gracia de diez (10) días a partir del día primero de cada mes, devengará un interés del 9% anual sin necesidad de notificación de su incumplimiento, computados dichos intereses desde el primer día de cada mes y hasta que la suma total adeudada sea satisfecha por el arrendatario.

ARTICULO 6. **FIANZA**

A. En la fecha de otorgamiento de este contrato el Arrendatario entregará a la Autoridad como garantía del pago de rentas, cargos y estipendios y del fiel cumplimiento de sus obligaciones bajo este contrato un "Lease Bond" por la cantidad de \$20,287.00.

B. En el caso de que los términos del "Lease Bond" mencionado en el anterior no satisfaga a la Autoridad, Esta podrá rehusar su aceptación y requerir las enmiendas o cambios que estime pertinentes.

ARTICULO 7. **RELEVO DE RESPONSABILIDAD**

El Arrendatario conviene en relevar y eximir a la Aukoridad independientemente de determinacdn sobre negligencia, de toda responsabilidad y asumir toda obligacdn legal por concepto de reclamación por daños a la propiedad o por lesiones personales o de cualquier otra naturaleza o por muerte ocasionada a cualquier persona, como consecuencia de las operaciones del Arrendatarid en la propiedad objeto de este contrato. El Arrendatario asumirá la defensa de cualquier reclamación judicial o administrativa que surja contra la Autoridad por tales daños, lesiones o muerte, y pagará cualquier compensación o sentencia que se conceda.

Si el Arrendatario no cumpliera con las disposiciones antes mencionldas y esto conllevara la imposition de multas o penalidades contra la Autoridad, el Arrendatario se obliga a reembolsarle a la Autoridad la totalidad de la multa o penalidad impuesta.

ARTICULO 8. **POLIZAS DE SEGURO**

A. El Arrendatario mantendrá en vigor, durante la vigencia de este contrato, pólizas de responsabilidad pública, a ser expedidas por una compañía de seguros aceptable a la Autoridad y autorizada a hacer negocios en Puerto Riio que aseguren al Arrendatario contra toda responsabilidad por daños a la propiedad y por lesiones personales, incluyendo lesiones corporales o muerte ocasionadas por el uso

y ocupación por el Arrendatario de la propiedad objeto de este contrato y sus operaciones en cualquier otra facilidad de la Autoridad.

B. Los límites de dicha póliza de responsabilidad pública no será menor de \$1,000,000.00 por lesiones personales, incluyendo lesiones corporales por persona, o muerte; \$1,000,000.00 por cada ocurrencia que afecte a más de una persona y \$1,000,000.00 por daños a la propiedad.

c. La póliza de responsabilidad pública contendrá un endoso por fuego no menor de \$1,000,000.00 que incluya bajo la cubierta de Responsabilidad por Daños a la Propiedad, cualquier daño a la estructura o parte de la misma aquí arrendada al Arrendatario por la Autoridad, incluyendo cualquier objeto mueble permanentemente enclavado a dicha estructura, si tal daño surge como resultado de la negligencia del Arrendatario, sus empleados o cualquier otra persona actuando bajo su dirección. Dicho endoso dispondrá que cualquier pérdida será pagadera a la Autoridad.

D. La póliza de responsabilidad pública contendrá el siguiente endoso: La cubierta de esta póliza no podrá ser enmendada con el propósito de disminuir la protección por debajo de los límites aquí especificados o bajo cualquier otra circunstancia, ni la misma podrá ser cancelada sin la previa notificación por escrito a la Autoridad con treinta (30) días de anticipación. Además, se notificará por escrito a la Autoridad con treinta (30) días de anticipación en caso de expiración de la póliza.

En adición, la póliza de responsabilidad pública contendrá un endoso de responsabilidad contractual en el cual se incluirá a la Autoridad como el asegurado adicional y también un endoso de relevo de responsabilidad que deberá leer como el Artículo 7 de este contrato.

La póliza de responsabilidad pública no contendrá deducible alguno, a excepción de que el Arrendatario provea otra póliza cubriendo el riesgo en la cuantía no cubierta por el deducible.

E. El Arrendatario deberá mantener un Seguro de Compensación para Trabajadores, conforme a una póliza expedida por el Fondo del Seguro del Estado.

F. El Arrendatario acuerda además, que no más tarde de treinta (30) días anteriores al vencimiento de cualesquiera de las pólizas requeridas por este contrato o cualesquiera pólizas que el Arrendatario tenga en vigor al momento de su

otorgamiento, **someterá** a la **Autoridad** un Certificado de Seguro o **una** copia certificada de todas las **pólizas requeridas** por el contrato.

G. **Simultáneo** al otorgamiento de este contrato el **Arrendatario** suministrará a la Autoridad, copia de la antes mencionada **pólizas** de seguro.

H. En **caso** del Arrendatario dejar al descubierto esta **obligación** de mantener **los** seguros y fianzas requeridas mediante este **contrato** en **vigor**, la Autoridad le **impondrá** una penalidad de **\$1,000.00** mensuales hasta **tanto** cumpla con esta obligacdn.

I. En **caso** de quedar en descubierto las obligaciones sobre **seguros** y fianzas estipuladas en este contrato, o si la Autoridad se viera obligada a **incurrir** en gastos **para** cubrir **los** riesgos aquí descritos, el Arrendatario **vendrá obligado a** pagar o reembolsar a la Autoridad cualquier **gasto** o **erogación** en que **ésta** incurra **como** consecuencia de tal **incumplimiento**.

J. En la eventualidad de que el Arrendatario no someta las **pólizas** de seguro en el **término** de treinta (30) días antes de su **expiración**, se **considerará** esto **como** una **violación** a **los términos** y condiciones del presente contrato. La Aubridad **procederá** de inmediato con la cancelacion del contrato, y al **mismo** tiempo **radicará** la correspondiente **acción** de desahucio, en **adición** al **pago** de la penalidad.

ARTICULO 9. REPARACIONES Y ALTERACIONES

A. El Arrendatario ha examinado y conoce la actual condicibn y **estado** de reparaciones de las facilidades **objeto** de este **contrato** y **así** mismo **las acepta** y reconoce que la Autoridad no ha convenido ni se compromete a alterar, **mejorar**, adaptar o reparar cualquiera de **las** facilidades o de sus partes durante la **vigencia** de este contrato. El Arrendatario reconoce que la Autoridad no ha **hecho** **representación** alguna sobre **las** condiciones o estado actual de la propiedad **objeto** de este **contrato** que no se **haya hecho constar** en el mismo.

B. La Autoridad se reserva el derecho a **hacer** cualquier **reparadón** o mejora a la **propiedad** arrendada durante la vigencia del contrato, si **así** lo **estima** propio y necesario.

C. El Arrendatario no **establecerá** reclamacibn alguna por inconveniencia, molestia o efecto adverso causado a su negocio por motivo de **reparaciones** o **reemplazos** en la propiedad **objeto** de este contrato.

ARTICULO 10. ALTERACIONES Y MEJORAS SUBSTANCIALES O ESTRUCTURALES

A. Autorización concedida al Arrendatario

El Arrendatario, previa **autorización** por escrito de la Autoridad, **podrá** hacer alteraciones, adiciones o mejoras substanciales o estructurales a la propiedad **objeto** , de este contrato.

B. Título de las Mejoras a la Terminación del Contrato

El titulo de propiedad de todas **las** alteraciones, adiciones o mejoras substanciales **o** estructurales hechas e instaladas por el Arrendatario, **será** del Arrendatario, pero a la **expiración** de este contrato, dicho titulo de **propiedad** **será** transferido a la Autoridad, sin **costo** alguno **para ésta** y libre de **cargas** y **gravámenes**,⁴ disponiéndose que la Autoridad **podrá** requerir del **Arrendatario** que retire o demuela todas o parte de las alteraciones, adiciones o mejoras **y devuelva** la propiedad **objeto** de este **contrato** a su estado original con **excepción** al **deterioro** por el desgaste normal, sobre el **cual** el Arrendatario no tiene control alguno **y** a "ford majeure". El Arrendatario se obliga a llevar a **cabo** tales obras de **retiro** o **demolición** dentro del **período** de quince (15) días **subsiguientes** a la **solicitud** por escrito de la Autoridad. De no **proceder conforme** a lo prescrito, se **entenderá** que el Arrendatario ha abandonado a la Autoridad **dicha** propiedad **y** la Autoridad **tendrá** el derecho de disponer de la misma en la forma que estime aconsejable o **conveniente** **y** su costo lo **asumirá** el Arrendatario.

ARTICULO 11. CLAUSULA DE CANCELACION

A. En cualquier **momento** este **contrato** **podrá** darse por terminad**b** por **cualquiera** de las parte mediante **notificación** por escrito con treinta (30) **días** de antelacibn a la fecha en que se **interese** la **cancelación**, **resolución**, **rescisión** **o** **terminación**.

B. **Además**, cualquier otro remedio o derecho que la Autoridad **pueda** ejercitar bajo las disposiciones de este contrato, la Autoridad **podrá** cancelar este **contrato** al ocurrir cualquiera de **los** siguientes hechos:

1. **Abandono** de la propiedad **objeto** de este **contrato** por **parte** del Arrendatario; o la **liquidación** de **los** activos del Arrendatario;
2. La **ocupación** o embargo por tercero bajo mandato **judicial** o **confiscación** de **los** activos del Arrendatario localizados **en la** propiedad **objeto** de este contrato, **si** tal **ocupación**, **embargo** o **confiscación** no se da por terminada dentro de **los** quince (15) días **subsiguientes** a la fecha en que comenz**b**;

3. Incumplimiento por el Arrendatario de **cualquiera de sus obligaciones, pactos o acuerdos bajo este contrato** o incumplimiento por el Arrendatario de cualquiera **otra obligación de pago de deuda líquida y vencida por cualquier otro concepto, pacto o acuerdo para con la Autoridad, que no esté cubierta** bajo este contrato, **si tal incumplimiento no es corregido dentro de los quince (15) días subsiguientes a la fecha en que la Autoridad así lo requirió.**

C. Al ocurrir cualquiera de **los** antes mencionados hechos, la **Autoridad podrá tomar posesión** inmediata de la propiedad **objeto de este contrato** y el Arrendatario **pagará** a la Autoridad **como daños** liquidados, sin necesidad de acción judicial, una **suma** equivalente a **los cánones** de arrendamiento **fijados en este contrato** desde la fecha en que **ocurrió el hecho**, hasta la fecha de expiración normal de este contrato, gastos y honorarios de abogados si **ellos** no abandonan la propiedad.

ARTICULO 12. **INSTALACION DE ACCESORIOS**

El Arrendatario **podrá**, asumiendo su **costo**, instalar anuncios **relacionados** con su negocio y cualquier otro **accesorio necesario para el curso normal de sus** operaciones, de forma tal que no **mutile, estropee o afee** la propiedad **objeto de** este contrato. El Arrendatario no **podrá** instalar tales anuncios o **accesorios** sin **autorización** previa, por escrito de la Autoridad.

ARTICULO 13. **RETIRO DE ACCESORIOS Y MUEBLES**

A. Dentro de **los quince (15) días subsiguientes a la fecha de terminación** de este contrato, por cualquier **causa**, el Arrendatario **retirá** de **las facilidades** arrendadas **todo equipo**, propiedad personal, accesorios, anuncios, **estructuras** y mejoras movibles, maquinaria y artículos o mercancía construida, hecha, **mantenida** o depositada por el Arrendatario en **dichas facilidades y restaurará la propiedad** **objeto de este contrato**, a su estado original, al **momento** anterior al **otorgamiento** de este **contrato** asumiendo su **costo**.

B. Si el Arrendatario no procediera con el retiro de su propiedad, **según** se indica en el **párrafo** anterior, se **entenderá** que el Arrendatario ha **abandonado a la** Autoridad toda esa propiedad y **ésta podrá** disponer de **ella** en la forma que **estime** aconsejable o **conveniente**, cuyo **costo asumirá** el Arrendatario.

ARTICULO 14. **CUMPLIMIENTO DE LEYES Y REGLAMENTOS**

El Arrendatario **obedecerá y cumplirá** las **leyes y reglamentos** del **Estado Libre Asociado**, **las Leyes y Reglamentos Federales**, **así como las Ordenanzas Municipales**,

los Reglamentos y Resoluciones de la Autoridad de los Puertos, los Estatutos de la Guardia Costanera y cualquier mandato judicial o administrativo relacionado con la ocupación y operación en las facilidades objeto de este contrato. El Arrendatario vendrá obligado a pagar o reembolsar a la Autoridad cualquier multa o penalidad impuesta a Costa como consecuencia del incumplimiento de dicho Arrendatario con lo estipulado en este artículo.

ARTICULO 15. **CONSERVACION Y MANTENIMIENTO DE LAS FACILIDADES ARRENDADAS**

A. El Arrendatario mantendrá la propiedad objeto de este contrato en un estado satisfactorio de salubridad, sanidad y limpieza en todo momento durante la vigencia de este contrato.

8. El Arrendatario conservará, protegerá y mantendrá en buen estado de uso dicha propiedad, asumiendo su costo. El trabajo requerido para poder cumplir con tales requisitos se hará previa autorización por escrito de la Autoridad.

C. El incumplimiento del Arrendatario con lo señalado anteriormente, dará lugar a la imposición de una penalidad diaria equivalente a la renta mensual establecida en este contrato y de no corregir el Arrendatario la situación en un período de treinta (30) días, la Autoridad procederá con la cancelación del contrato.

ARTICULO 16. **GRAVAMENES**

El Arrendatario no hará, o permitirá que se haga, sobre o en relación con la propiedad objeto de este contrato, acto alguno que resulte en un gravamen o derecho in rem sobre dicha propiedad; y prontamente tomará la acción necesaria para levantar o hacer que se levante cualquier embargo, gravamen o derecho in rem que surja o pueda existir en cualquier momento con respecto a dicha propiedad o cualquier alteración, adición, mejora o modificación de la misma. Si la Autoridad tiene que recurrir a cualquier acción legal de desahucio, cobro de dinero daños o cualquier otra acción relacionada con este artículo el Arrendatario pagará costas, gastos y honorarios de abogados.

ARTICULO 17. **RESPONSABILIDAD POR DAÑOS A PROPIEDAD DE LA AUTORIDAD**

El Arrendatario será responsable por cualquier pérdida o daño a la propiedad de la Autoridad que ocurra como resultado de su negligencia o descuido en el cumplimiento de las disposiciones de este contrato.

ARTICULO 18. **EQUIPO PARA EXTINCION DE INCENDIOS**

El Arrendatario mantendrá en las facilidades arrendadas equipo **para** la extinción de incendios **según** lo requiere la Autoridad o el Servicio **Estatal** de Bomberos.

ARTICULO 19. **INSPECCION POR LA AUTORIDAD**

A. La Autoridad **tendrá** el derecho a entrar a la propiedad **objeto de** este contrato, con **el propósito de hacer** reparaciones, reemplazos o alteraciones cuando **así** lo estime necesario. Tal **acción** por parte de la Autoridad no **relevará** al Arrendatario de su responsabilidad de mantener y/o reparar sus propias **facilidades** y equipo.

B. La Autoridad se reserva el derecho de inspeccionar de **tiempo en tiempo** a **través** de sus representantes y agentes **autorizados**, las facilidades e instalaciones del Arrendatario **objeto de** este contrato durante horas **laborables** al **objeto** de determinar si el Arrendatario **está** cumpliendo con las obligaciones **que** ha asumido en virtud de este contrato.

ARTICULO 20. **CESIONES**

A. La propiedad o derechos **objeto de** este contrato no **podrán** ser transferidos o cedidos ni subarrendados, en **todo** o en **parte**, y de ninguna forma o **manera**, por el Arrendatario, sin la previa autorización por escrito de la Autoridad.

B. Previo a cualquier transferencia o **cesión**, en **todo** o en parte, de la propiedad o derechos **objeto de** este contrato, **el** Arrendatario o la **parte** que interese asumir el **contrato deberá** saldar cualquier **suma** adeudada a la Autoridad **hasta** la fecha en que se **realice o efectúe** la transferencia o **cesión**.

C. El Arrendatario, previo a cualquier transferencia o **cesión**, en **todo** o en parte, de la propiedad o derechos **objetos de** este contrato, **obtendrá crédito con** la Autoridad **como** requisito indispensable **para** la **aprobación** de la transferencia o **cesión**.

D. El cedente no **permitirá** ni **autorizará** que se ocupe y/o ofrezca **los** bienes o **servicios objeto de** la **concesión** sin que previamente se **haya formalizado** la **cesión** y se cumpla con todos **los** requisitos anteriormente indicados. Si la **Autoridad** tiene que recurrir a cualquier **acción** legal de desahucio, **cobro** de dinero **daños** o cualquier otra **acción** relacionado con **dicha cesión** el Arrendatario **pagará costas**, gastos y honorarios de abogados.

ARTICULO 21. **LIMITACIONES DE LOS DERECHOS CONCEDIDOS**

Este contrato no constituye al Arrendatario en agente, funcionario o empleado de la Autoridad para propósito alguno.

ARTICULO 22. **CONTRATOS CON EL GOBIERNO DE LOS ESTADOS UNIDOS**

Este contrato de arrendamiento estará subordinado a las disposiciones de cualquier acuerdo existente o futuro entre la Autoridad y el Gobierno de los Estados Unidos, relacionado con las operaciones o el mantenimiento de la concesión y otras facilidades, cuya ejecución se requiera o pueda ser requerida como condición previa al desembolso de fondos federales para el desarrollo de la concesión objeto de este contrato y otras facilidades.

ARTICULO 23. **NOTIFICACIONES**

Notificaciones a la Autoridad habrán de hacerse por escrito y entregadas por mensajero o enviadas por correo prepago, dirigidas al Director Ejecutivo, Autoridad de los Puertos de Puerto Rico, Apartado 362829, San Juan, P.R. 00936-2829. Notificaciones al Arrendatario habrán de hacerse de igual manera dirigidas a Odyssey Stevedoring, P.R., Inc., PO Box 9023895, San Juan, Puerto Rico, 00902-3895.

ARTICULO 24. **ACUERDO UNICO**

Este contrato constituye el único acuerdo entre las partes sobre el objeto contratado y no podrá ser cambiado, modificado o extendido, excepto por acuerdo suplementario debidamente otorgado por escrito entre las partes.

ARTICULO 25. **PRACTICAS DISCRIMINATORIAS**

El Arrendatario en relación con la utilización de las facilidades contratadas, no podrá discriminar contra persona alguna, empleado o solicitante de empleo, por razón de raza, religión, color o nacionalidad. Esta disposición incluirá, pero no se limitará a : empleo, ascenso, descenso, traslado, reclutamiento o anuncio publicitario, suspensiones, despidos o cesantías, salarios o cualquier otra forma de compensación o selección para entrenamiento, incluyendo aprendizaje. El Arrendatario se obliga a fijar avisos en lugares accesibles a sus empleados y solicitantes de empleo; disponiéndose que dichos avisos, conteniendo las disposiciones de esta cláusula de no discriminación, serán provistos por la Autoridad.

El Arrendatario asegura que **llevará** a cabo un **programa de acción afirmativa** como lo requiere el 14 CFR, Parte 152, **Sub-parte E**, para garantizar que ninguna persona **podrá** ser excluida sobre base de **raza**, religion, color, nacionalidad o sexo, de participar en cualquier actividad de empleo **cubierta** en el 14 CFR, **Parte 152**, Subparte E. El Arrendatario asegura que ninguna persona **será excluida**, sobre estas bases, de **participar** o recibir **los** servicios o beneficios de cualquier **programa** o actividad cubierta por esta Sub-parte. El Arrendatario asegura que se **requerirá** que sus suborganizaciones **provean** garantías al Arrendador que ellos, **similarmemente**, **llevarán a cabo** programas de **acción** afirmativa y que ellos requieran **garantías** de sus suborganizaciones, como lo requiere el 14 CFR, Parte 152, Sub-parte **E**, a los mismos efectos.

ARTICULO 26. **CLAUSULA DE SEGURIDAD**

El Arrendatario no **permitirá** personal que no **esté** autorizado a entrar en las Areas Operacionales o ninguna otra area **marcada como** restringida en los reglamentos estatales o federales, dentro de las facilidades que **cubren** este contrato. En el **caso** que la Autoridad fuera penalizada o multada por **alguna** agencia local o federal, o por **algún** Tribunal de Justicia, por la **violación** de **alguna** ley o reglamento relacionado con el **acceso** a **áreas** restringidas y que **dicha violación** se **deba** a que el Arrendatario **haya** fallado en cumplir con esta **sección**, dicha penalidad o **multa será** satisfecha a la Autoridad por el Arrendatario.

ARTICULO 27. **CLAUSULA AMBIENTAL**

A. El Arrendatario **deberá** cumplir con todas las leyes y regulaciones ambientales, incluyendo las federales, del Estado Libre Asociado y **leyes** locales, estatutos, ordenanzas, **códigos**, reglas y reglamentos promulgados **bajo** las mencionadas **leyes** federales, del Estado Libre Asociado y **leyes** locales, estatutos relacionados con la protección del ambiente y el lugar de trabajo y/o que **regulen el** **manejo**, uso, **generación**, tratamiento, almacenaje, **transporte** o **disposición** de sustancias peligrosas y **tóxicas**, desperdicios **sólidos** y otras sustancias **reguladas**, dentro y fuera del lugar de trabajo.

B. Previo al comienzo de operaciones, el Arrendatario **deberá** solicitar y **obtener** todos los permisos y licencias que apliquen, de aquellas **agencias** concernidas **tanto** Federales, del Estado Libre Asociado o **agencias** locales tales como: la Agencia de **Protección Ambiental**, el Cuerpo de Ingenieros del **Ejército** de

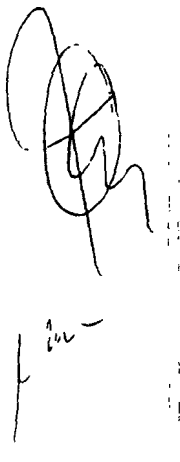
los Estados Unidos, la Junta de Calidad Ambiental, el Departamento de Recursos Naturales, la **Administración para el Manejo de los Desperdicios Sólidos y otras.**

C. Durante el termino del arrendamiento la Autoridad, sus **empleados** o agentes, **tendrán** derecho a entrar en la **propiedad** arrendada y verificar ("monitor") el cumplimiento del Arrendatario con todas **las** leyes y reglamentos, permisos y licencias ambientales aplicables. Estas actividades de **verificación** ("monitoring activities") incluyen entre otras **cosas:** llevar a **cabo** inspecciones **físicas, pruebas y** muestreo; **instalación, servicio e inspección** de artefactos o planes de **verificación** ambiental; examinar y **copiar** registros y **documentos** que traten sobre el cumplimiento por **parte** del Arrendatario con leyes, reglamentos, licencias y permisos ambientales; entrevistas con el personal del Arrendatario **y** contratistas con **respecto** al **desempeño** y cumplimiento ambiental del Arrendatario; la **Autoridad** se reserva **también** el derecho a requerir y obtener avisos e informes concernientes al **desempeño** y cumplimiento ambiental del Arrendatario. Durante el termino del arrendamiento, el Arrendatario no **alterará** ni **perturbará** de ninguna maneca **los** artefactos o planes de **verificación** ("monitoring").

D. El Arrendatario **avisará e informará** a la Autoridad de cualquier **violación** de las leyes, reglamentos, licencias y permisos ambientales **aplicables** de cualquier otro **asunto** que pueda dar **paso** a responsabilidad ambiental de la Autoridad de **los** Puertos.

E. Si durante el **término** de este arrendamrento el Arrendatario viola cualquier ley, reglamento, licencia y permiso ambiental **aplicable**, o **actúa** en cualquier forma que pudiera dar **paso** a responsabilidad ambiental de la **Autoridad** de **los** Puertos, la Autoridad se reserva el derecho a expensas del Arrendatario:

- i. Ejecutar acciones remediales **según** se definen en **CERCLA** {Comprehensive Environmental Response, Compensation and Liability Act) y en SWDA (Solid Waste Disposal Act), mejor conocida **como** RCRA (Resource Conservation and Recovery Act) **para** remediar inmediatamente el incumplimiento ambiental.
- ii. Compeler al Arrendatario, a su **costo**, a efectuar la **acción** remedial mencionada en el **párrafo** (i).
- iii. No **habrá** derecho a **reducción** en la **renta** mientras se **esté** efectuando **cualquier** **acción** remedial.



F. El Arrendatario no provocará o permitirá el uso, **almacenaje, generación** o disposición de cualquier sustancia peligrosa en o dentro de **los** predios por sus agentes, empleados, contratistas, o invitados sin obtener **previamente el** consentimiento escrito de la Autoridad. En la eventualidad que se **usen,** almacenadas, generadas o dispuestas de en o dentro de **los** predios **excepto como** es permitido anteriormente, o que **los** predios se **tornen** contaminados en **cualquier** forma **para la cual** el Arrendatario sea legalmente responsable, Cste **indemnizará y mantendrá libre** de responsabilidad a la Autoridad cualquiera **y todas las** reclamaciones, **daños, multas,** sentencias, penalidades, gastos, **responsabilidades,** o **pérdidas** (incluyendo, sin limitación, una disminución en valor de **los predios, daños** causados por **pérdida o restricción** de espacio utilizable o rentable, o **cualquier daño** causado por **impacto** adverso en el mercado de espacio, y cualesquiera **y todas las sumas** pagadas **para el** arreglo de reclamaciones, honorarios de **abogados y** honorarios de **expertos y consultores**) que surjan durante o **después del término** del arrendamiento **y** que surjan **como** resultado de esa contaminación por el Arrendatario. Esta indemnización **incluye,** sin limitarse a **ello,** cualquiera **y todos los** gastos incurridos por **razón** de cualquier **investigación** del **lugar** o cualquier **limpieza,** remoción o restauración ordenada por una agencia o subdivisión **política federal,** estatal o local.

G. Como se utiliza aquí, **el término** Sustancia Peligrosa significa **cualquier** sustancia que sea **tóxica,** inflamable, **reactiva o corrosiva y** que sea **regulada** por cualquier autoridad local, el Estado Libre Asociado de Puerto Rico o El **Gobierno** de **los** Estados Unidos. Sustancia Peligrosa **incluye** cualquiera **y todo** material o sustancia **según** definidas **como** "desperdicios peligrosos" "**desperdicios** extremadamente peligrosos" o una "sustancia peligrosa" **conforme a la ley estatal,** federal, o de autoridad local.

H. El Arrendatario no **provocará,** permitirá que **ningún** material **peligroso** sea traído o mantenido, **usado** en o **cerca** del predio arrendado, por sus **agentes,** empleados, contratistas, o invitados, **excepto** aquel material peligroso que sea necesario **y útil** al negocio del Arrendatario.

Todo material peligroso permitido en **el** predio o local, **todos** sus **envases, serán usados,** mantenidos, almacenados **y** dispuestos de **manera** que

cumpla con todas las leyes y reglamentos federales, del Estado Libre Asociado y locales que **sean** aplicables a ese material peligroso.

El Arrendatario no **descargará, filtrará** ("leak") o **emitirá** o **permitirá** que cualquier material sea descargado, filtrado ("leak"), o **emitido** a la **atmósfera, suelo,** sistema de alcantarillado o cualquier cuerpo de agua, en la medida -en que ese material (**así como** razonablemente determinado por la Autoridad de los Puertos o cualquier autoridad gubernamental) **infecte** o contamine o pueda **infectar** o **contaminar** los mismos o puedan afectar adversamente (a) la salud, **el bienestar** o la seguridad de personas, **estén** dentro o fuera del predio o local, o (b) la condición, uso, o disfrute del edificio o cualquier otra propiedad mueble o inmueble.

Al comienzo de **cada año** del arrendamiento, **el Arrendatario revelará** a la Autoridad de los Puertos **los nombres y las** cantidades aproximadas de **todo** material peligroso que **el** Arrendatario se proponga almacenar, usar, o disponer de, en **el** predio o local durante el transcurso de ese **año** del arrendamiento. **Además,** al comienzo de **cada año** del arrendamiento, empezando con **las** segundas **cantidades** de todos **los** materiales peligrosos que hubieran sido **usados, almacenados,** o dispuestos de en **los** predios si esos materiales no hubieran sido previamente identificados a la Autoridad de los Puertos al comienzo del **año** del arrendamiento previo.

Como se utiliza aquí, el término "material peligroso" significa: (a) cualquier "desperdicio peligroso" **según** definido por el Resource Conservation and Recovery Act de 1976, **según** sea enmendado de tiempo en tiempo, **y las** regulaciones promulgadas a su amparo; (b) cualquier "sustancia peligrosa" **según** definida por **CERCLA** (Comprehensive Environmental Response, Compensation and Liability Act de 1980), **según** sea enmendada de tiempo en tiempo **y las regulaciones** promulgadas a su amparo; (c) cualquier aceite, **producto** de **petróleo,** o sus derivados **y** (d) cualquier sustancia que **esté** o que **llegue** a ser **regulada** por cualquier autoridad federal, del Estado Libre Asociado o local.

El Arrendatario acuerda que **será** completamente responsable de todos **los** gastos y desembolsos relacionados al uso, almacenaje, **y disposición** de materiales peligrosos mantenidos en el predio o local **y avisará y notificará** **inmediatamente** a la Autoridad de cualquier **violación** o violación **potencial** de la **sección** previa. El Arrendatario **defenderá, indemnizará, y mantendrá libre** de

responsabilidad a la **Autoridad** y a sus agentes de y contra **cualesquiera** reiamaciones, demandas, penalidades, **multas**, responsabilidades, arreglos, **daños**, gastos, desembolsos (incluyendo, sin limitarse a **ello**, honorarios de **abogados y** consultores, **costas y** desembolsos de **litigación**) de cualquier clase o **naturaleza**, conocida o desconocida, **contingente** o de otra clase, que surjan de o **que estén** relacionadas a: (a) la presencia, **disposición**, liberación, o amenaza de **liberación** de cualquiera de estos materiales peligrosos que **estén** en, desde o afectando el **suelo**, agua, vegetación, edificaciones, propiedad mueble, personas, animales, o -de otra forma; (b) cualquier lesión personal (incluyendo **muerte** ilícita) o **daño** a la propiedad (mueble o inmueble) que surja de o **esté** relacionada a este material peligroso; (c) cualquier pieito traído o amenazado, arreglo alcantado, u **orden** gubernamental relativa a ese material peligroso; o (d) toda **violación** de cualquier ley aplicable al **respecto**. Las providencias de esta **sección serán** en **adición** a cualesquiera otras obligaciones que en **ley** o en equidad pueda tener el **Arrendatario** para con la Autoridad y **subsistirán** las transacciones aquí contempladas, **así como** la conclusión de ese arrendamiento.

ARTICULO 28. OTRAS DISPOSICIONES



A. El Arrendatario no **quedará** relevado del cumplimiento pasado, presente o futuro, de sus obligaciones por el **hecho** de que la Autoridad en una o **más** circunstancias no requiera o **insista** en el **cumplimiento** de las **mismas**, ni se **entenderá** por ello que la Autoridad ha renunciado a exigir, en cualquier **momento** el cumplimiento o **ejecución** de **los términos, pactos** o condiciones del **presente** contrato; entendiéndose que las obligaciones contractuales del Arrendatario **continuarán** en toda su **fuerza y vigor**; disponiéndose que el recibo y **aceptación** del canon de **renta** no se **considerará como** un relevo **para** cualquier **incumplimiento** o infracción por parte del **Arrendatario** de lo dispuesto contractualmente ni invalidar o **menoscabará** la efectividad de la cancelación o su **notificación**, **excepto** que **así** sea expresamente acordado por escrito por la Autoridad.

8. Los sucesores, sindicos, fideicomisarios, administradores y cesionarios del Arrendatario **quedarán** obligados por los **pactos y** condiciones aquí contenidos.

C. Este **contrato** no **tendrá** efectividad alguna, hasta **tanto** el **Arrendatario** no cumpla con **los** requisitos de **fianza, depósitos** en efectivo y **pólizas** de **seguro** que aquí se establecen y la Autoridad no **quedará** obligada a las condiciones aquí

contenidas hasta **tanto** el **contrato** no sea **firmado** por el Director **Ejecutivo** o su representante autorizado.

D. En el **caso** de que el Arrendatario tenga alguna queja o **reclamación** que **hacer** con **relación** a las operaciones, autorizadas bajo este contrato, o de cualquiera otra naturaleza, lo hará por escrito, dirigido al Director **Ejecutivo** de la Autoridad, por correo certificado con **acuse** de recibo.

E. En la eventualidad de que este **contrato** aplique **para** el uso **exclusivo** de cualquier **operación** marítima, el Arrendatario no hará ni **recaudará** por su cuenta cargo alguno por el uso del **área** arrendada, de las embarcaciones autopropulsadas o propulsadas por operadores, exceptuando aquellos cargos de embarcaciones que **parten**, de sus pasajeros y de su **carga**, **para** el **cual** el Arrendatario **funge** como agente general y cuyos cargos **hayan** sido previamente satisfechos a la Autoridad. Nada de lo **aquí** mencionado **afectará** el derecho del Arrendatario a **establecer** cargos por demora o **los** embarcadores y consignatarios, pero a su **vez** el Arrendatario **pagará** por **dichas** demoras a la Autoridad, de acuerdo con las disposiciones vigentes o aplicables.

F. Las **partes** en este **contrato** estipulan someterse a la jurisdicción del Distrito Judicial de San Juan, Puerto Rico, **para** dilucidar cualquier **controversia** legal que surja bajo este contrato.

G. La parte contratada certifica y garantiza que al **momento** de **suscribir** este **contrato** ha rendido su planilla **contributiva** durante **los cinco** (5) **años** **previos** a este **contrato** y no adeuda contribuciones al Estado Libre Asociado de Puerto Rico o al Centro de Recaudaciones de Ingresos Municipales (CRIM) o se encuentra **acogida** a un plan de pagos con cuyos **términos** y condiciones **está** cumpliendo.

Todos **los** subarrendatarios designados por el Arrendatario principal **también deberán** cumplir con el **requisito** de certificación antes indicado.

El Arrendatario principal **será** responsable de requerirle a todos sus subarrendatarios **dicha** certificación y notificarle a la Autoridad del **cumplimiento** de **ésta**. Esta **obligación será** continua durante la **duración** de este contrato.

H. La parte contratada certifica y garantiza que al **momento** de **suscribir** este **contrato** ha pagado **las** contribuciones de seguro por **desempleo**, de incapacidad temporal y de seguro social **para** choferes (la que **aplique**); **o** se

encuentra acogida a un plan de **pago**, con cuyos **términos y condiciones** está cumpliendo.

Expresamente se reconoce que estas son condiciones **esenciales del** presente contrato, y de no ser correctas en **todo** o en **parte las** anteriores certificaciones, **será causa** suficiente **para** que la Autoridad pueda dejar sin **efecto** el **contrato y el** Arrendatario **tendrá** que desalojar inmediatamente **las facilidades** arrendadas.

I. El Arrendatario certifica que a la fecha de **formalización** del presente contrato, no tiene **relación** de tipo alguno que pueda **crear conflicto** de **intereses** durante la **realización** de **los servicios** bajo el presente contrato.

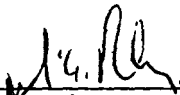
J. El Arrendatario acepta las facilidades en su actual **condición y será** responsable por el mantenimiento de **los** aires acondicionados y la **planta física** que ocupe.

K. El Arrendatario no **podrá solicitar crédito** o extensión de **término** del **contrato** por alguna mejora realizada en las áreas arrendadas sin **autorización** de la Autoridad de **los** Puertos.

L. Este **contrato cancela** el AP-97-98(4)030 en el Muelle Número 9.

EN **TESTIMONIO** DE LO CUAL las partes comparecientes **firman** este **contrato** en la fecha antes indicada.

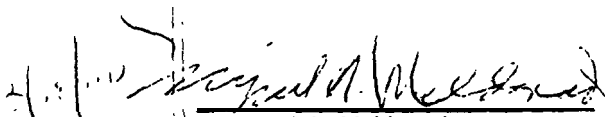
AUTORIDAD DE LOS PUERTOS
DE PUERTO RICO

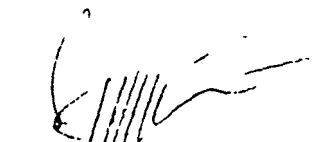

Sr. Héctor R. Rivera
Director Ejecutivo

ODYSSEA STEVEDORING
P.R. INC.


S.S. 66-055-2612

Revisado y recomendado por:

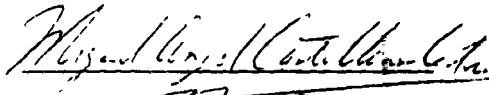

Miguel A. Maldonado
Jefe, Asuntos Tarifarios

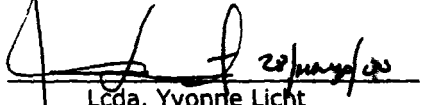

Lcdo. Segismundo Quiñones
Jefe, Negociado Marítimo

Redactado, revisado y recomendado por el Lcdo. Miguel A. Castelknos, de la División Legal de la Autoridad de los Puertos de Puerto Rico aseverando **que** el

mismo incluye todas las cláusulas y condiciones requeridas por la Autoridad de los Puertos para esta transacción.

Revisado y recomendado por:




Lcda. Yvonne Licht
Asesor Legal General

fat

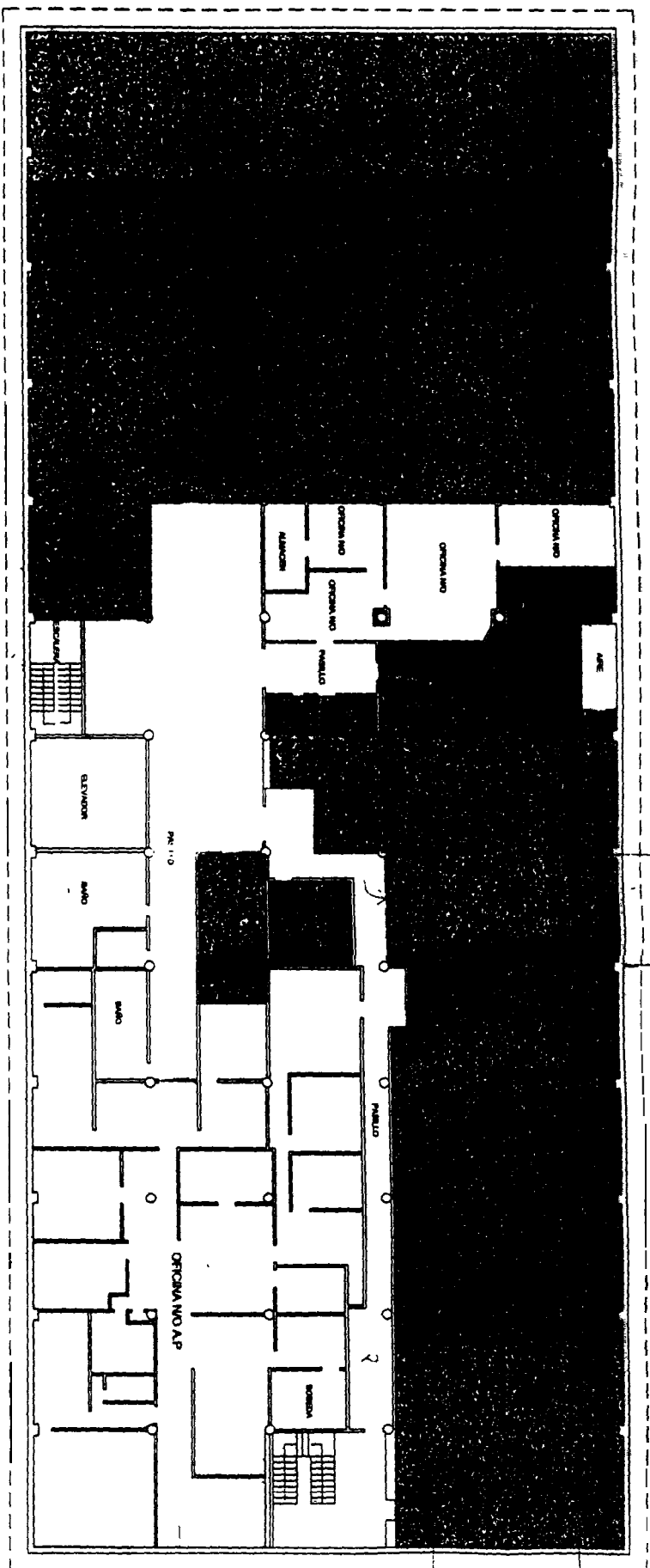
NOTA: Esta página número 20 constituye la última página del contrato número AP- 99-00-(A)-074 suscrito el día 13 de abril de 2000 con el Sr. Julio Ortiz, representante de Odyssea Stevedoring, P.R. Inc. y la Autoridad de los Puertos.

Plan # 15- Office space

3 50.00/90

100 x 40

500



SEGUNDO PISO

EXHIBIT NO. 3-A

ODYSSEA STEVEDORING PUERTO RICO, INC.

Pier #9
San Juan, Puerto Rico
Tel. 7251065 /Fax. 7251035

FACSIMILE TRANSMITTAL SHEET

TO: Mr. Victor Carrion

FROM: Julio Ortiz

COMPANY:
Ports Authority I Maritime Bureau

DATE: December 10, 1998

FAX NUMBER: 724-6564

TOTAL NO OF PAGES INCLUDING COVER: 2

PHONE NUMBER:

SENDER'S REFERENCE NUMBER:

RE:
Operations Berths #15 and #16

YOUR REFERENCE NO:

☐ URGENT ☐ FOR REVIEW ☐ PLEASE COMMENT ☐ PLEASE REPLY ☐ PLEASE RECYCLE

NOTES/COMMENTS

As requested in our meeting of today, attached is copy of our letter sent to Mr. Hector Rivera – Executive Director (dated November 25, 1998), in which we express our interest in the facilities of Berths #15 and #16.

For your information, we are awaiting a response on our request, thus we will appreciate to be included in any meeting, discussion, analysis, consultation, etc. about this matter, in view that we would be the party most seriously affected by these possible changes.

Thank you very much for your usual courtesy and support.

Cordially,

(Signed) Julio Ortiz
Vice President

FACSIMILE TRANSMITTAL SHEET

TO	FROM
SR. VICTOR CARRION	Julio Ortiz
COMPANY	DATE
AUTORIDAD DE LOS PUERTOS NEGOCIADO MARITIMO	December 10, 1998
FAX NUMBER	TOTAL NO OF PAGES INCLUDING COVER
724-8564	- 2 -
PHONE NUMBER	SENDER'S REFERENCE NUMBER
RE	YOUR REFERENCE NUMBER
OPERACIONES MUELLES #15 Y #16	

☐ URGENT ☐ FOR REVIEW ☐ PLEASE COMMENT ☐ PLEASE REPLY ☐ PLEASE RECYCLE

NOTES/COMMENTS

Según se me solicitara en nuestra reunión de hoy, adjunto le acompaño copia de nuestra carta enviada al Sr. Héctor Rivera - Director Ejecutivo (fecha 25 de noviembre de 1998) en la que expresamos nuestro interés en las facilidades del Muelle # 15 y # 16.

Para su información, estamos en espera de respuesta sobre nuestra solicitud por lo que le agradeceremos se nos incluya en cualquier reunión, discusión, análisis, consulta, etc. . . . sobre este asunto a vista de que seremos los más seriamente afectados por estos posibles cambios.

Muchas gracias por su acostumbrada gentileza y apoyo.

Atentamente,

Julio Ortiz
Vice Presidente

EXHIBIT NO. 3-B

ODYSSEA STEVEDORING PUERTO RICO, INC.

Pier #9

San Juan, Puerto Rico

Tel. 725-1065 / Fax. 725-1035

June 30, 1999

Government of Puerto Rico
Ports Authority
Isla Grande, Puerto Rii

Attention: Mr. Héctor Rivera
Executive Director

RE: Operations Berths #15 and #16

We hereby salute you and summarize with the following comments our impressions and needs in regard to the r&cation of our operations from the San Juan area, as established by the Golden Triangle Project.

We wish to reiterate that at Odyssea Stevedoring Puerto Rii, Inc. we have always been in the best disposition to cooperate with the Ports Authority in everything in our power to facilitate the transfer of our operations to the area of Berths #15 and #16.

In tune with the reality that the works of the Golden Triangle Project are in progress, we have been in communication with the Maritime Bureau, so we hereby summarize what was discussed in our last meetings held on Thursday, June 17th, and Wednesday, June 23, 1999, with Messrs. Victor Carrón and Orlando Rubert.

- 1) Perez & Co. shall continue its operations in the areas of Berth #15.
- 2) The facilities of the Puerto Rii Drydock would be operated by any private entity yet to be determined.
- 3) I hereby confirm our interest in occupying the facilities of Berth #16 as was indited to us, through a five-year renewable contract, and according to the following needs:
 - Preferential use of the berth – Lot #15'
 - 20,000 square feet of warehouse – Lot #16
 - Preferential use of the uncovered area – Lot #19*
 - 3,945.58 square feet for offices – Lot #17*

*See, copy of the Drawing attached.

- 4) The Ports Authority will enable the area of the wharf (Lot #15*) so as to be able to load ships / vessels using ramps as per the ITB Thunder Lightning and other modern vessels.

We very respectfully request that the preparation and discussion of the corresponding contracts be commenced so as to allow us to occupy the areas described as soon as the same are available.

We are very grateful for all the cooperation and courtesy on your part and that of Messrs. Carrón and Rubert. Receive our warmest regard.

Cordially,

(Signed) Julio Ortiz Mercado
Vice President

cc: Mr. Victor Carrion – Maritime Bureau

30 de junio de 1999

Gobierno de Puerto Rico
 Autoridad de los Puertos
 Isla Grande, San Juan

Atención: Sr. Hector R. Rivera - Director Ejecutivo

Re: Operaciones Muelles #15 y #16

Sirva la presente para saludarle y resumirle con los siguientes comentarios, nuestras impresiones y necesidades en relación a la relocalización de nuestras operaciones del área de San Juan según lo establecido en el Proyecto del Triángulo Dorado.

Deseamos reiterarle que en Odyssea Stevedoring Puerto Rico Inc. hemos estado siempre en la mejor disposición de cooperar con la Autoridad de Puertos en todo lo que esté a nuestro alcance para facilitar el traslado de nuestras operaciones al área de los Muelles #15 y #16.

A tono con la realidad de que las obras del Proyecto del Triángulo Dorado están en progreso nos hemos estado comunicando con el Negociado Marítimo por lo que procedemos a continuación a resumir lo discutido en las últimas reuniones celebradas los días jueves 17 de junio y miércoles 23 de junio de 1999 con los Sres. Víctor Carrión y Orlando Rubert.

- 1] Pérez y Cia. continuará sus operaciones en las áreas del Muelle #15.
- 2] Las facilidades del Puerto Rico Drydock serían operadas por alguna entidad privada aún por determinarse.
- 3] Confirmamos nuestro interés de ocupar las facilidades del Muelle #16 según nos fuera indicado; mediante Contrato de cinco (5) años de duración, renovable y de acuerdo a las siguientes necesidades;

- Uso preferencial del atracadero - Lot #15*
- 20,000 pies cuadrados de Almacén - Lot #16*
- Uso preferencial de área descubierta - Lot #19*
- 3,945.58 pies cuadrados para oficinas - Lot #17*

* Ver copia de Plano adjunto.

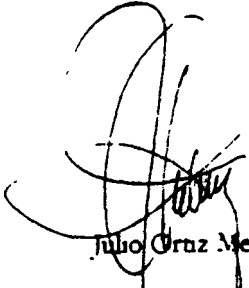
JULY 1, 1999

4) La Autoridad de Puertos habilitará el área del atracadero (Lot #15") de manera que se pueda descargar barcos/barcazas utilizando rampas según el ITB Thunder Lightning y otros barcos modernos.

Solicitamos muy respetuosamente, el que se comience con la preparación y discusión de los correspondientes Contratos de manera que podamos ocupar las áreas descritas tan pronto las mismas estén disponibles.

Muy agradecidos por toda la cooperación y amabilidad de parte suya y de los Sn Carnón y Rubert reciba usted nuestro mas cordial saludo.

Atentamente,



Julio Cruz Mercado
Vice Presidente

cc/ Sr. Victor ~~Carnón~~ - Segociado ~~Mantmo~~

EXHIBIT NO. 3-C

ODYSSEA STEVEDORING PUERTO RICO, INC.

Pier #9

San Juan, Puerto Rico

Tel. 7251065 | Fax. 725-1035

July 26, 1999

Government of Puerto Rico
Ports Authority
Isla Grande, Puerto Rico

Attention: Mr. Hector Rivera
Executive Director

On July 22nd of this year, at a meeting with Messrs. Victor Carrion and Orlando Rubert, of the Maritime Bureau, we were confirmed that the facilities of Berth #15 might soon be available for Odyssey Stevedoring's relocation from Berth #9, as an essential step of the Golden Triangle Project.

In the area of Berth #15, we will be provided with the necessary space to perform our operations, understanding by this: wharf, warehouse, uncovered area, offices, etc. We have made various visits to said area, so we can assure you that this can be done with a minimum of time, once these facilities are available.

As always, we shall cooperate with the other companies that will operate at Berths #15 and #16, as well as with the Ports Authority, during the transition period.

Cordially,

(Signed) Julio Ortiz
Vice President

cc: Maritime Bureau - Mr. Victor Carrion
Mr. Orlando Rubert

26 de julio de 1999

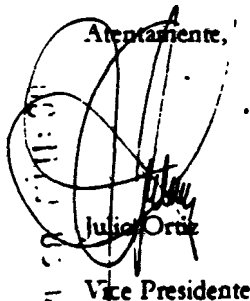
Gobierno de Puerto Rico
Autoridad de los Puertos
Isla Grande, San Juan

Atención: Sr. Héctor Rivera - Director Ejecutivo

El día 22 de julio del corriente, en reunión con los Sres. Víctor Carrión y Orlando Ruben del Negociado Marítimo se nos confirmó que próximamente las facilidades del Muelle #15 estarían disponibles para Odyssea Stevedoring relocizarse del Muelle #9 como paso esencial del proyecto Triángulo Dorado.

En el área del Muelle #15 se nos proveerá el espacio necesario para llevar a cabo nuestras operaciones; entendiéndose por lo anterior: atracadero, almacén, área descubierta, oficinas, etc.. Hemos efectuado varias visitas a Lcha área por lo que le podemos asegurar que esto se puede llevar a cabo en un mínimo de tiempo una vez estas facilidades estén disponibles.

Como siempre, cooperaremos con las otras Compañías que operarán en los Muelles #15 y #16 al igual que con la Autoridad de los Puertos en el periodo de transición.

Atentamente,

Julio Ortiz
Vice Presidente

CC/ Negociado Marítimo - Sr. Víctor Carrión

- Sr. Orlando Ruben

EXHIBIT NO. 3-D

TRANSLATION

ODYSSEA STEVEDORING PUERTO RICO, INC.

December 14, 1999

Government of Puerto Rico
Port Authority
Isla Grande, San Juan

Attention: Segismundo Quiñones, Esq., Director of Maritime Bureau Re: Dock #15

Confirming our conversation during our meeting of December 9, 1999 in your office at Odyssey, we are prepared to relocate our operations to Dock #15 as soon as the areas to be utilized are ready.

As we indicated to you, we have evaluated our needs, which are summarized below:

1. Main Warehouse Dock #15 – Lot #6: Exclusive area to be used as maintenance shop, and to save equipment and cargo of approximately 10,000 Sq. Feet.
2. General Office Building Dock #15 – Lot #9. Exclusive area for offices and cargo warehouse that covers the entire first floor of the building which is approximately 10,000 Sq. Ft. The majority of the space will be used for cargo.

The areas described here are duly identified on the drawings attached.

We are still waiting to complete the necessary measurements and immediately proceed with the revisions to our contracts with the Authority. We appreciate all your help in order to get this done with the urgency required.

Thank you for your consideration and support with this matter, and we reiterate our commitment to cooperate with Port Authority on the reorganization project.

You may consider this communication as our formal petition for the relocation of our operations on Dock #9 to Dock #15.

Page -2-

December 14, 1999

Hope you have a Merry Christmas and a prosperous year 2000.

Sincerely,

[Signed]

Julio Ortiz
Vice President

cc: Mr. Héctor Rivera – Executive Director

ODYSSEA STEVEDORING PUERTO RICO INC.

6

14 de diciembre de 1999

Gobierno de Puerto Rico
Autoridad de los Puertos
Isla Grande, San Juan

Atención: Lic. Segismundo Quiñones/ Director Negociado Marítimo

Re: Muelle #15

Confirmando lo discutido en nuestra reunión del día 9 de diciembre de 1999 en sus oficinas, en Odyssea estamos preparados para relocalizar nuestras operaciones al Muelle #15 tan pronto como estén disponibles las áreas a ser utilizadas.

Según le indicáramos, hemos evaluado nuestras necesidades las cuales resumimos a continuación:

- 1) Almacén Principal Muelle # 15 - Lote # 6: Área Exclusiva a ser dedicada para taller de mantenimiento y para guardar equipos y carga de aproximadamente 10,000 pies cuadrados.
- 2) Edificio General de Oficinas Muelle # 15 - Lote # 9: Área Exclusiva para oficina y Almacén de carga que cubre todo el primer piso del Edificio de aproximadamente 10,000 pies cuadrados. Se utilizará el máximo del espacio para carga.

Las áreas aquí descritas se encuentran debidamente identificadas en el plano que aquí le acompañamos.

Estamos aún en espera de completar las medidas necesarias y proceder inmediatamente con las enmiendas a nuestros Contratos con la Autoridad. Le agradeceremos toda la ayuda de su parte para lograr que esto se pueda llevar a cabo con la urgencia que se requiere.

Muchas gracias por su amabilidad y apoyo en este asunto y nos reiteramos en nuestro compromiso de cooperar con la Autoridad en este proyecto de reorganización.

....

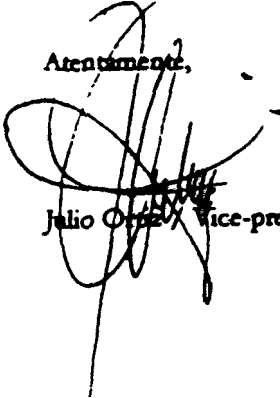
15
10:30

DECEMBER 14, 1999

Puede usted considerar esta comunicación como nuestra petición formal para la relocalización de nuestras operaciones del Muelle # 9 al Muelle # 15.

Muchas Felicidades en la Navidad y un Próspero Año 2000.

Atentamente,



Julio Ortiz, Vice-presidente

cc 'St Hector Rivera / Director Ejecutivo

EXHIBIT 3-E

ODYSSEA STEVEDORING P. R., INC.
P. O. BOX 9023895
SAN JUAN, PUERTO RICO 009024895
Phone (787) 7251085
Fax (787) 7251035

FAX MESSAGE

To: Ports Authority
Attention: Orlando Rubert / Segismundo Quiñones

Date: January 12, 2000

Fax: 724-8584

From: Julio Ortiz

Re: Operations Berth 15

The vessel Thunder/Lightning will arrive in San Juan on January 19th and we plan to continue using the facilities of Berth 15, as we were indicated in recent meetings. Meanwhile, there are still pending some situations in which we need your support until the contractual negotiations are completed, for the definite relocation of our operations from Berth 9 to Berth 15. The two (2) most urgent are the following:

- To substitute the equivalent exclusive space necessary to accommodate the paper rolls LB that will be received on the vessel.
- That we jointly inspect the area so as to urgently begin the repairs such as pavement, floor and storage doors, lightning, office areas, etc.

We reiterate our disposition to cooperate with the Authority in everything related to this reorganization and to continue operating from Berth 15.

Appreciating your courtesy and support, receive our warmest regard.

(Signed) Julio Ortiz

ODYSSEA STEVEDORING P.R. INC.

PO BOX 9023895

SAN JUAN, PUERTO RICO 00902-3895

PHONE: (787) 725-1065

FAX: (787) 725-1035

FAX MESSAGE

To: Autoridad de los Puertos
Atención: Orlando Rubert / Segismundo Quiñones
Fax: 7248564

Date: 12 de enero de 2000

From: Julio Ortiz

Re: Operaciones Muelle 15

El Barco Thunder/Lightning llegará a San Juan el día 19 de enero y planeamos continuar utilizando las facilidades del Muelle 15 según se nos indicó en reuniones recientes. Mientras tanto continúan pendiente algunas situaciones en las cuales necesitamos su apoyo hasta que se completen los trámites contractuales para la relocalización definitiva de nuestras operaciones del Muelle 9 al Muelle 15. Las dos (2) más urgentes son las siguientes:

- Que se sustituya el espacio exclusivo equivalente necesario para acomodar los rollos de papel KLB que se recibirán en el Barco.
- Que conjuntamente inspeccionemos el área de manera que se pueda comenzar urgentemente las reparaciones como pavimento, piso y puertas del almacén, alumbrado, áreas de oficina, etc

Nos reiteramos en nuestra disposición para cooperar con la Autoridad en todo lo relacionado con esta reorganización y continuar operando desde el Muelle 15.

Agradecido por su gentileza y apoyo reciba usted nuestro más cordial saludo.

que


ODYSSEA STEVEDORING PUERTO RICO, INC.

Pier #9

San Juan, Puerto Rico

Tel. 7251065 / Fax. 7251035

February 29, 2000

Government of Puerto Rico
Ports Authority
Isla Grartde, Puerto Rico

Attention: Segismundo Quiñones, Esq.

Re: Operations Berth #15

In connection with the relocation of our operations from Berth #9 to the area of Berth #15, we inform you that we are still waiting to determine the place where to store our equipments.

For your information, Qdyssea has the following motor equipment in Puerto Rico:

- a) two (2) fingers of 33,000 pounds
- b) six (6) fingers of 15,500 pounds
- c) eight (8) fingers of 11,000 pounds
- d) two (2) fingers of 8,000 pounds
- e) three (3) platforms of 40 feet
- f) two (2) platforms of 45 feet
- g) two (2) tractors ("mules")
- h) one (1) Ford bus model F-I 50

This equipment has a value of \$1.2MM which requires a safe place to store and maintain preventively, since all major repairs are made in Mobile, Alabama where there is a contract with Caterpillar. Even though we are aware of the effort and interest on your part and of your work team to resolve this situation, it is still pending, and we urgently need to find some solution before we move definitely to Berth #15.

Understanding the existing limitations of covered space, we then request that you rent us a "cuerda" of open space to resolve this situation, as well as to accommodate the big rolls – KLB – that do not fit in the storage area available.

Please let us know when we can meet to continue discussing this matter and other possible alternatives.

Appreciating your courtesy and support.

(Signed) Julio Ortiz
vice president

29 de febrero de 2000

Gobierno de Puerto Rico
Autoridad de los Puertos
Isla Grande, San Juan

Atención: Lic. Segismundo Quiñones

Re: Operaciones Muelle #15

En relación a la relocalización de nuestras operaciones del Muelle #9 al área de los Muelles #15 le informamos que estamos aún en espera de determinar el sitio donde poder guardar nuestros equipos.

Para su información Odyssea tiene en Puerto Rico el siguiente equipo de motor:

- a) dos -2- finger de 33,000 lb.
- b) seis -6- finger de 15,500 lb.
- c) ocho -8- finger de 11,000 lb.
- d) dos -2- finger de 8,000 lb.
- e) tres -3- plataformas de 40 pies
- f) dos -2- plataformas de 45 pies
- g) tres -3- tractores ("mulas")
- h) una -1- guagua Ford modelo F-150

Estos equipos tienen un valor de \$1.2MM lo que requiere un lugar seguro para guardarse y mantenerse preventivamente ya que toda reparación mayor se hace en Mobile, Ala. donde se tiene Contrato con la Caterpillar. Aunque nos consta el esfuerzo e interés de parte suya y de su equipo de trabajo para resolver esta situación la misma queda aún pendiente y nos urge el que se encuentre alguna solución antes de mudarnos definitivamente al Muelle #15.

Comprendiendo las limitaciones existentes de espacio cubierto le solicitamos entonces, que si nos alquile un área de espacio abierto donde podamos resolver esta situación al igual que el acomodo de los rollos grandes -KLB- que no caben en las áreas de almacén disponibles.

Favor de dejarnos saber cuando podemos reunirnos para continuar dialogando sobre esta u otras posibles alternativas sobre lo que aquí le indicamos.

Muy agradecido por su gentileza y apoyo.

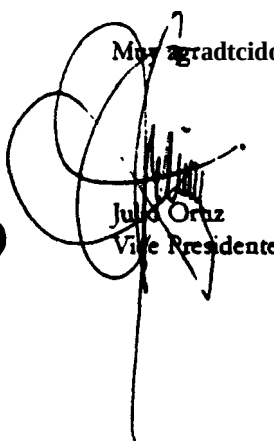

Julio Ortiz
Vice Presidente

EXHIBIT 3-C



ODYSSEA STEVEDORING P. R., INC.

P. O. BOX 9023695

SAN JUAN, P. R.

Phone 7251065

Fax 7251035

April 25, 2000

Government of Puerto Rico
Ports Authority
Isla Grande, San Juan

Attention: Mr. Hector Rivera
Executive Director

Re: Operations Berth #15

As you know, our operations have been relocated in their entirety from Berth No. 9 in Puerta de Tierra to Berth No. 15 in Miramar. In this process, we have made all efforts in our power to comply with our compromise of cooperation with the Authority, and we will continue to do it.

We only have still pending the situation related with the storage of the paper rolls – KLB (Kraft Linerboard), which, because of its size and weight, cannot be managed with safety and efficiency in the area assigned to Odyssea Stevedoring at Berth #15.

This situation has caused concern and controversy with our main clients. If we do not find an urgent solution to this problem in Odyssea Shipping Lines and Odyssea Stevedoring, we would be in a very disadvantage situation with respect to our competitors, whii will place our commercial positron in great danger.

As requested, we have reduced our exclusive space from 42,000 square feet in Berth #9 to less than 20,000 in Berth #15. We only request that we be granted the area previously used by Perez & Co. as maintenance area within the cargo warehouse. The space that we request is of approximately 6,000 square feet. See aerial photo where we indicate the referenced area.

We assure you that this is the last situation pending to be resolved with respect to the relocation of Odyssea.

Appreciating your courtesy and support, receive our warmest regard.

(Signed) Julio Ortiz
Vice-President

cc: Fernando Rivera
Puerto Rii Shipping Association

ODYSSEA STEVEDORING OF P.R. INC.

P.O. BOX 9023895 SAN JUAN, P.R.

TEL 725-1065

FAX 725-1035

25 de abril de 2000

Gobierno de Puerto Rico
Autoridad de los Puertos
Isla Grande, San Juan

Atencion Sr Hector Rivera
Director Ejecutivo

Re Operaciones Muelle = 15

Tal y como usted conoce nuestras operaciones han sido relocalizadas en su totalidad del Muelle no 9 en Puerta de Tierra al Muelle no 15 en Miramar. En este proceso hemos hecho todos los esfuerzos a nuestro alcance en cumplimiento con nuestro compromiso de cooperacion con la Autoridad y continuaremos haciendolo.

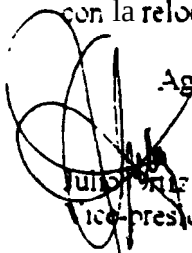
Solo nos ha quedado pendiente la situacion relacionada con el almacenaje de los rollos de papel - KLEI Kraft Linerboard - los que por su tamaño y peso no se pueden manejar con seguridad y eficiencia en el area asignada a Odyssea Stevedoring en el muelle # 15.

Esta situacion ha provocado preocupacion y controversia con nuestros clientes principales. De no encontrar una solución urgente a este problema en Odyssea Shipping Lines y Odyssea Stevedoring estaríamos en una situación sumamente desventajosa con respecto a nuestros competidores lo que pondría en grave peligro nuestra posición comercial.

Segun se nos solicitara, hemos logrado reducir nuestro espacio exclusivo de 42,000 pies cuadrados en el muelle # 9 a menos de 20,000 en el muelle # 15. Solamente le solicitamos se nos ceda el area anteriormente utilizada por Perez y Cia como área de mantenimiento dentro del almacén de carga. El espacio que le solicitamos es de aproximadamente 6000 pies cuadrados. Ver foto aérea donde le indicamos el area de referencia.

Le aseguramos que esta es la última situación pendiente de resolverse en lo que respecta con la relocalización de Odyssea.

Agradecidos por toda su cooperación y apoyo, le estendemos nuestro más cordial saludo.


FERNANDO RIVERA
Vice-presidente

CC: Fernando Rivera
Asociación de Navieros de Puerto Rico

EXHIBIT 3-H

FELIX ROMAN CARRASQUILLO
ATTORNEY & COUNSELOR AT LAW

802 **Fernández Juncos** Ave.
Miramar, San Juan, P.R. 00907

Tel. (787) **725-2228/723-8520**
Fax. (787) 724-7844
romanlaw@tld.net

November 9, 2000

Mr. Hector Rivera
Executive Director
Puerto Rico Ports Authority
P.O. Box 362829
San Juan P.R. 00936-2829

RE: ODYSSEA STEVEDORING P.R. INC.

Dear Mr. Rivera:

Our client, **Odyssea Stevedoring P.R. Inc.** requested us to formally appeal to you for an immediate solution regarding several problems which at present time severely obstructs its ability to adequately perform Stevedoring¹ and Marine Agent² operations on PRPA's leased facilities. All in all, as result of PRPA's own shortcomings.

Since June 1996 and pursuant to a lease agreement³, **Odyssea Stevedoring P.R. Inc.**, before (Ocean Enterprises Inc.), conducted its principal operation from Pier #9 in Puerta de Tierra. Nonetheless, on April 2000, as a direct consequence of the so-called "Golden Triangle" project, Odyssea's operations⁴ were transferred against its volition to Piers #15 and #16 in Miramar.

By then, a new lease agreement⁵ had being executed whereby Odyssea was granted close to

¹Among others, Odyssea provides stevedoring services to Kent Line Ltd.; Tramarco Lines; Mac Stell; Servimetal; Woodmarket/Madelux.

²Representing Odyssea Shipping Line.

³Contract # AP-97-98-(04)-030

⁴Like many of its neighbors.

⁵Contract # 99-00-(4)-074

Mr. Hector Rivera
Nov. 9, 2000

20,000 sq. ft. area for "breakbulk cargo" and almost 4,000 sq. ft. for office space on Pier #15. Although the previous contract provided for equal and/or similar circumstances in the event of relocation, the transferring of operations and the new agreement represented Odyssea a substantial reduction in its facilities⁶. As you are aware, Odyssea resented the relocation because Piers #15 and #16 were not only crowded but also in poor and in shabby conditions; nonetheless, it worked along PRPA in order to ease the moving of its operations.

To compensate its demise, in numerous⁷ occasions Odyssea requested from PRPA preferential berthing conditions at Piers #15 and #16 and an exclusive area to handle and storage its cargo. The request was also prompted on the fact that Odyssea had experimented a substantial increase in the volume of the "bulkrate" cargo that it handled. After many hurdles, PRPA agreed and pledged "preferential berthing" considerations to Odyssea.

Nonetheless, as of this day, Odyssea has not been able to obtain access to the leased premises nor have been given "preferential berthing" on Pier #15⁸. To the contrary, Odyssea is constantly discriminated upon regarding berthing conditions and, despite the fact that it has paid over \$50,000. in rent, Pérez and Cía. {the old tenant at the site} remains on the leased facilities that were assigned to Odyssea.

Last but not least, since the beginnings of its operations, Odyssea has requested on many occasions that its account⁹ be clear of the erroneous \$185,040.17 pending balance. Withal, PRPA's account department have failed to meet with Odyssea's representatives in order to correct and/or

⁶ From 42,000 sq. ft. at Pier #9 to less than 20,000 at Pier #15.

⁷ Starting on November 1998.

⁸ As an example, please note that during recent weeks Odyssea could not provide for two consecutive days Docking facilities to M/V Delta Mariner {a liner service} because PRPA refused to provide docking facilities even though it had several docks available. On this particular instance, Odyssea incurred in over \$40,000.00 in costs and expenses.

⁹ Acc. # 0537

Mr. Hector Rivera
Nov. 9, 2000

amend the discrepancies on the account. Considering that both, PRPA's Maritime Bureau and PRPA's Account Department are aware the discrepancies contained on the account, the foregoing demonstrates that PRPA's discrimination towards Odyssea is not only at the docking facilities but also ashore.

As a result of the above-mentioned, Odyssea demands and immediate meeting with either you or someone of your designation to finally bring order to the foregoing. Should PRPA fail to respond to this communication within the next (7) days, Odyssea will file an injunctive relief requiring the specific performance of PRPA's obligations and responsibilities pursuant to the Lease Agreement¹⁰ and the verbally agreed berthing stipulations. In addition, Odyssea will file a complaint before the Federal Maritime Commission claiming undue preference and prejudice in violations of the Shipping Act of 1984 as amended by the Ocean Shipping Reform Act of 1998.

Awaiting your prompt response to this matter, I remain,

Sincerely,

Félix M. Román

cc Odyssea Stevedoring P.R. Inc.
Rick Rude Esq.
Mr. Luis Ramos, Sub-Director
Mr. Marcelino Rodríguez, Maritime Bureau - *Recd 9-11-00*
Ms. Ivelisse Castro, Acc. Dept. - *Recd 9-11-00*
Segismundo Quiñones, Esq. Deputy Assistant, Maritime Bureau - *11/11/00*
Mr. Fernando Rivera, P.R. Shipping Assoc.
Mr. George Fabre, Perez & Cia. - *Ala mano - p. 11/11/00*

¹⁰Including but not limited to a determination that Clause (4) of the Lease Agreement is contrary to law and/or unconstitutional inasmuch it contains an illegal provision for unilateral revocation of the the lease.

EXHIBIT NO. 3-"I"

ODYSSEA STEVEDORING PUERTO RICO, INC.
PIER #15
SAN JUAN
Phone 7251065 / Fax 7251035

January 25, 2002

Commonwealth of Puerto Rico
Ports Authority
Isla Grande, Puerto Rico

Attention: Jose G. Baquero
Executive Director

Re: Warehouse Pier #15

We are hereby officially bringing to your attention the fact that, effective next month of February of 2002, the Kent Line will extend its participation in the Puerto Rico market with a new service from South America to San Juan. With this operation, cargo will be left in San Juan to be transferred to other ports of the United States.

Specifically, wood and pulp will be unloaded, which will require the use of warehouse until they are reembarked to their final destination. We have made everything in our power and within our resources and, as you are aware, we are still in need of the support and cooperation of the Authority to comply with our compromises. Within the months of February and March of 2002, in addition to the Kent Line, another maritime line – we will soon announce the name and details of this new service – will begin operations in San Juan with a frequency of two arrivals per month, also with general cargo, which will require the use of covered area.

We request with most urgency that our contract be amended to include the exclusive use of 30,000 square feet of the warehouse of Pier #15.

Please let us know when we can meet to clarify any detail regarding the above.

Cordially,

(Signed) Julio Ortiz Mercado
Vice President



Mr. Edwin Rodriguez – Maritime Bureau
Luis Saldaña, Esq. – Saldaña & Carvajal

ODYSSEA STEVEDORING PUERTO RICO INC.

February 19, 2002

Commonwealth of Puerto Rico
José G. Baquero, Esq.
Executive Director
Port Authority
Isla Grande, San Juan

Dear Director;

Re: Facilities of Docks #15 and #16

As indicated to you in our recent communications dated January 4, 2002 and January 25, 2002 (copy attached), in order to maintain an efficient operation, without any disadvantages to our clients, our operations require constant use of warehouse and open-space area.

Currently the volume of freight managed within the area of operations of Docks #15 and #16 require the exclusive use of approximately three (3) to four (4) acres of open area. We are requesting that you provide such space at Dock #16 or alternatively at the space adjacent to the auto showroom that the Port Authority has relocated from Puerto Nuevo to the maritime area of Dock #15. We are greatly concerned that all of our clients are being troubled because we are not able to provide them adequate facilities and amenities that other companies, such as our competitors at Puerto Nuevo, Puerta de Tierra, Dock #15, Isla Grande, etc. are able to offer; and Port Authority has provided to these companies the same facilities that Odyssea has been requesting for several years.

In addition, we respectfully remind you that our request for 30,000 Sq. Ft. of covered space, indicated in our letter to you of January 25, 2002 (copy attached) is still pending your consideration.

Thank you in advance for your cooperation and support with this matter.

Sincerely,

Julio Cruz Mercado
Vice-President

cc: Mr. Edwin Rodríguez – Maritime Division
Luis N. Saldaña, Esq. – Saldaña and Carvajal

EXHIBIT NO. 4

ODYSSEA STEVEDORING PUERTO RICO, INC.

PIER #15

SAN JUAN

Phone 7251065 / Fax 7251035

E-mail julior@coqui.net

July 5, 2000

Government of Puerto Rico
Ports Authority
Isla Grande, San Juan

Attention: Mr. Hector Rivera
Executive Director

Re: Preferential use – Berths #15 and #16

We wish to confirm what was discussed in our meeting of last Thursday, June 29, 2000, with Messrs. Luis Ramos, Assistant Executive Director, and Marcelino Rodriguez, Director of the Maritime Bureau, in connection with the request by the Puerto Rico line to grant them preferential use of the wharf of Berth #15.

Since the beginning of 1999, we participated in numerous meetings and we had always expressed our interest in being given the opportunity of having preferential use of Berths #15 and #16, due to the volume of cargo that we handle and in consideration of the investment in equipment that we have made and the great costs incurred in moving and improvements to facilities of the Ports Authority. See copy of correspondence attached.

We had been informed at the time that the Ports Authority would not grant preferential use to any company due to the fact that these would be the only facilities available for the Ports to be able to comply with the operators of general cargo, tugs, etc., and any other type of cargo that would not be compatible with the Tourism piers or mechanized cargo. That all the companies would operate under the same conditions. Because of the seriousness and the good sense of the reasons stated above, we decided to desist from our petition and to review our needs for space; therefore, we adjusted to almost half of what we occupied in Berth #9 to facilitate to the Ports the difficult task of relocating the operation of Puerta de Tierra towards Berths #15 and #16. Odyssey Stevedoring is currently the main user of Berth #15 and our volume will increase in a 50% from September of this year 2000 (see copy of confidential letter attached).

We currently count with ten (10) berths less for general cargo, including the only one with 32 feet of draught in the San Juan area, and structures were demolished which represented over 500,000 square feet of storage area. As of this date, we have been able to manage within the

delicate balance maintained by Maritime Operations as to the use of the berths, in equal conditions for everyone.

We agree with the way operations have been handled so far and we very respectfully request that it be kept that way. This in view of the serious limitations that we face and notwithstanding the efforts that day by day we make to resolve the problems that we encounter which always have a solution.

If there has been any change in the position of the Authority, we request the preferential use of Berth #15, as indicated in our letter dated June 30, 1999.

We appreciate your taking the above into consideration and we are available to continue discussing this matter and any other matter that may affect us.

Receive our warmest regard.

Cordially,

(Signed) Julio Ortiz Mercado

cc: Mr. Luis Ramos – Assistant Director
Mr. Marcelino Rodriguez – Maritime Bureau
Mr. Fernando Rivera - Puerto Rico Shipping Association

(A receipt stamp is affixed.)

5 de julio de 2000

Gobierno de Puerto Rico
Autoridad de los Puertos
Isla Grande, San Juan

Atención: Sr. Héctor R. Rivera
Director Ejecutivo

Re: Uso Preferencial - Muelles #15 y #16

Desearnos confirmar lo discutido en nuestra reunión del pasado jueves, 29 de junio de 2000, con los Srs. Luis Ramos, Sub-Director Ejecutivo y Marcelino Rodríguez, Director del Negociado Marítimo en relación a la solicitud de la Compañía Puerto Rico Line para que se le otorgue Uso Preferencial del atracadero del Muelle #15.

Desde comienzos del año 1999 participamos en numerosas reuniones y siempre expresamos nuestro interés en que se nos diera la oportunidad de tener Cso Preferencial del Muelle #15 o #16 debido al volumen de carga que manejamos y en consideración a la inversión en equipos que hemos hecho y a los grandes costos incurridos en mudanzas y mejoras a facilidades de la Autoridad de los Puertos. Ver copia de correspondencia que aquí le acompañamos.

Fuimos informados en aquel entonces que la Autoridad de los Puertos, no otorgaría Uso Preferencial a ninguna Compañía debido a que estas serían las únicas facilidades disponibles para Puertos poder cumplir con los operadores de Carga General, Remolcadores, etc.. y cualquier otro tipo de carga que no fuera compatible con los Muelles de Turismo o Carga Mecanizada. Que todas las Compañías operaríamos en igualdad de condiciones. Por la seriedad y la sensatez de las razones antes expuestas decidimos desistir de nuestra petición y revisar nuestras necesidades de espacio por lo que nos ajustamos a casi la mitad de lo que ocupábamos en el Muelle #9 para facilitar a Puertos la difícil tarea de relocalizar las operaciones de Puerta de Tierra hacia los Muelles #15 y #16. Odyssea Stevedoring es actualmente el usuario principal del Muelle #15 y nuestro volumen aumentará en un 50% a partir de Septiembre de ese año 2000 (ver copia de carta Confidencial adjunta).

En la actualidad contamos con diez (10) Muelles menos para Carga General incluyendo el único con 32 pies de calado en el área de San Juan y se demolieron estructuras que significaban sobre 500,000 pies cuadrados de área de Almacén. Hasta la fecha nos hemos podido desenvolver dentro del delicado balance que mantiene Operaciones Marítimas en cuanto al uso de los Muelles, en igualdad de condiciones para todos.

Estamos de acuerdo como hasta el presente se han estado manejando las operaciones y le solicitamos muy respetuosamente el que así se mantenga. Esto en vista de las serias limitaciones que confrontamos y a pesar de los esfuerzos que día a día realizamos para resolver los problemas que se nos presentan y que siempre tienen solución.

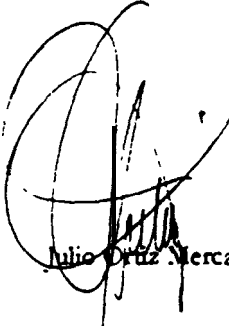
JULY 5, 2000

DC haber ocurrido algun cambio en la posición de la Autondad solicitamos el Uso Preferencial del Muelle #15, según le indicamos en nuestra carta fechada 30 de junio de 1999

Le agradeceremos se tome en consideración sobre lo que aqui le exponemos y estamos disponibles para conntnuar dialogando sobre este y cualquier otro asunto que nos pueda afectar.

Reciba usted por este medio nuestro cordial saludo.

Atentamente.


Julio Ortiz Mercado



RECIBIDO
GAB. L.
JUL 05 2000

CC Sr. Luis Ramos - Sub - Director
Sr. Marcelino Rodriguez - Negociado Marítimo
Sr. Fernando Rivera - Asociación de Navieros

AGREEMENT

AP- 00-01-(4)-022

In San Juan, Puerto Rico, this 18, October 2000

APPEAR

AS PARTY OF THE FIRST PART: **THE PUERTO RICO PORTS AUTHORITY** public corporation and governmental instrumentality of the Commonwealth of Puerto Rico, created by Act No. 125, approved May 7, 1942, as amended, hereinafter referred to as the "Authority", and represented by its Executive Director, Mr. Hector R. Rivera, or any other officer acting in his stead.

AS PARTY OF THE SECOND PART: **HUAL AS**, hereinafter referred to as the "Lessee" and represented in this act by Mr. Knut Hundhammer, Senior Vice President, resident.

The said appearing parties, freely, spontaneously, and on their own free will

STATE

The Authority is the owner of Old Navy Base located in the municipality of San Juan, Commonwealth of Puerto Rico, hereinafter referred to as the "Premises and other facilities".

The Lessee is engaged in the business of Shipping Company.

CONDITIONS

ARTICLE 1. LETTING OF PREMISES

The Authority does hereby demise and lease to the Lessee, and the Lessee does hereby hire and take from the Authority, the premises and other facilities designated and delineated in Exhibit No. 20-501, attached hereto and made a part hereof, consisting of an open area of four point twenty two (4.22) "cuerdas" (acres) located at the Old Navy Base.

Also the Authority grants the preferential use of Pier 15 under the conditions stated in Article 3.

ARTICLE 2. TERM

A. The term of this agreement shall be for three (3) years, commencing on the date of execution of this agreement by the Ports Authority Executive Director or either the date upon which the Federal Maritime Commission

determines in writing that this agreement is not subject to the Shipping Act of 1984, or the date that the Commission determines that it is to become effective. Lessee may exercise two (2) additional options of one (1) year each, by notifying the Authority a written communication of the intentions of the Lessee to exercise such options, sixty (60) days prior to the expiration of the agreement. The exercised options shall be filed with the Federal Maritime Commission prior to the expiration of the agreement.

B. Notwithstanding the provisions of the proceeding paragraph, or any other provision to the contrary herein contained, the Ports Authority may cancel and terminate this agreement as provided hereinafter.

C. At the date of termination of this agreement, Lessee shall move out and/or deliver to the Ports Authority the possession and/or the key of the demised premises immediately. If at the date of expiration of this agreement, Lessee does not move out and/or deliver to the Ports Authority the possession and/or the key of the demised premises immediately, Lessee shall pay the Ports Authority a penalty of \$8,791.66 for each day after the date of termination of this agreement. In addition, Lessee shall pay the Ports Authority an amount of money equal to the monthly rent established in this agreement as compensation for the use and occupancy of the demised premises. Lessee's compliance with the provisions of this paragraph shall not constitute an impediment for the Ports Authority to take appropriate legal action to force or compel Lessee to move out and/or deliver to the Ports Authority the possession and/or the key of the demised premises. Ports Authority's acceptance of the amounts of money described herein shall not be construed as an explicit or implied amendment, extension, or renewal of this agreement.

D. In the event that Lessee does not move out and/or deliver to the Ports Authority the possession and/or the key of the demised premises at the date of termination of this agreement, Lessee submits to an eviction summary proceeding under the jurisdiction of the Puerto Rico First Instance Court.

E. In the event that the Ports Authority file an eviction legal action, a money collection legal action, a damages legal action, or any other legal action

reason of Lessee's breach of its obligations under this agreement, Lessee shall pay all Ports Authority's costs and legal fees in connection therewith.

F. If Lessee is interested in an amendment, extension, or renewal of this agreement, or in any manner whatsoever attain an extension of the term of this Agreement, Lessee shall notify the Ports Authority of such interest at least one hundred and eighty (180) days before the date of termination of this agreement. If the Ports Authority does not respond to such notice within a period of thirty (30) days from the date of said notice, it shall be understood that the Ports Authority has rejected Lessee's request for an amendment, extension, or renewal of this agreement.

ARTICLE 3. USE OF PREMISES AND EXERCISE OF RIGHT GRANTED

A. The Lessee shall be entitled to the use of the demised premises during the term of this lease, for the following purposes and such purposes only: loading, unloading, storage of containers, motor vehicles, equipment and machinery. The Lessee shall guarantee to the Authority for the preferential use of Pier 15 facilities, the minimum total amount of \$500,000.00 covering wharfage, dockage, harbor dues, plus demurrage, if applicable, and any other charges which normally are assessed by the Authority against all vessels and cargoes of HUA and all other companies using the Pier 15 facilities. A bond covering fifty per cent (50%) of the total minimum annual amount will be filed with the Authority upon signing this contract. Lessee's need for preferential berth will be evaluated annually and bond will be renewed accordingly.

B. The right of preference herein granted shall operate to prefer the Lessee over other members of the public in the use of Pier 15 under these conditions:

1. The berthing area platform, of Pier 15 for the docking and mooring of vessels who are operated by the Lessee or for which the Lessee is principal agent; or for the vessels which are engaged in the loading or unloading of cargo transported or to be transported by such vessels, or of suppliers thereof. The preferential use of Pier 15 is conditioned for at least three (3) vessels during a period of thirty (30) days,

2. The use of the non-exclusive area made by the Lessee shall be under contracts made between the Lessee and the Authority as Follows: The initial use of the leased area, made in connection with any one berthing of a seagoing vessel, shall create a single contract between the parties hereto, which contract shall cover all use of the leased area in connection with the berthing of such vessels, including the loading and discharges of the vessel, the handling and temporary storage of outbound and inbound cargo and supplies, and the handling of passengers shall be subject to all terms and provisions of this agreement and to the schedule of rates and charges then in effect, including rules and regulations applying at the terminal facilities of the Puerto Rico Ports Authority (hereinafter referred to as the "Schedule").

3. On or before the eighth day of each calendar month, during the effective period of this contract, the Lessee shall furnish to the Authority a schedule, showing the expected arrivals of seagoing vessels at the leased area for the next succeeding period of thirty (30) days, and the number of days that each vessel will be expected to occupy space in the berthing area.

4. If at any time, it appears likely from the schedules furnished by the Lessee that the Lessee will not use the berthing area, and after inquiry by the Authority, the Lessee so confirms, the Authority shall have the right to use and permit the use, by others than Lessee, of all or any part of the berthing area not in use at the time by the Lessee. Upon the arrival of a vessel, at the time scheduled by Lessee, the Authority will make available the berthing for such vessel.

5. Upon the arrival of a vessel, otherwise entitled to the use of the berthing area, but not previously scheduled; the Lessee may exercise its right of preference only for such period, if the Authority is not using the leased area, or has not scheduled the use therefore. Prior to the arrival of any seagoing vessel, the Lessee shall apply to the Authority for a berth assignment for each such vessel. Each vessel must occupy the space assigned and shall not shift elsewhere without the written consent of the Authority.

6. The Authority may require any vessel to vacate a berth, ~~when~~, in the judgment of the Authority, after **consulting** the Lessee, it **shall** be necessary to prevent injury or damage, or threat of injury or damage to persons or property

7. Not later than three (3) days after departure of **seagoing** vessels scheduled as above provided, Lessee shall submit to the Authority a **cargo** manifest and all other necessary documents with the follow information:

- a. Name of vessel
- b. Its gross **registered** tonnage
- c. Date and time of arrival of the vessel
- d. Volume and tonnage of actual cargo discharge
- e. Number of passengers that arrive and leave, if any

8. The Lessee binds itself to storage its transshipment cargo **and** motor vehicles in its exclusive area immediately after the finish or conclusion of the unloading operations.

ARTICLE 4. **RELOCATION OF PREMISES**

The Authority reserves the right, at any time **during** the term of this agreement to designate and assign if possible, to the Lessee another **location** C approximately the same measurement; at the same premises or at any other premises or facilities.

ARTICLE 5. **RENT**

A. The Lessee agrees to pay to the Authority, for the rights and privileges herein granted in the four **point** twenty two (4.22) "cuerdas", minimum monthly rental of **\$8,791.66** (4.22 "cuerdas" x **\$25,000.00** **\$105,500.00** ÷ 12). The total amount of the agreement for the period **established**. Including the options, will be **\$527,500.00**.

8. The Lessee agrees and accepts to pay, from the date of possession and occupancy of the leased facilities, the additional rent billed by the Authority in case that the area of those leased facilities is found to be greater than the one

originally specified in this written agreement or lease contract. It is **clear hereby** that such additional rent will be billed retroactively, in proportion to the **greater** area or real area of said facilities.

C. The minimum monthly rental shall be paid in advance on or **before** the 10th day of each month at the Principal Offices of the Authority, or at **such** other place as may be designated from time to time by the Authority.

D. It is understood that the rentals stated in this contract have been computed on the basis of the rental charges contained in the **applicable** Resolutions promulgated and approved by the Authority and such rentals **are** subject to readjustment in accordance with the rates, fees, rentals and **other** charges to be adopted from time to time pursuant to the Authority Act. The **Lessee** agrees to pay the readjusted rental **fixed** by the Authority in **accordance** with the provisions of said Act.

E. The Lessee shall pay promptly to the persons furnishing or **providing** any or all utilities and services related therewith when not furnished by the Authority. The Lessee at his own cost and expense shall install any **utility** made necessary by the Lessee's operations. Any adjustment made in relation to the consumption of these utilities or services will be retroactive to the date of the commencement of this agreement or to the date of installation, or **removal** of the fixtures that affect such consumption.

F. In case the Authority does not provide these services, **Lessee** shall install electricity and water meters within ninety (90) days from the effective **date** of the Agreement wherever feasible. The Lessee shall pay promptly to the persons furnishing or providing any or all utilities and services related **therewith** when not furnished by the Authority. The Lessee at its own cost and **expense** shall install any utility installation made necessary by the Lessee operations. An adjustment made in relation to the consumption of these utilities or services will be retroactive to the date of the commencement of this agreement or to the **date** of installation or removal of the fixtures that affect such consumption.

G. The Lessee shall pay a penalty of 35% of the gross revenue obtained from any operation conducted at the premises, which is not **authorized**.

by this or any other agreement. However, this paragraph shall not be **construed** as an authorization to perform activities not **specifically** covered by this or any other written agreement and the collection of this penalty will not constitute a waiver of the right of the Authority to cancel the entire agreement by reason of this default.

H. The Lessee shall **maintain** during the term of this Agreement, records and books of account in accordance with accepted accounting practice, recording all transactions, which records shall be kept at all times within the municipality of San Juan.

The Lessee shall also maintain these records and books separated from any other records and books of account or any accounting system of other business operated by the Lessee in the facilities of the Authority or outside.

I. The Authority shall have the right to examine and audit before the ending of the contract and the restitution of the bond, all records and books of accounts kept by the Lessee. The notice to examine and audit the books of accounts will be in writing and served at least **five** (5) days in advance of such audit.

The audit of records and books of accounts will be performed **during** regular business hours by the personnel of the Internal Auditors Office, with the purpose to verify the compliance of the operations with the applicable laws, proceeding, regulations and contracts.

The records and books of accounts of Lessee's subcontracts will be subjected to the audit when the personnel of the Internal Audits Office determine the necessity or convenience to examine or audit them.

J. The Authority may obtain by photocopy or duplicate any pertinent or relevant information results by investigation of the **reports** and documents authorizes previously for inspection.

K. Any sum due and owe under this agreement not paid by the Lessee within the period of ten (10) days beginning the **first** day of each month, shall bear interest at a rate of 9% per annum without any need of notice of default,

computed said Interest from the first day of the month and until the total sum owed by the Lessee is paid.

ARTICLE 6. **SECURITY FOR PAYMENT OF RENTALS AND OTHER CHARGES**

A. On the date of execution of this agreement the Lessee shall deliver to the Authority as guarantee for the payment of rentals, fees and other charges and the faithful performance of its obligations under this agreement a Lease Bond in the amount of **\$26,374.98**. Also the Lessee shall deliver to the Authority an operational bond in the amount of **\$250,000.00** as guarantee for the payment of the operational charges (dockage, wharfage and harbor dues).

B. In case the terms of the Lease Bond referred to in prior subparagraph are not satisfactory to the Authority, the Authority may reject them and request modifications.

ARTICLE 7. **WAIVER OF RESPONSIBILITY**

The Lessee agrees to save forever harmless, independent of liability determination, the Authority from all claims for property damages or personal injury of any nature or death to persons that may be caused by Lessee's utilization, occupancy and operation at any Authority's facility including the premises covered by this agreement. Lessee shall defend any court or administrative action brought against the Authority for the . **aforementioned** damages, injuries or death and shall pay for any compensation or judgment resulting thereof.

In the event Lessee fails to comply with the abovementioned dispositions and this failure would cause the imposition of a pecuniary penalty or any other type of penalty to the Authority, Lessee shall reimburse the Authority the totality of the pecuniary penalty or of any other type of penalty imposed.

ARTICLE 8. **INSURANCE**

A. The Lessee shall carry public liability insurance with insurance companies authorized to do business in Puerto Rico and acceptable to the Authority, insuring Lessee against all liability for personal injury including bodily

injury, and property damage caused by Lessee's use and occupancy of the premises covered by this agreement and its operations at any other Authority's facilities.

B. The policy limits of said public liability insurance shall not be less than \$1,000,000.00 for any one occurrence involving personal injury, including bodily injury or death to each person; \$1,000,000.00 for each occurrence involving more than one person, and \$1,000,000.00 for property damages.

C. The public liability Insurance policy shall contain Fire Damage and Property Damage Legal Liability endorsements in the amount of \$50,000.00 to cover any damage to the structure or portion thereof rented to the Lessee by the Authority, including fixtures permanently attached thereto if such property damage arise out of any act of negligence of the Lessee, his employees and servants or any other person acting at the direction of the Lessee. Said endorsement shall state that any loss shall be paid to the Authority.

D. The public liability Insurance shall contain an endorsement reading as follows: The coverage of this policy will not be amended for the purpose of decreasing the protection below the limits specified herein, nor can it be cancelled without giving the Authority thirty (30) days prior written notice. A thirty (30) days prior written notice shall also be given to the Authority in the event of expiration.

In addition, the public liability insurance policy shall contain an endorsement of contractual liability including the Authority as additional insured and also a hold harmless agreement endorsement, which shall read as ARTICLE of this agreement.

The public liability insurance policy shall not contain any deductible unless the Lessee provides another insurance policy covering the risk in the amount not covered by the deductible.

E. The Lessee shall also maintain Workmen's Compensation Insurance under a policy issued by the Puerto Rico State Insurance Fund.

F. The Lessee further agrees that, not later than thirty (30) days prior to the expiration of any insurance policy required by this agreement to be carried or which is actually carried by the Lessee he will deliver to the Authority a Certificate of Insurance or a Certified copy of each insurance policy to cover the risks.

G. Simultaneously with the execution of this agreement the Lessee shall furnish the Authority a copy of the aforementioned insurance policies

H. The Authority shall fine the Lessee \$1,000.00 for each and every month the Security for Payment of Rentals and Other Charges and Insurance Policies are not submitted upon their expiration.

I. The Lessee shall reimburse the Authority for all the expenses it incurs as a result of non-compliance by the Lessee with the Insurance and Security for Payment of Rentals and Other Charges obligations covenanted by this agreement; or of the risks described herein.

J. In the event that the Lessee does not submit the insurance policies if the term of thirty (30) days prior to their expiration this will be considered as a violation to the terms and conditions of the present agreement. The Authority will immediately proceed with the cancellation of the agreement and at the same time will file the correspondent eviction procedure, in addition of the fine payment.

ARTICLE 9. REPAIRS AND ALTERATIONS

A. The Lessee has examined and knows the conditions and state of repair of the facilities, accepts them as such, and hereby acknowledges that the Authority has made no agreement or promises to alter, improve, adapt, Or repair any of the facilities or any part thereof, during the term of this agreement. The Lessee acknowledges further that no representation concerning the condition, or state of repair of any item of the facilities, or part thereof, has been made by the Authority prior to, or at the time of, the execution of this agreement, which are not set forth herein.

B. The Authority reserves the right to make such **repairs and improvements** to the leased premises during the term of **this** agreement as it shall deem necessary and appropriate.

ARTICLE 10. SUBSTANTIAL OR STRUCTURAL ALTERATIONS AND IMPROVEMENTS

A. Authorization granted to the Lessee

The Lessee subject to the previous approval in writing by the Authority, may make substantial or structural alterations, additions, **improvements** and betterments to the **facilities** leased.

B. Title to Improvements upon Termination of the Contract

The legal title to all substantial or structural alterations, additions, Improvements and betterments made and installed by the Lessee, shall be retained by the Lessee but at the termination or the agreement For any cause, **said legal title** shall be vested on the Authority without costs to the Authority and free of any liens and encumbrances, except that the Authority at its sole discretion reserves the right to require the Lessee to remove or demolish any or all such alterations, additions, improvements and betterments and to restore the **facilities** to the same conditions as existed prior to their installation, except for reasonable wear and tear, over which the Lessee has no control, and "force majeure". Such removal shall be completed within fifteen (15) days From the termination of **this** agreement. IF the Lessee does not proceed with the removal as herein provided, the Lessee shall be deemed to have abandoned to the Authority all said property, and the Authority shall have the right to dispose of same in any manner that it deems advisable or convenient at the expense of the Lessee.

ARTICLE 11. REASONS FOR CANCELLATION

A. In addition to any other remedy or right, **which** the Authority may **exercise** under the terms of this agreement, the Authority may cancel **this** agreement upon the happening of any one of the following events:

1. Abandonment of property by Lessee; or the liquidation of lessee's assets;
2. The occupancy or seizure by any third party under a court mandate or the attachment of Lessee's

assets located in the leased premises, if such occupancy, **seizure** or attachment is not terminated within Fifteen (15) days following the date in which it was executed;

3. Non-compliance by the Lessee of any of its obligations, covenants or agreements under this agreement or non-compliance by the Lessee of any other obligation of payment of due debts for any other concept, covenants or agreements between the Lessee and the **Authority**, not covered under this agreement, if such-non-compliance is not cured within fifteen (15) days after requested to do so by the Authority.

B. Upon the happening of any one of events recited above, the Authority may take possession of the premises at once and the Lessee shall pay the Authority as liquidated damages, without need or judicial determination, a sum equivalent to the rentals set forth in this agreement From the date of the happening of such event until the date Fixed in the agreement for its normal termination. The Lessee agrees to pay the legal expenses and attorney Fees if the Authority need to submit an eviction action, collection action, torts or any legal action by non-compliance of any of its obligations, covenants or agreements under this agreement.

ARTICLE 12. INSTALLATION OF FIXTURES

At its own cost and expense, the Lessee may install signs relating its business and any additional fixtures necessary for its activities in such a manner as not to deface or injure the premises. The Lessee shall not install such fixtures and signs without the previous approval in writing From the Authority.

ARTICLE 13. REMOVAL OF FIXTURES AND CHATTELS

A. Within **fifteen** (15) days **after** the date of termination of this agreement by any cause, the Lessee shall remove From the leased premises all equipment, personal property, Fixtures, signs, easily removable structures and improvements, machinery and goods or merchandise constructed, built, kept or deposited by the Lessee on the leased premises and restore the Facilities to the same conditions as existed prior to the lease, all of this at the expense of the Lessee.

B. If the Lessee does not proceed with the removal of said property as herein provided, the Lessee shall be deemed to have abandoned to the Authority all said property and the Authority shall have the right to dispose of same in any manner that it deems advisable or convenient at the expenses of the lessee.

ARTICLE 14. COMPLIANCE WITH THE LAW

Lessee shall obey and comply with all laws and regulations of Puerto Rico and all Federal Laws and regulations as well as Municipal Ordinances; Puerto Rico Port Authority's regulations; U.S. Coast Guard regulations and any administrative or judicial mandate related to the occupancy and operations of the rented facilities.

Lessee will pay or reimburse the Authority any fine or penalty imposed, as a result of non-compliance by Lessee of the covenants stated in this Article.

ARTICLE 15. PRESERVATION AND MAINTENANCE OF FACILITIES

A. The Lessee hereby expressly agrees to maintain the premises in a clean, wholesome and sanitary condition at all times during the term of this Agreement.

B. The Lessee shall conserve, protect, preserve, maintain and keep in good state of repair, the facilities demised herein, at its own cost and expense. The work required in order to discharge these obligations shall be approved in advance by the Authority.

C. Lessee's non-compliance with that previously indicated herein, will give rise to the imposition, of a daily penalty equivalent to the monthly rent established in this contract and if the Lessee fails to correct the situation within thirty (30) days period, the Authority will proceed with the cancellation of the contract.

ARTICLE 16. LIENS

The Lessee shall not do, or suffer anything to be done, upon or in connection with the premises, which may subject the facilities, or any part thereof to any liens or rights in rem; and shall promptly discharge, or cause to be discharged, any lien or right in rem; which may arise or exist at any time with respect to the facilities or to any alterations, additions, betterments, or

modifications thereof The Lessee agree to pay the legal expenses and attorney fees if the Authority need to submitted a eviction action, collection action, torts any legal action by non-compliance of any of its obligations, covenants and agreements under this agreement.

ARTICLE 17. LIABILITY FOR DAMAGES TO FACILITIES OF THE AUTHORITY

The Lessee assumes all risks of loss of, or damage to, the facilities of the Authority resulting from the failure of the Lessee to exercise due diligence and care in complying with the provisions of this Agreement.

ARTICLE 18. RIGHT OF ACCESS BY THE AUTHORITY

A. The Authority shall have the right to enter upon the leased premises to make any repairs, replacements and alterations as may be deemed necessary. Such action of the Authority shall not release the Lessee from its obligation to maintain and repair its own facilities and equipment.

B. The Authority shall also have the right, through its duly authorized agents and representatives, to inspect the premises and Installation of the Lessee at regular intervals, during regular business hours, to determine compliance of the Lessee with its obligations under this Agreement.

ARTICLE 19. ASSIGNMENTS

A. The property of rights subject of this Agreement cannot be transferred assigned nor subleased, in whole or in part, and by any form or manner, without the prior written consent of the Authority.

B. Prior to any transfer or assignment, in whole or in part, of the property or the rights subject of this Agreement, the Lessee or the party with interest in the transfer or assignment will, pay any sum owed to the Authority until the date of formalization of the transfer or assignment.

C. The Grantee, prior to any transfer or assignment, in whole or in part of the property or rights subject of this Agreement, will obtain credit with the Authority as a necessary requirement for the transfer or assignment approval.

D. The Grantor will not authorize the possession of the property or the render of services subject of the Agreement without the prior formalization of the

ransfer or assignment and the execution of all the requirements above mentioned. The Lessee agree to pay the legal expenses and attorney if the Authority need to submitted a eviction action, collection action, torts or any legal action by non-compliance of any of its obligations, covenants or agreements under this agreement.

E. Lessee has officially requested, through letter and in conversations with the Authority that it may be allowed, if it so wish prior to the expiration of the three years and the two year options, that it be authorized to assign this contract to its General Agents in Puerto Rico, PUERTO RICO LINE, INC., who will agree to comply the contract under the same provisions and conditions as originally agreed between Lessee and the Authority.

ARTICLE 20. LIMITACIONES OF THE LESSEE RIGHTS

This Agreement does not constitute the Lessee as an agent, officer or employee of the Authority for any purpose whatsoever.

ARTICLE 21. AGREEMENTS WITH THE UNITED STATES

This agreement and lease shall be subordinate to the provisions of any existing or future agreement between the Authority and the United States, relative to the operations or maintenance or the premises and other facilities, the execution of which has been or may be required as a prior condition to the expenditure of federal funds for the development of the premises and other facilities.

ARTICLE 22. NOTICES

Notices to the Authority must be in writing and either delivered by hand or sent by mail; postage prepaid, addressed to Mr. Hector R. Rivera, Executive Director, Puerto Rico Ports Authority, PO Box 362829, San Juan, Puerto Rico 00936-2829. Notices to the Lessee must be in the same manner addressed to HAUL AS, Mr. Knut Hundhammer, Vice President, PO Box 777, Sentrum N-0106 Oslo, Norway; and to Mr. Salvador González, General Manager, Puerto Rico Line Inc , 400 Ponce de Leon Ave., San Juan, PR, 00901.

ARTICLE 23. ENTIRE AGREEMENT

This agreement constitute the entire contract between the parties on the subject matter and may not be changed, modified, discharged or extended, except by written supplement duly executed on behalf of the parties.

ARTICLE 24. NON-DISCRIMINATION CLAUSE

In connection with the utilization of the premises covered by this agreement, Lessee agrees not to discriminate against any person, employee or applicant for employment, because of race, religion, color or national origin. This provision shall include, but no be limited to the following: employment, upgrading, demotion, transfer, recruitment or advertising, lay-off, or termination; rates or any other form of compensation and selection for training including apprenticeship. The Lessee agrees to post, in conspicuous places available for employees and applicants for employment, notices to be provided by the Authority setting forth the provisions of this non-discrimination clause.

The Lessee assures that it will undertake an affirmative action program as required by 14 CFR Part 152, Subpart E, to insure that no person shall on the grounds of race, creed, color, national origin, or sex be excluded from participating in any employment activities covered in 14 CFR Part 152, Subpart E. The Lessee assures that no person shall be excluded on these grounds from participating in or receiving the services or benefits of any program or activity covered by this subpart. The Lessee assures that it will require that its covered suborganizations provide assurance to the Lessor that they similarly will undertake affirmative action programs and that they will require assurances from their suborganizations, as required by 14 CFR Part 152, Subpart E, to the same effect.

ARTICLE 25. SECURITY CLAUSE

The Lessee shall not permit nor allow unauthorized personnel to enter in any restricted maritime operation area or any other area restricted by local or federal regulation, through the facilities covered by this lease. If the Authority is penalized or fined any local or federal agency or court for violations to any law or regulation related to the entering of restricted areas and said violation is due to

the failure of the Lessee to comply with this section, said penalty or fine shall be reimbursed to the Authority by the Lessee.

ARTICLE 26. ENVIRONMENTAL CLAUSE

26.1 Compliance with Environmental Laws:

Lessee shall comply with all existing and future applicable ~~environmenta~~ laws and regulations, including without limitation all Federal, ~~Commonwealth~~, Local and Municipal laws, statutes, ordinances, codes, rules, ~~policies~~, guidance, and regulations, including any orders issued thereunder (collectively known as "Environmental Regulatory Requirements"), relating to the protection of human health and the environment and the workplace, public and industrial health and safety, and/or governing the handling, use, generation, treatment, storage, transportation, disposal, or management of hazardous and toxic materials, wastes and substances, solid wastes, and other regulated substances and pollutants (whether in gaseous, liquid, solid, aqueous/non-aqueous solution, or mixture in form and with or without thermal energy, electromagnetic energy, or radioactivity), within or outside the Premises.

Lessee agrees to comply with any environmental requirements that may be adopted or instituted from time to time by the Authority. Once adopted by the Authority, said additional environmental requirements shall become part of the Environmental Regulatory Requirements defined above.

26.2 Environmental Licenses and Permits:

If Lessee does not already possess such permits and licenses, ~~Lessee~~ shall request and obtain all applicable environmental permits and licenses from the appropriate Federal, Commonwealth, Local and Municipal agencies, such as, but not limited to, the US. Environmental Protection Agency ("EPA"), the United States Army Corps of Engineers, the U.S. Department of Transportation ("DOT"), the U.S. Nuclear Regulatory Commission ("NRC"), the U.S. Department of Energy ("DOE"), the U.S. Occupational Safety and Health Administration ("OSHA"), the Federal Communication Commission ("FCC"), the Environmental Quality Board, the Department of Natural Resources and Environment, and the Solid Waste

Management Authority. These permits and licenses shall be **maintained**, as necessary, throughout the term of this Agreement.

26.3 Definition of "Hazardous Materials":

As used in this Article, the term "Hazardous Material(s)" includes:

- a) any "Hazardous Waste" as defined by the Resource Conservation and Recovery Act of 1976, as amended from time to time ("RCRA"), and regulations promulgated thereunder;
- b) any "Hazardous Substance" as defined by the Comprehensive Environmental Response, Compensation and Liability Act of 1980, as amended from time to time ("CERCLA"), and regulations promulgated thereunder;
- c) any "Toxic or Hazardous Substance" as defined by the Toxic Substances Control Act, as amended from time to time ("TSCA"), and regulations promulgated thereunder;
- d) any "Toxic or Hazardous Substance/ Pollutants/ Contaminants" as defined by the Clean Air Act ("CAA"), Clean Water Act ("CWA"), Federal Insecticide, Fungicide, and Rodenticide Act ("FIFRA"), Hazardous Material Transportation Act ("HMTA") under the U.S. DOT, or other environmental laws, as amended from time to time, and regulations promulgated thereunder;
- e) any "Acoustic Energy Radiation" as **defined** by the Noise Control Act, as amended from time to time ("NCA"), and regulations promulgated thereunder;
- f) any "Electromagnetic Energy/Radiation" as regulated by the Federal Communication **Commission**;
- g) any "Radioactive/Hazardous Substance and/or Associated Energy" as regulated by the U.S. Nuclear Regulatory Commission and/or the U.S. Department of Energy and
- h) oil, petroleum, any oil petroleum product, and any oil or petroleum by-product.

26.4 Hazardous Materials:

If during the term of this Agreement Hazardous Materials are used, stored, generated, or disposed of by Lessee or any of its agents, employees, **contractors** or invitee on or in the Premises, and the Premises become **contaminated** as a result thereof, Lessee shall indemnify and hold harmless the Authority from and all claims, damages, fines, judgments, penalties, costs, and **liabilities** (Including, without limitation, any decrease in the value of the property or **facilities** not corrected by **remediation**, damages caused by loss or restriction of rentable c

, usable space, or any damages caused by adverse Impact on the value of the premises, and any sums paid for settlement of claims approved by Lessee, reasonable attorney's fees, and consultant fees), arising from such contamination, whether such contamination is discovered at any time during the term of this Agreement or after this Agreement has terminated, expired or been cancelled. This indemnification includes all reasonable costs incurred because of (i) environmental investigation of the site, and (ii) any necessary and proper cleanup, removal, or restoration mandated by a Federal, Commonwealth, Local or Municipal agency or political subdivision other than the Authority itself. The provisions of this Article shall be in addition to any other obligations and liabilities which Lessee may have to the Authority at law or equity, and shall survive the transaction contemplated herein, and shall survive the termination, cancellation, or expiration of this Agreement.

26.5 Use of Hazardous Materials:

Lessee shall not cause or permit any Hazardous Material to be brought upon, kept, generated, used, stored, transported upon, treated, disposed of, or otherwise managed in or about the Premises by Lessee, its agents, employees, contractors, or invitee, except for such Hazardous Material as is necessary or used in the normal conduct of Lessee's business.

Any Hazardous Materials permitted on the Premises, and in all containers utilized in Lessee's operations, shall be used, generated, kept, stored, transported, treated, disposal of, and otherwise managed in a manner that complies with all Federal, Commonwealth, Local and Municipal laws or regulations applicable to such Hazardous Material.

Lessee shall not discharge, release, leak, or emit, or permit to be discharged, released, leaked, or emitted, any Hazardous Material into the atmosphere, ground, soil, sediment, groundwater, sewer system, or any body of water, if that Hazardous Material (as is reasonably determined by the Authority, or any other governmental authority) does or may:

- (a) pollute or contaminate the same, whether located on the Premises or elsewhere, or

- (b) materially adversely affect the health, welfare, or the security of people, whether located on the Premises or elsewhere, or
- (c) materially adversely affect the condition, use, or enjoyment of building(s) or any other real or personal property, whether located on the Premises or elsewhere.

26.6 Disclosure of Use of Hazardous Materials:

Upon execution of this Agreement, Lessee shall disclose to the Authority the names and approximate amounts of all Hazardous Material the Lessee or any of its agents, employees, contractors, or invitee intends to generate, store, use, transport, treat, dispose of, or otherwise manage on the Premises in the coming year. In addition, at any time thereafter, Lessee shall immediately disclose to the Authority the names, and amounts, of any Hazardous Materials generated, used, stored, transported, treated, disposed of, or otherwise managed on the Premises those materials were not previously identified to the Authority.

26.7 Hazardous Material Indemnity:

Lessee hereby agrees that it shall be fully liable for all costs and expense related to the generation, use, storage, transportation, treatment, disposal of, or other management of Hazardous Material kept on the Premises by Lessee or any of its agents, employees, contractors, or invitee. Lessee shall defend, indemnify, and hold harmless the Authority and its agents, from and against any claim, demands, penalties, fines liabilities, settlements, damages, costs, or expense (including, without limitation, reasonable attorney's fees and consultant's fees, court costs, and reasonable litigation expenses) arising out of or in any way related to:

- (a) the presence, disposal, release, or threatened release of any Hazardous Material on, from, to, under, or otherwise affecting the soil, water, vegetation, buildings, personal property or animals;
- (b) any personal injury (including wrongful death or property damage (real or personal) arising out of or generated at the Premises by Lessee or any agents, employees, contractors, or invitee;
- (c) any lawsuit brought or threatened, settlement reached or approved by Lessee, or government order relating to Hazardous Material brought on to or generated at the

Premises by Lessee or any of its agents, employees, contractors, or invitee; or

- (d) any violation of an applicable **environmental** law resulting from any act or omission of Lessee or any of its agents, employees, contractors, or invitee.

The provisions of this Article shall be in addition to any other obligations and liabilities which Lessee may have to the Authority at law or equity, and shall survive the transactions contemplated herein, and shall survive the termination, cancellation, or expiration of this Agreement.

26.8 Environmental Submissions:

A. Lessee shall, at Lessee's own expense, make all **submissions** to provide all information required by, and comply with all requirements of all governmental authorities (the "Environmental Authorities") under **applicable** laws.

B. Should any Environmental Authorities lawfully require or demand that Lessee or the Authority (as owner), because of any **deposit, spill**, discharge or other release of Hazardous Material that occurs during the term of the Agreement, at, to or from the Premises, or which arises at any time from Lessee's use or occupancy of the Premises, then Lessee shall, at Lessee's own expense, (1) prepare and submit the required plans and all related bonds, and other **financial** assurances and/or, as **applicable**, (2) carry out all such clean-up plans and submit all related bonds and other financial assurances.

C. Lessee shall promptly provide all information regarding the use, generation, storage, transportation, treatment, disposal of, or other management of Hazardous Materials that is requested by the Authority.

D. If Lessee fails to reasonably fulfill any duty imposed under **this Article** within a reasonable time, the Authority may do so at Lessee's expense; and in such case, Lessee shall cooperate with the Authority to determine the **applicability** of the laws to the Premises and Lessee's use thereof and for compliance **therewith**, and Lessee shall execute all documents promptly upon the Authority's request. No such action by the Authority, and no attempt made by the Authority to mitigate damages under any law, shall constitute a waiver of any of Lessee's obligations under this Article.

The provisions of Paragraphs C and D of this Article shall survive the termination, cancellation, or expiration of this Agreement.

26.9 The Authority's Right to Monitor Lessee's Environmental Performance:

During the term of this Agreement, the Authority and its employees or agents, shall have the right to request and obtain copies or reports and notices concerning Lessee's compliance with all applicable environmental laws and regulations, permits, and licenses. These monitoring activities may include, among other things: physical inspections, tests and sampling; installation, service, and inspection of environmental monitoring devices; examination and copying of documents or records dealing with Lessee's compliance with environmental laws, regulations licenses and permits; and interview Lessee's personnel and contractors regarding Lessee's environmental performance.

No exercise of Authority's rights pursuant to this Article shall constitute a waiver Lessee's obligations to comply with all Environmental Regulatory Requirements.

26.10 Notice of Environmental Violations:

Lessee shall immediately notify the Authority as to any known violation of this Agreement or any of the applicable environmental laws, regulations, licenses, permits, or any other matter that have give rise to environmental liability with respect to the Premises on behalf of the Lessee or the Authority and, within five (5) calendar days of becoming aware of such violation or other matter, shall submit to the Authority a written report which describes the circumstances thereof.

Failure of Lessee to notify the Authority of Lessee's environmental violation or non-compliance shall not constitute a waiver Lessee's obligations to comply with all Environmental Regulatory Requirements.

26.11 Quarterly Report of Environmental Violations:

The Authority may request from Lessee a quarterly report as to any violation by Lessee of any applicable environmental law, regulation, or standard

which has a substantial likelihood of giving rise to any liability for Lessee or the Authority with respect to the Premises.

No exercise of Authority's right under this Article shall constitute a waiver of Lessee's obligations to comply with all **Environmental** Regulatory Requirements.

26.12 Right to Perform or Compel Remedial Actions:

If during the term of this Agreement, at, to or from the Premises, or, during the time of Lessee's or any of its agents', employees', contractors', or invitees' use or occupancy of the Premises, Lessee or any of its agents, employees, contractors, or invitee violates any applicable environmental law, regulation, license, or permit that has a substantial likelihood of giving rise to environmental liability on the part of the Authority, the Authority reserves its right to:

- a. Compel Lessee, at Lessee's own cost, to perform such remedial actions as are defined in or required under CERCLA, RCRA, or any other pertinent law, statute, ordinance, code, rule, or regulation, be it federal, local, or municipal, or take any other action to correct the violation to the extent necessary to cure the environmental non-compliance; or
- b. If Lessee fails (as determined solely in accordance with the Authority's discretion) to perform the remedial actions described in Subparagraph A above, to perform itself or cause to be performed at Lessee's expense, the remedial actions described in Subparagraph A above.

There shall be no right to a reduction or suspension in any rent or tariffs, fees or charges due from Lessee under this Agreement while any such remedial action is being performed.

No exercise of Authority's rights under this shall constitute a waiver of Lessee's obligations to comply with all Environmental Regulatory Requirements.

The provisions of this Article shall survive the termination, cancellation, or expiration of this Agreement.

26.13 Termination of this Agreement to Lessee's Breach of the Terms of this Article 26:

If Lessee materially breaches any of the terms of this Article 26, the Authority may unilaterally terminate this Agreement.

26.14 Acknowledgment of Responsibility for Prior Operations:

It is understood that nothing contained in these environmental clauses shall be interpreted or constructed to waive the responsibility of Lessee ~~for~~ prior operations performed before the execution of this Agreement.

ARTICLE 27. OTHER PROVISIONS

A. The failure of the Authority to insist, in any one or more instances, upon performance of any of the terms, covenants and conditions of this ~~greement~~ shall not be construed as a waiver or relinquishment of the Authority's right to the past, present and future performance of any such terms, covenants, or conditions; and the Lessee's obligations in respect of said performance shall continue in full force and effect; and the receipt and acceptance of rent shall not be deemed to be a waiver of any breach or default by the Lessee of any provisions of this Agreement nor shall it invalidate or impair the efficacy of any termination, or notice of termination hereunder, unless expressly so agreed in writing by the Authority.

B. The covenants and conditions herein contained shall apply to the successors, executors, administrators and assigns of the Lessee. Lessee will present annually to the Authority a copy of the corporation report that files in the Puerto Rico State Department.

C. This agreement shall have no effectiveness until such date in which the Lessee complies with the provisions of the agreement requiring surety bonds, cash deposits and insurance policies and the Authority does not bind itself to stand for the terms contained herein until it has been signed by the Executive Director or any other officer to whom such authority is delegated.

D. In case the Lessee has any demand or complaint relating to the activities authorized under this Agreement, or of any other nature whatsoever, Lessee shall communicate same in writing to the Executive Director of the Authority by certified mail, return receipt requested.

E. Lessee agrees to submit to the jurisdiction and venue of the Judicial Court of San Juan, Puerto Rico, for claims arising under this agreement.

F. The lessee certifies and warrants that at the time of execution of this agreement he has filed his Income Tax Return for the last five (5) years and

that he does not owe any taxes to Centro de Recaudaciones de Ingresos Municipales (CRIM) or complying with an approved payment plan.

The Lessee will be responsible to require such certification from a sub-consultants and notify the Authority of such compliance.

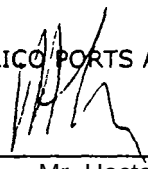
This obligation will continue throughout the duration of this contract.

G. The Lessee certifies and warrants that at the time of the execution of this agreement it has paid the unemployment insurance, temporal incapacity and any other social security applicable.

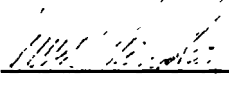
H. It is expressly agreed that these conditions are essential requirements of the present agreement and if the abovementioned certification are not correct in whole or in part this will be sufficient cause to cancel this agreement and vacate the leased premises immediately.

IN WITNESS WHEREOF the parties hereto have signed this agreement on the date first stated above.

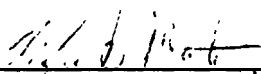
PUERTO RICO PORTS AUTHORITY

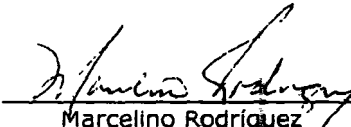
By: 
Mr. Hector R. Rivera
Executive Director

HUAL AS

By: 
SS: _____

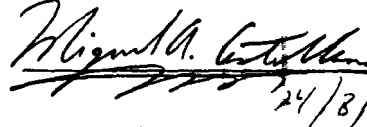
Revised and recommended by:

 25, April 02
Mr. Alfredo Martinez
Chief Tariff Department


Marcelino Rodriguez
Chief, Maritime Bureau

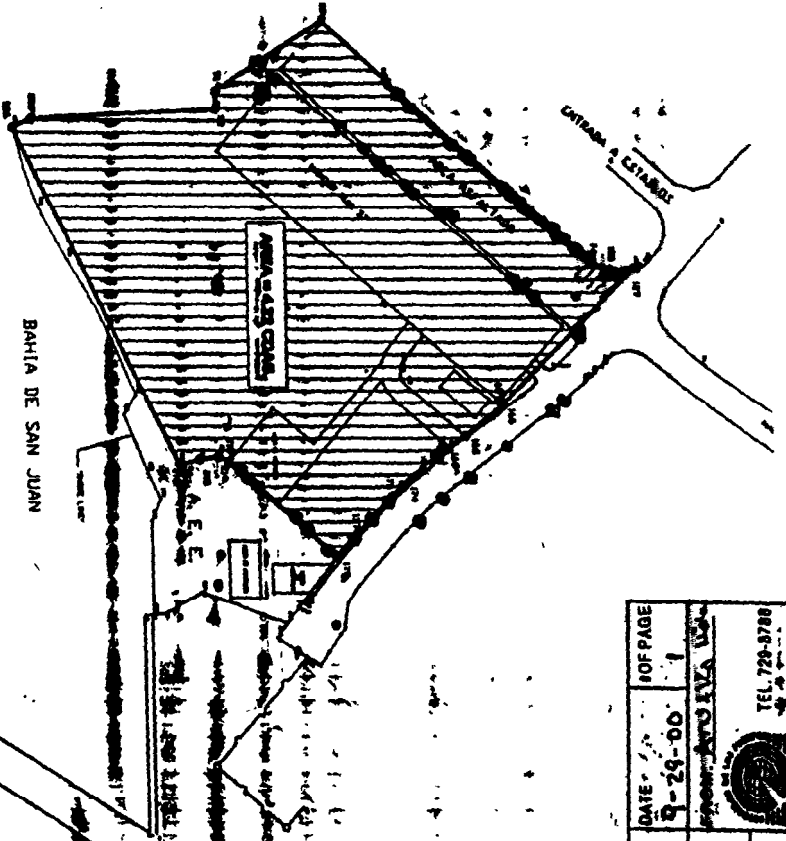
Written, revised and recommended by Miguel A. Castellanos, Esquire, member of the Puerto Rico Ports Authority Legal Division, asserting that all necessary clauses and conditions required by the Puerto Rico Ports Authority For this transaction have been included.

Revised and recommended by:

 24/8/02
Yvonne Licht, Esq.
General Legal Counsel

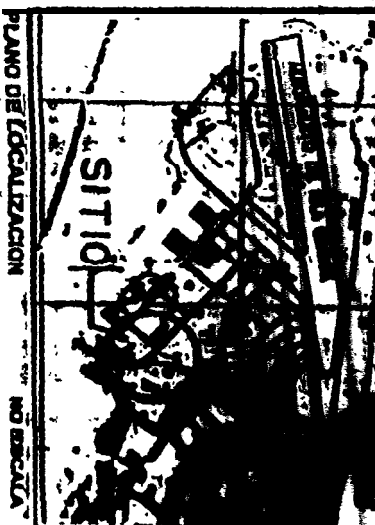


CALLE 100



BAHIA DE SAN JUAN

SEND TO	DATE	NO. PAGE
102-113	9-29-00	1
ATTENTION	REPORT AUTO EVA 100	
FAX NO		TEL 720-3788
5388-92L		720-8835



PLANO DE LOCALIZACION

NO ESCALA

EXHIBIT

AUTORIDAD DE LOS PUERTOS DE P.R.
DIRECCION DE PLANEACION, INGENIERIA
Y CONSTRUCCION

OFICINA ESTUDIOS DE AGRIMENSURA

ANTIGUA BASE NAVAL
SAN JUAN, PUERTO RICO

AREA ARRENDADA A:
HUALAS

CONTRATO NUM:

RECOMENDADO POR:

APROBADO POR:

EXH. NUM:

FECHA: 29-09-00

HOLA NUM:

1 DE 1
J.O.S.

422 X 1825,000.00 = \$105,500.00 Arrend

\$8,791.66 mensual

\$26,374.98 Anual

\$1316,500.00 Costo total

Hecho por

10/11/00

CONTRATO

AP- 01-02-(4)-079

En San Juan, Puerto Rico, a 22 de febrero de 2002

COMPARECEN

DE UNA PARTE: **LA AUTORIDAD DE LOS PUERTOS DE PUERTO RICO**, una **corporación pública** e instrumentalidad del Estado Libre Asociado de Puerto Rico, creada por la Ley Número 125 del 7 de mayo de 1942, **según** enmendada, denominada de **aquí** en adelante **como** la 'Autoridad', representada por su Director Ejecutivo, Lcdo. Jose G. Baquero, o cualquier otro funcionario autorizado que **actúen** en su lugar.

DE LA OTRA PARTE: **ISLAND STEVEDORING, INC.**, denominado de aquí en adelante **como** el "Arrendatario", y representado en este **acto** por la Sra. Mayra Villalón, con número de seguro social **patronal** 660-38-8864.

Las partes comparecientes libre y espontáneamente

EXPONEN

La Autoridad es dueña del **área** portuaria de Puerto Nuevo, localizada en la municipalidad de San Juan, del Estado Libre Asociado de Puerto Rico, de aquí en adelante denominada **como** la "Propiedad **objeto** de este **contrato** y otras facilidades".

El Arrendatario se dedica al negocio de: Agente Naviero de Carga.

CONDICIONES

ARTICULO 1. CONCESION OBJETO DE ESTE CONTRATO

La Autoridad cede en arrendamiento al Arrendatario y **éste** acepta el arrendamiento del **área** y facilidades designadas y descritas en los Exhibits Núm. 22-163 y Núm. 22-285, anexos que hacemos **formar** parte integral de este contrato, el **cual consiste** de aproximadamente:

AREA	MENSURA
Abierta Exclusiva Plano	1.516 cuerdas
Almacén Exclusivo	53,293.58 p/c
Area Abierta Exclusiva	107,100.56 p/c
Almacén Preferente	30,410.55 p/c

AREA	MENSURA
Plataforma Total Preferente	34,433.92 p/c

Además, el arrendatario tiene **primera** preferencia en el Muelle D durante el **término** de este contrato.

ARTICULO 2 . TÉRMINO

A. El **término** de este **contrato será** de cinco (5) años, comenzando a la fecha de la firma del Director Ejecutivo.

B. No obstante lo dispuesto en el **párrafo** anterior, o cualquier otra **disposición** en contrario, la Autoridad **podrá cancelar** y terminar este **contrato** según se provee **más** adelante.

C. Al **momento** de **terminación** de este Contrato, el Arrendatario **desalojará y entregará** la **posesión** y/o la llave de la propiedad arrendada inmediatamente. Si al **momento** de la fecha de expiración de este Contrato, el Arrendatario no desaloja y entrega la **posesión** y/o llave de la propiedad arrendada a la Autoridad, el Arrendatario **pagará** a la Autoridad una penalidad de **\$2,160.07** por **cada día** subsiguiente a la fecha de la terminación de este Contrato. **Además,** el Arrendatario **pagará** a la Autoridad una **suma** equivalente a la **renta** mensual establecida en este **Contrato como** compensación por el uso y **ocupación** de la propiedad arrendada. El cumplimiento por parte del Arrendatario con este **párrafo** **no evitará** que la Autoridad tome la **acción** legal correspondiente **para** obligar al Arrendatario a desalojar y/o entregar la **posesión** y/o la llave de la propiedad arrendada. La **aceptación** por parte de la Autoridad de **las sumas** descritas en este **párrafo** **no dará** lugar a que se interprete que el **Contrato** ha sido enmendado, prorrogado, renovado o extendido, ni se ha dado la figura de la **tácita reconducción**.

D. En la eventualidad de que el Arrendatario no desaloje **y/o** entregue la **posesión** y/o la llave de la propiedad arrendada al **momento** de la **terminación** de este Contrato, el Arrendatario acepta y se **somete** al procedimiento sumario de desahucio bajo la **jurisdicción** del Tribunal de **Primera** Instancia de Puerto Rico.

E. El Arrendatario se obliga al **pago** de las **costas** y honorarios de abogado, en **caso** de que la Autoridad presente **acción** legal de desahucio, **cobro**

de dinero, daños y perjuicios o cualquier otra **acción** legal por incumplimiento del Arrendatario con sus obligaciones bajo este Contrato.

F. Si el Arrendatario tiene **interés** de enmendar, prorrogar, o renovar este Contrato, o de cualquier **manera** extender el **término** del mismo, el Arrendatario **notificará** a la Autoridad su **Interés** con por lo menos ciento ochenta (180) **días** de **antelación** a la fecha de vencimiento del Contrato. Si la Autoridad no responde a dicha **notificación** dentro de un **período** de treinta (30) días desde la fecha de la **notificación**, se **entenderá** que la Autoridad ha rechazado la **solicitud** de enmienda, prorroga, **renovación** o extensión del Arrendatario.

ARTICULO 3. **USO DE LA PROPIEDAD OBJETO DE ESTE CONTRATO**

El Arrendatario **tendrá** derecho a utilizar la propiedad arrendada durante el **período** contratado **para los** siguientes fines, **única** y exclusivamente: almacenamiento de **carga**.

ARTICULO 4. **RELOCALIZACION DEL ARRENDATARIO**

La Autoridad se reserva el derecho durante la vigencia de este contrato, si es posible, asignar al Arrendatario otra **localización** en la misma **área** contratada en cualesquiera otra **área** o facilidades que se construyan **para** servir la misma, con aproximadamente igual **cabida** a la aquí arrendada, bajo la **condición** que **haya** áreas disponibles, y si no las hubiera, la **Autoridad** de los Puertos no esta obligada y el Arrendatario tiene que desalojar el **área** arrendada. El **costo** de tal **relocalización** será sufragada por el Arrendatario.

ARTICULO 5. **RENTA**

A. El Arrendatario acepta pagar a la Autoridad, por los derechos y privilegios aquí concedidos, una **renta** mensual de **\$21,600.67**. La cuantía total de este **contrato** durante su vigencia asciende a **\$1,296,040.21**. Además, el arrendatario **pagará** a la Autoridad un mínimo anual de atraque y muellaje de **\$250,000.00**.

B. El Arrendatario consiente y acepta pagar desde la fecha de ocupación o **posesión** del inmueble o local **objeto** del presente contrato, la **renta** adicional que **facture** la Autoridad en **caso** de que la **cabida** o **área** de superficie correspondiente resulte ser mayor que la especificada inicialmente en el contrato. Esta **renta** adicional se **facturará**, con tal **carácter retroactivo**, en **proporción** a la mayor **cabida** o **área** real.

La **renta** mensual **será** pagadera por adelantado en o antes del día 10 de **cada** mes, en las **Oficinas** Centrales de la Autoridad, o en cualquier **otro** lugar que la Autoridad designe.

C. El Arrendatario **instalará** contadores de luz y agua donde sea factible dentro de **los próximos 90 días** de la fecha de efectividad del contrato. De igual forma el Arrendatario releva de responsabilidad a la Autoridad sobre **todo acto y/o gestión** relacionado con la instalación y uso de dichas facilidades.

D. El Arrendatario **pagará** prontamente a 'las entidades que **provean** o suministren cualquier utilidad o servicio cuando **éstos no sean** provistos por la Autoridad. Cualquier instalación de estas utilidades o servicios que **sean** necesarios **para** la **operación** del arrendatario, **serán** instaladas a su propio **costo**. Cualquier ajuste que se **realice** en **relación** al **consumo** de estas utilidades y/o servicios **será retroactivo** a la fecha en que comienza **el contrato** o a la fecha en que se instalen o remuevan **los** implementos que **generan** tales **consumos**.

E. Se entiende que las **rentas** establecidas en este **contrato** han sido computadas a base de las tarifas de **rentas** contenidas en las Resoluciones aplicables **según** promulgadas y que tales **rentas están** sujetas a reajustes de acuerdo a las tarifas, estipendios, alquileres y otros cargos a ser adoptados de tiempo en tiempo, a tenor con las Resoluciones y la Ley de la Autoridad. El Arrendatario acepta pagar el canon de **renta** reajustado **según** es determinado por la Autoridad a tenor con las disposiciones de dichas resoluciones y la Ley.

F. El Arrendatario **pagará** una penalidad de 35% de **los** ingresos brutos obtenidos de cualquier operación en la propiedad arrendada que no **haya** sido autorizada por Cste o cualquier otro contrato, o por subarrendamientos no autorizados. Sin embargo, **esta cláusula** no se **entenderá como** una **autorización para** llevar a **cabo** actividades no autorizadas específicamente por **éste** o cualquier otro **contrato** y el **cobro** de tal penalidad no **constituirá** una renuncia al derecho que la Autoridad se reserva de **cancelar** el **contrato** por tal incumplimiento.

G. El **término** "ingreso bruto" significará **todo** dinero recibido o devengado por el Arrendatario en **las** operaciones del negocio a que se refiere este contrato. Al determinarse el ingreso bruto no se **descontarán** cualesquiera **costos**

o gastos incurridos por el Arrendatario **que estén** relacionados con dicho ingreso bruto.

H. El Arrendatario **mantendrá** durante la vigencia de este contrato, libros y records de contabilidad, de acuerdo con las **prácticas normales** de contabilidad aceptadas, en **los** cuales **anotará** toda **transacción** en la propiedad arrendada, y tales libros y records de contabilidad se **mantendrán** en **todo momento** en la Municipalidad de San Juan.

Se requiere del Arrendatario mantenei un sistema de contabilidad separado de cualquier otro negocio y cuyos records y libros de contabilidad de otros negocios que opere el Arrendatario en las facilidades de la Autoridad o fuera de éstas.

I. La Autoridad se reserva el derecho de examinar y **auditar** todos y **cada** uno de **los** records y libros de contabilidad mantenidos por **el** Arrendatario antes del vencimiento del **contrato** y la devolucibn de la fianza contractual. La **notificación** del **examen** y auditoria de **los** libros de contabilidad **será** por escrito y con al menos **cinco** (5) días de **antelación** al comienzo de la misma.

J. El **examen** y auditoria de **los** records y libros de contabilidad se **hará** durante horas laborables y por el personal de la Oficina de Auditores Internos de la Autoridad, con el **propósito** de verificar que las operaciones se realicen **conforme** a las leyes, procedimlentos, reglamentos y **contratos** aplicables.

K. Los records y libros de contabilidad de subcontratos del Arrendatario **estarán** sujetos a ser auditados cuando ello se estime **conveniente** o necesario por el personal de la Oficina de Auditores Internos de la Autoridad de **los** Puertos.

L. La Autoridad **podrá** fotocopiar, y/o de cualquier otro modo obtener, un duplicado de toda **información** relevante y pertinente a su investigacibn, que sea descubierta mediante el **examen** de **los** libros y **documentos** anteriormente autorlzado.

M. Cualquier **suma** vencida y al **descubierto** bajo este **contrato** que no **haya** sido pagada por el Arrendatario dentro del **período** de gracia de diez (10) **días** a partir del día **primero** de **cada** mes, **devengará** un **interés** del 9% anual sin necesidad de **notificación** de su incumplimiento, computados **dichos** intereses

desde el primer día de **cada** mes y hasta que la **suma** total adeudada sea satisfecha por el arrendatario.

ARTICULO 6. FIANZA

A. En la fecha de otorgamiento de este **contrato** el Arrendatario **entregará** a la Autoridad **como** garantía del **pago de rentas**, cargos y estípendios y **del fiel** cumplimiento de **SUE** obligaciones **bajo** este **contrato** un "Lease Bond" por la cantidad de **\$64,802.07**.

B. En el **caso** de que **los términos** del "Lease Bond" mencionado en el **párrafo** anterior no satisfaga a la Autoridad, **ésta podrá** rehusar su **aceptación** y requerir **las** enmiendas o cambios que estime pertinentes.

ARTICULO 7. RELEVO DE RESPONSABILIDAD

El Arrendatario **conviene** en relevar y eximir a la Autoridad Independientemente de **determinación** sobre negligencia, de toda responsabilidad y asumir toda **obligación** legal por **concepto** de **reclamación** por **daños** a la propiedad o por lesiones personales o de cualquier otra naturaleza o por muerte ocasionada a cualquier persona, **como** consecuencia de las operaciones del Arrendatario en la propiedad **objeto** de este contrato. El Arrendatario **asumirá** la defensa de cualquier **reclamación** judicial o administrativa que surja contra la Autoridad por tales **daños**, lesiones o muerte, y **pagará** cualquier **compensación** o sentencia que se **conceda**.

Si el Arrendatario no cumpliera con las disposiciones antes mencionadas y esto conllevara la **imposición** de multas o penalidades contra la Autoridad, el Arrendatario se obliga a reembolsarle a la Autoridad la totalidad de la multa o penalidad impuesta.

ARTICULO 8. POLIZAS DE SEGURO

A. El Arrendatario **mantendrá** en vigor, durante la vigencia de este contrato, **pólizas** de responsabilidad **pública** (Bodily Injury y Property Damage) que incluyan límites de seguro **para** las siguientes cubiertas: Products-Completed Operations, Personal & Advertising Injury, Fire Damage y Medical Expenses. Estas han de ser expedidas por una **compañía** de seguros **aceptable** a la Autoridad y autorizada a **hacer** negocios en Puerto Rico que **aseguren** al Arrendatario contra toda responsabilidad por **daños** a la propiedad y por lesiones personales,

incluyendo lesiones **corporales** o muerte ocasionadas por el uso y **ocupación por** el Arrendatario de la propiedad **objeto** de este **contrato** y sus operaciones en cualquier otra facilidad de la Autoridad.

B. Los limites de dicha **póliza** de responsabilidad **pública** no **será menor** de **\$500,000.00** Llmite Combinado Sencillo (CSL) **para** lesiones personales (Bodily Injury), Personal & Advertising **y Daños** a la Propiedad (Property Damages).

C. La **póliza** de responsabilidad **pública** contendra la cubierta de responsabilidad por fuego (Fire Damage) no **menor** de **\$500,000.00** (ANY ONE FIRE) **para** responder por **daño** a la estructura o parte de la misma aqui arrendada al Arrendatario por la Autoridad, incluyendo cualquier **objeto** mueble permanentemente enclavado a dicha estructura, si tal dafio surge **como** resultado de la negligencia del Arrendatario, sus empleados o cualquier otra persona actuando bajo su **dirección**.

D. La **póliza** de responsabilidad **pública** contendrá el siguiente endoso:
La cubietta de esta **póliza** no **podrá** ser enmendada con el **propósito** de disminuir la **protección** por debajo de **los** limites aqui especificados o bajo cualquier otra circunstancia, ni la misma **podrá** ser cancelada sin la previa notificacibn por escrito a la Autoridad con treinta (30) dias de **anticipación**. **Además**, se **notificará** por escrito a la Autoridad con treinta (30) dias de anticipacibn en **caso** de no **renovación** de la **póliza**.

La **póliza** **incluirá** a la Autoridad **como** el asegurado adicional y **también** un endoso de relevo de responsabilidad.

La **póliza** no contendra deducible alguno, a excepciñ de que el Arrendatario **provea** otra **póliza** cubriendo el riesgo en la cuantia no **cubierta** por el deducible.

E. El Arrendatario **deberá** mantener un Seguro de **Compensación para** Trabajadores, **conforme** a una **póliza** expedida por el Fondo del Seguro del Estado.

F. El Arrendatario acuerda **además**, que no **más** tarde de treinta (30) dias anterlores al vencimiento de cualesquiera de las **pólizas** requeridas por este **contrato** o cualesquiera **pólizas** que el Arrendatario tenga en vigor al momento de su otorgamiento, **someterá** a la Autoridad un Certificado de Seguro o una copia, certificada de todas las **pólizas** requeridas por el contrato.

G. **Simultáneo** al otorgamiento de este **contrato** el Arrendatario **suministrará** a la Autoridad, copia de la antes mencionada **pólizas** de seguro y de **éstas** estar por **vencer** en menos de 30 días desde la fecha de la firma del **contrato, deberá** presentar evidencia de la **renovación** de **las** mismas.

H. En **caso** del Arrendatario dejar al descubierto esta obligación de mantener **los** seguros y **fianzas** requeridas mediante este **contrato** en vigor, la **Autoridad le impondrá** una penalidad de **\$1,000.00** mensuales hasta **tanto** cumpla con esta **obligación**.

I. En **caso** de quedar en descubierto **las** obligaciones sobre seguros y fianzas estipuladas en este contrato, o si la Autoridad se viera obligada a Incurrir en gastos **para** cubrir **los** riesgos aquí descritos, **el** Arrendatario **vendrá** obligado a pagar o reembolsar a la Autoridad cualquier **gasto** o **erogación** en que **ésta** incurra como consecuencia de tal incumplimiento.

En la eventualidad de que el Arrendatario no someta **las pólizas** de seguro en el **término** de treinta (30) días antes de su **expiración**, se **considerará** esto como una **violación** a **los términos** y condiciones del presente contrato. La **Autoridad procederá** de inmediato con la cancelación del contrato, y al mismo tiempo **radicará** la correspondiente **acción** de desahucio, en **adición** al **pago** de la penalidad.

ARTICULO 9. REPARACIONES Y ALTERACIONES

A. El Arrendatario ha examinado y conoce la actual **condición** y estado de reparaciones de **las** facilidades **objeto** de este **contrato** y **así** mismo las acepta y reconoce que la Autoridad no ha convenido ni se compromete a alterar, mejorar, adaptar o reparar cualquiera de **las** facilidades o de sus partes durante la vigencia de este contrato. El Arrendatario reconoce que la Autoridad no ha **hecho** **representación** alguno sobre **las** condiciones o estado actual de la propiedad **objeto** de este **contrato** que no se **haya hecho constar** en el mismo.

B. La Autoridad se reserva el derecho a **hacer** cualquier reparación o **mejora** a la propiedad arrendada durante la vigencia del contrato, si **así** lo estima propio y necesario.

C. El Arrendatario no **establecerá** reclamación alguna por **Inconveniencia**, molestia o efecto adverso causado a su negocio por motivo de reparaciones o reemplazos en la propiedad **objeto** de este contrato.

ARTICULO 10. ALTERACIONES Y MEJORAS SUBSTANCIALES O ESTRUCTURALES

A. Autorización concedida al Arrendatario

El Arrendatario, previa **autorización** por escrito de la Autoridad, podrá **hacer** alteraciones, adiciones o mejoras substanciales o estructurales a la propiedad **objeto** de este contrato.

B. Título de las Mejoras a la Terminación del Contrato

El título de propiedad de todas las alteraciones, adiciones o mejoras substanciales o estructurales hechas e instaladas por el Arrendatario, **será** del Arrendatario, pero a la expiración de este contrato, dicho título de propiedad **será** transferido a la Autoridad, sin **costo** alguno **para ésta** y libre de **cargas y gravámenes**, disponiéndose que la Autoridad podrá requerir del Arrendatario que retire o demueva todas o **parte** de las alteraciones, adiciones o mejoras y devuelva la propiedad **objeto** de este **contrato** a su estado original con **excepción** al deterioro por el desgaste normal, sobre el cual el Arrendatario no tiene control alguno y a "force majeure". El Arrendatario se obliga a llevar a **cabo** tales obras de retiro o **demolición** dentro del **período** de quince (15) días subsiguientes a la solicitud por escrito de la Autoridad. De no **proceder conforme** a lo prescrito, se **entenderá** que el Arrendatario ha abandonado a la Autoridad **dicha** propiedad y la Autoridad **tendrá** el derecho de disponer de la misma en la forma que estime aconsejable o **conveniente** y su **costo** lo **asumirá** el Arrendatario.

ARTICULO 11. CLÁUSULA DE CANCELACIÓN

A. En cualquier **momento** este **contrato podrá** darse por terminado por cualquiera de las partes mediante **notificación** por escrito con treinta (30) días de **antelación** a la fecha en que se interese la cancelación, **resolución, rescisión, o terminación**.

B. **Además**, cualquier otro remedio o derecho que la Autoridad pueda ejercitar bajo **las** disposiciones de este contrato, la Autoridad **podrá cancelar este contrato** de ocurrir cualquier de **los** siguientes hechos:

1. **Abandono** de la propiedad **objeto** de este **contrato** por **parte** del Arrendatario; o la **liquidación** de **los** activos del Arrendatario:
2. La **ocupación** o embargo por tercero bajo mandato judicial o confiscación de **los** activos del Arrendatario localizados en la propiedad **objeto** de este contrato, si tal **ocupación**, embargo o **confiscación** no se da por terminada dentro de **los** quince (15) días subsiguientes a la fecha en que **comenzó**:
3. Incumplimiento por el Arrendatario de cualquiera de sus obligaciones, **pactos** o acuerdos bajo este **contrato** o incumplimiento por el Arrendatario de cualquier otra **obligación** de **pago** de deuda **líquida** y vencida por cualquier otro **concepto, pacto** o acuerdo **para** con la Autoridad, que no **esté** cubierta bajo este contrato, **si** tal incumplimiento no es corregido dentro de **los quince** (15) **días** subsiguientes a la fecha en que la Autoridad **así lo requirió**.

C. Al ocurrir cualquiera de **los** antes mencionados hechos, la Autoridad **podrá tomar posesión** inmediata de la propiedad **objeto** de este **contrato** y el Arrendatario **pagará** a la Autoridad **como daños** líquidos, sin necesidad de **acción** judicial, una **suma** equivalente a **los cánones** de arrendamiento fijados en este **contrato** desde la fecha en que **ocurrió el hecho**, hasta la fecha de **expiración** normal de este contrato, gastos y honorarios de abogados si **ellos** no abandonan la propiedad.

ARTICULO 12. INSTALACIÓN DE ACCESORIOS

El Arrendatario **podrá**, asumiendo su **costo**, instalar anuncios relacionados con su negocio y cualquier otro accesorio necesario **para** el **curso** normal de **sus** operaciones, de forma tal que no **mutile**, estropee o **afee** la propiedad **objeto** de este contrato. El Arrendatario no **podrá** instalar tales anuncios o accesorios sin **autorización** previa, por escrito de la Autoridad.

ARTICULO 13. RETIRO DE ACCESORIOS Y MUEBLES

A. Dentro de **los** quince (15) días subsiguientes a la fecha de terminación de este contrato, por cualquier **causa**, el Arrendatario **retirá** de **las** facilidades arrendadas **todo** equipo, propiedad personal, accesorios, anuncios, estructuras y mejoras movibles, maquinaria y artículos o mercancía construida, hecha, mantenida o depositada por el Arrendatario en **dichas** facilidades y **restaurará** la propiedad **objeto** de este contrato, a su estado original, al **momento** anterior al otorgamiento de este **contrato** asumiendo su **costo**.

B. Si el Arrendatario no procediera con el retiro de su propiedad, **según** se **indica** en el **párrafo** anterior, se **entenderá** que el Arrendatario ha abandonado a la Autoridad toda esa propiedad y **ésta podrá** disponer de ella en la forma que estime aconsejable o conveniente, cuyo costo **asumirá el** Arrendatario.

ARTICULO 14. **CUMPLIMIENTO DE LEYES Y REGLAMENTOS**

El Arrendatario **obedecerá y cumplirá** las **leyes** y reglamentos del Estado Libre Asociado, **las** Leyes y Reglamentos Federales, **así como las** Ordenanzas Municipales, **los** Reglamentos y Resoluciones de la Autoridad de **los** Puertos, **los** Estatutos de la Guardia Costanera y cualquier mandato judicial o administrativo relacionado con la **ocupación y operación** en **las** facilidades **objeto** de este contrato. El Arrendatario **vendrá** obligado a pagar o reembolsar a la Autoridad cualquier multa o penalidad impuesta a **ésta como** consecuencia del incumplimiento de dicho Arrendatario con lo estipulado en este artículo.

ARTICULO 15. **CONSERVACION Y MANTENIMIENTO DE LAS FACILIDADES ARRENDADAS**

A. El Arrendatario **mantendrá** la propiedad **objeto** de este contrato en un estado satisfactorio de salubridad, sanidad y limpieza en **todo momento** durante la vigencia de este contrato.

B. El Arrendatario **conservará, protegerá y mantendrá** en buen estado de uso **dicha** propiedad, asumiendo su costo. El trabajo requerido **para** poder cumplir con tales requisitos se **hará** previa autorización por escrito de la Autoridad.

C. El incumplimiento del Arrendatario con lo **señalado** anteriormente, **dará** lugar a la **imposición** de una penalidad diaria equivalente a la **renta** mensual establecida en este **contrato** y de no corregir el Arrendatario la situación en un **período** de treinta (30) días, la Autoridad **procederá** con la **cancelación** del contrato.

ARTICULO 16. **GRAVÁMENES**

El Arrendatario no **hará, o permitirá** que se **haga**, sobre o en **relación** con la propiedad **objeto** de este contrato, **acto** alguno que resulte en un gravamen o derecho **in rem** sobre **dicha** propiedad; y prontamente **tomará** la **acción** necesaria **para** levantar o **hacer** que se levante cualquier embargo, gravamen o derecho **in rem** que surja o pueda **existir** en cualquier **momento** con **respecto** a **dicha**

propiedad o cualquier **alteración, adición**, mejora o **modificación** de La misma. Si la Autoridad tiene que recurrir a cualquier **acción** legal de desahucio, **cobro** de dinero, **daños** o cualquier otra **acción** relacionada con este **artículo** el Arrendatario **pagará costas**, gastos y honorarios de abogados.

ARTICULO 17. RESPONSABILIDAD POR DANOS A PROPIEDAD DE LA AUTORIDAD

El Arrendatario **será** responsable por cualquier **pérdida** o daño a la propiedad de la Autoridad que ocurra **como** resultado de su negligencia o descuido en el cumplimiento de las disposiciones de este contrato.

ARTICULO 18. EQUIPO PARA EXTINCIÓN DE INCENDIOS

El Arrendatario **mantendrá** en las facilidades arrendadas **equipo** para la **extinción** de incendios **según** lo requiere la Autoridad o el Servicio Estatal de Bomberos.

ARTICULO 19. INSPECCIÓN POR LA AUTORIDAD

A. La Autoridad **tendrá** el derecho a entrar a la propiedad **objeto** de este contrato, con el **propósito** de **hacer** reparaciones, reemplazos o alteraciones cuando **así** lo estime necesario. Tal **acción** por parte de la Autoridad no **releva**rá al Arrendatario de su responsabilidad de mantener y/o reparar **sus** propias facilidades y equipo.

B. La Autoridad se reserva el derecho de inspeccionar de tiempo en tiempo a **través** de sus representantes y agentes autorizados, **las** facilidades e instalaciones del Arrendatario **objeto** de este **contrato** durante horas laborables al **objeto** de determinar si el Arrendatario **está** cumpliendo con **las** obligaciones que ha asumido en **virtud** de este contrato.

ARTICULO 20. CESIONES

A. La propiedad o derechos **objeto** de este **contrato** no **podrán** ser transferidos o cedidos ni subarrendados, en **todo** o en parte, y de ninguna forma o **manera**, por el Arrendatario, sin la previa **autorización** por escrito de la Autoridad.

B. Previo a cualquier transferencia o **cesión**, en **todo** o en parte, de la propiedad o derechos objetos de este contrato, el Arrendatario o la **parte** que interese asumir el **contrato** **deberá** saldar cualquier **suma** adeudada a la Autoridad hasta la fecha en que se **realice** o **efectúe** la transferencia o **cesión**.

C. El Arrendatario, previo a **cualquier transferencia o cesión**, en **todo o en parte**, de la propiedad o derechos objetos de este contrato, **obtendrá crédito** con la Autoridad **como** requisito indispensable **para** la aprobacibn de la transferencia o cesión.

D. El cedente no **permitirá** ni **autorizará** que se ocupe y/o ofrezca **los** blenes o servlclos **objeto** de la **concesión** sin que prevlamente se **haya** formalizado la **cesión** y se cumpla con todos **los requisitos** anteriormente indlcados. **Si** la Autoridad tiene que recurrir a cualquier **acción** legal de desahucio, **cobro** de dinero, **daños** o cualquier otra **acción** relacionado con **dicha cesión** el Arrendatario **pagará costas**, gastos y honorarios de abogados.

ARTICULO 21. LIMITACIONES DE LOS DERECHOS CONCEDIDOS

Este **contrato** no **constituye** al Arrendatarlo en agente, funcionario o empleado de la Autoridad **para propósito** alguno.

ARTICULO 22. CONTRATOS CON EL GOBIERNO DE LOS ESTADOS UNIDOS

Este **contrato** de arrendamiento **estará** subordinado a **las** disposiciones de cualquier acuerdo existente o futuro entre la Autoridad y el Gobierno de **los** Estados Unidos, relacionados con **las** operaciones o el mantenimiento de la **concesión** y otras facilidades, **cuya** ejecucibn se requiera o pueda ser requerida **como condición** previa al desembolso de fonos federales **para** el desarrollo de la **concesión** **objeto** de este **contrato** y otras facilidades.

ARTICULO 23. NOTIFICACIONES

Notiflcaciones a la Autoridad **habrán** de hacerse por escrito y entregadas por mensajero o enviadas por correo prepago, dirigidas al Director Ejecutivo, Autoridad de **los** Puettos de Puerto Rico, PO Box 362829, San Juan, Puerto Rico, 00936-2829. Notiflcaciones al Arrendatario **habrán** de hacerse de igual **manera** dirigidas a Island Stevedoring, Inc., P.O. Box 9066570, San Juan, P. R. 00906-6570.

ARTICULO 24. ACUERDO UNICO

Este **contrato** **constituye** el **único** acuerdo entre **las** partes sobre el **objeto** contratado y no **podrá** ser cambiado, modiflcado o extendido, **excepto** por acuerdo suplementario debidamente otorgado por escrito entre **las** partes.

ARTICULO 25. **PRÁCTICAS DISCRIMINATORIAS**

El Arrendatario en **relación** con la **utilización** de las facilidades contratadas, no **podrá** discriminar contra persona alguna, empleado o solicitante de empleo, por **razón** de raza, **religión**, color o nacionalidad. Esta **disposición incluirá**, pero no se **limitará** a: empleo, ascenso, descenso, traslado, reclutamiento o anuncio **publicitario**, suspensiones, despidos o cesantías, salarios o cualquier otra forma de **compensación** o **selección para** entrenamiento, incluyendo aprendizaje. El Arrendatario se obliga a **fixar** avisos en **lugares accesibles** a sus empleados y **solicitantes** de empleo; **disponiéndose** que dichos avisos, conteniendo **las** disposiciones de esta **cláusula** de no **discriminación**, **serán** provistos por la Autoridad.

El Arrendatario asegura que **llevará a cabo** un **programa** de **acción** afirmativa **como** lo requiere el 14 CFR, **Parte 152, Sub-parte E**, **para** garantizar que ninguna persona **podrá** ser excluida sobre base de raza, religion, color, nacionalidad o sexo, de participar en cualquier actividad de empleo cubierta en el 14 CFR, Parte 152, Sub-parte E. El Arrendatario asegura que ninguna persona, **será** excluida, sobre estas bases, de participar o recibir **los** servicios o beneficios, de cualquier **programa** o actividad cubierta por esta Sub-parte. El Arrendatario asegura que se requerirá que sus suborganizaciones **provean** garantías al Arrendador que ellos, similarmente, **llevarán a cabo** programas de **acción** afirmativa y que **ellos requerirán** garantías de sus suborganizaciones, **como** lo requiere el 14 CFR, Parte 152, **Sub-parte E**, a **los** mismos efectos.

ARTICULO 26. **CLÁUSULA DE SEGURIDAD**

El Arrendatario no **permitirá** personal que no **esté** autorizado a entrar en **las** Areas Operacionales o ninguna otra **área marcada como** restringida en **los** reglamentos estatales o federales, dentro de **las** facilidades que cubren este contrato. En **el caso** que la Autoridad fuera penalizada o multada por alguna agencia local o federal, o por **algún** Tribunal de Justicia, por la violación de alguna ley o reglamento relacionado con el **acceso a áreas** restringidas y que **dicha violación** se **deba** a que el Arrendatario **haya fallado** en cumplir con esta **sección**, **dicha** penalidad o multa **será** satisfecha a la Autoridad por el Arrendatario.

ARTICULO 27. **CLÁUSULA AMBIENTAL**

A. El Arrendatario **deberá** cumplir con todas **las leyes y regulaciones** ambientales, incluyendo **las** federales, del Estado Libre Asociado **y** leyes locales, estatutos, ordenanzas, **códigos**, regias **y** reglamentos promulgados bajo **las** mencionadas leyes federales, del Estado Libre Asociado **y** leyes locales, estatales relacionados con la **protección** del ambiente **y** el lugar de trabajo y/o que regulen el **manejo**, uso, **generación**, tratamiento, almacenaje, transporte o **disposición** de sustancias peligrosas **y tóxicas**, desperdicios **sólidos y** otras sustancias reguladas, dentro **y** fuera del lugar de trabajo.

B. Previo al comienzo de operaciones, el Arrendatario **deberá solicitar** y obtener todos **los** permisos **y** licencias que apliquen, de aquellas **agencias** concernidas **tanto** Federales, del Estado Libre Asociado o **agencias** locales tales **como:** la Agencia de **Protección** Ambiental, el Cuerpo de Ingenieros del Ejercito de **los** Estados Unidos, la Junta de Calidad Ambiental, el **Departamento** de Recursos Naturales, la **Administración para el Manejo** de **los** Desperdicios **Sólidos y** otras.

C. Durante el **término** del arrendamiento la Autoridad, sus empleados o agentes, **tendrán** derecho a entrar en la propiedad arrendada **y** verificar ("monitor") el cumplimiento del Arrendatario con todas **las** leyes **y** reglamentos, permisos **y** licencias ambientales aplicables. Estas actividades de **verificación** ("monitoring activities") incluyen entre otras **cosas:** llevar a **cabo** inspecciones físicas, pruebas **y** muestreo; **instalación**, servicio e **inspección** de artefactos o planes de verificacibn ambiental; examinar **y copiar** registros **y documentos** que traten sobre el cumplimiento por parte del Arrendatario con leyes, reglamentos, licencias **y** permisos ambientales; entrevistas con el personal del Arrendatario **y** contratistas con **respecto** al **desempeño y** cumplimiento ambiental del Arrendatario; la Autoridad se reserva **el** derecho a requerir **y** obtener avisos e informes concernientes al **desempeño y** cumplimiento ambiental del Arrendatario. Durante el **término** del arrendamiento, el Arrendatario no **alterará** no perturbard de ninguna **manera los** artefactos o planes de **verificación** ("monitoring").

D. El Arrendatario **avisará e informará** a la Autoridad de cualquier **violación** de **las** leyes, reglamentos, licencias **y** permisos ambientales aplicables de

cualquier otro asunto que pueda dar **paso** a responsabilidad **ambiental** de la Autoridad de **los Puertos**.

E. Si durante el termino de este arrendamiento el Arrendatario viola cualquier ley, reglamento, licencia y permiso ambiental **aplicable**, o **actúa** en cualquier forma que pudiera dar **paso** a responsabilidad ambiental de la Autoridad **de los Puertos**, la Autoridad se reserva el derecho a expensas del Arrendatario:

- i. Ejecutar acciones remediales **según** se definen en CERCLA (Comprehensive Environmental Response, Compensation and Liability Act) y en SWDA (Solid Waste Disposal Act), mejor conocida **como** RCRA (Resource Conservation and Recovery Act) **para** remedial inmediatamente el incumplimiento ambiental.
- ii. Compeler al Arrendatario, a su **costo**, a efectuar la **acción** remedial mencionada en el **párrafo** (i).
- iii. No **habrá** derecho a reduccibn en la **renta** mientras se **esté** efectuando cualquier **acción** remedial.

F. El Arrendatario no **provocará** o **permitirá** el uso, almacenaje, **generación** o **disposición** de cualquier sustancia peligrosa en o dentro de **los** predios por sus agentes, empleados, contratistas, o invitados sin obtener previamente el consentimiento escrito de la Autoridad. En la eventualidad que se **usen**, almacenadas, generadas o dispuestas de, en o dentro de **los** predios **excepto como** es permitido anteriormente, o que **los** predios se **tornen** contaminados en cualquier forma **para** la **cual** el Arrendatario sea legalmente responsable, **éste indemnizará y mantendrá** libre de responsabilidad a la Autoridad cualquiera y todas **las** reclamaciones, **daños**, multas, sentencias, penalidades, gastos, responsabilidades, o **pérdidas** (incluyendo, sin **limitación**, una **disminución** en valor de **los** predios, **daños** causados por perdidas o **restricción** de espacio utilizable o rentable, o cualquier **daño** causado por **impacto** adverso en el mercado de espacio, y cualesquiera y todas **las sumas** pagadas **para** el arreglo de reclamaciones, honorarios de abogados y honorarios de expertos y consultores) que surja durante o **después** del **término** del arrendamiento y que surjan **como** resultado de esa **contaminación** por el Arrendatario. Esta **indemnización incluye**, sin lmitarse a **ello**, cualquiera y todos **los** gastos Incurridos por **razón** de cualquier **investigación** del lugar o cualquier limpieza, **remoción** o **restauración** ordenada por una agencia o subdivision **política** federal, estatal o local.

G. Como se utiliza aquí, el término Sustancia Peligrosa significa cualquier sustancia que sea **tóxica**, inflamable, **reactiva** o **corrosiva** y que sea regulada por cualquier autoridad local, el Estado Libre Asociado de Puerto Rico o el Gobierno de los Estados Unidos. Sustancia Peligrosa incluye cualquiera y **todo** material o sustancia **según** definidas como "desperdicios peligrosos", "desperdicios extremadamente peligrosos" o una "sustancia peligrosa" **conforme** a la ley estatal, Federal, o de autoridad local.

H. El Arrendatario no **provocará, permitirá** que **ningún** material peligroso sea traído o mantenido, **usado** en o **cerca** del predio arrendado, por sus agentes, empleados, contratistas, o invitados, **excepto** aquel material peligroso que sea necesario y **útil** al negocio del Arrendatario.

Todo material peligroso permitido en el predio o local, todos sus **envases, serán usados**, mantenidos, almacenados y dispuestos de **manera** que cumpla con todas **las leyes** y reglamentos federales, del Estado Libre Asociado y locales que **sean** aplicables a ese material peligroso.

El Arrendatario no **descargará, filtrará** ("leak"), o **emitirá o permitirá** que cualquier material sea descargado, filtrado ("leak"), o emitido a la **atmósfera**, suelo, sistema de alcantarillado o cualquier cuerpo de agua, en la medida en que ese material (**así como** razonablemente determinado por la Autoridad de los Puertos o cualquier autoridad gubernamental) **infecte** o contamine o pueda **infectar** o contaminar **los** mismos o puedan afectar adversamente (a) la salud, el bienestar o la seguridad de personas, **estén** dentro o fuera del predio o local, o (b) la condición, uso, o disfrute del **edificio** o cualquier otra propiedad mueble o inmueble.

Al comienzo de **cada año** del arrendamiento, el Arrendatario **revelará** a la Autoridad de los Puertos los nombres y **las** cantidades aproximadas de **todo** material peligroso que el Arrendatario se proponga almacenar, usar o disponer de, en el predio o local durante el transcurso de ese **año** del arrendamiento. **Además**, al comienzo de **cada año** del arrendamiento, empetando con **las** segundas cantidades de todos **los** materiales peligrosos que hubieran sido **usados**, almacenados, o dispuestos de en **los** predios si esos materiales no hubieran sido

previamente identificados a la Autoridad de los Puertos al comienzo del año del arrendamiento previo.

Como se utiliza aquí, el término "material peligroso" significa: (a) cualquier "desperdicio peligroso" según definido por el Resource Conservation and Recovery Act de 1976, según sea enmendado de tiempo en tiempo, y las regulaciones promulgadas a su amparo; (b) cualquier "sustancia peligrosa" según definida por CERCLA (Comprehensive Environmental Response, Compensation and Liability Act de 1980), según sea enmendada de tiempo en tiempo y las regulaciones promulgadas a su amparo; (c) cualquier aceite, producto de petróleo, o sus derivados y (d) cualquier sustancia que esté o que llegue a ser regulada por cualquier autoridad federal, del Estado Libre Asociado o local.

El Arrendatario acuerda que será completamente responsable de todos los gastos y desembolsos relacionados al uso, almacenamiento y disposición de materiales peligrosos mantenidos en el predio o local y avisará y notificará inmediatamente a la Autoridad de cualquier violación o violación potencial de la sección previa. El Arrendatario defenderá e indemnizará y mantendrá libre de responsabilidad a la Autoridad y a sus agentes de y contra cualquiera reclamaciones, demandas, penalidades, multas, responsabilidades, arreglos, daños, gastos, desembolsos (incluyendo, sin limitarse a ello, honorarios de abogados y consultores, costas y desembolsos de litigación) de cualquier clase o naturaleza, conocida o desconocida, contingente o de otra clase, que surjan de o que estén relacionadas a: (a) la presencia, disposición, liberación o amenaza de liberación de cualquiera de estos materiales peligrosos que estén en, desde o afectando el suelo, agua, vegetación, edificaciones, propiedad mueble, personas, animales, o de otra forma; (b) cualquier lesión personal (incluyendo muerte ilícita) o daño a la propiedad (mueble o inmueble) que surja de o esté relacionada a este material peligroso; (c) cualquier pleito traído o amenazado, arreglo alcanzado, u orden gubernamental relativa a ese material peligroso; o (d) toda violación de cualquier ley aplicable al respecto. Las providencias de esta sección serán en adición a cualesquiera otras obligaciones que en ley o en equidad pueda tener el Arrendatario para con la Autoridad y subsistirán las transacciones aquí contempladas, así como la conclusión de ese arrendamiento.

ARTICULO 28. OTRAS DISPOSICIONES

A. El Arrendatario no **quedará** reievado dei cumplimiento pasado, presente o futuro, de sus obiigaciones por ei **hecho** de que la Autoridad en una o **más circunstancias** no requiera o **insista** en ei cumplimiento de **las** mismas, ni se **entenderá** por eiio que la Autoridad ha renunciado a exigir, en cuaiquier **momento** el cumplimiento o **ejecución** de **los** tirminos, pactos o condiciones dei presente contrato; **entendiéndose** que **las** obiigaciones contractuaies dei Arrendatario **continuarán** en toda su fuerza y vigor; **disponiéndose** que ei recibo y **aceptación** **del** canon de **renta** no se **considerará como** un reievo **para** cuaiquier incumplimiento o **infracción** por parte dei Arrendatario de lo **dispuesto** contractualmente ni **invalidará** o **menoscabará** la efectividad de la **cancelación** o su **notificación**, **excepto** que **así** sea expresamente acordado por escrito por la Autoridad.

B. Los sucesores, sindicos, fideicomisarios, administradores y cesionarios dei Arrendatario quedarln obiigados por **los** pactos y condiciones aqui contenidos.

C. Este **contrato** no **tendrá** efectividad alguna, hasta **tanto** ei Arrendatario no cumpla con **los** requisitos de **fianza**, **depósitos** en efectivo y **pólizas** de seguro que aqui establecen y la Autoridad no **quedará** obiigada a **las** condiciones aqui contenidas hasta **tanto** ei **contrato** no sea **firmado** por ei Director Ejecutivo o su representante autorizado.

D. En ei **caso** de que ei Arrendatario tenga alguna queja o **reclamación** que **hacer** con reiacibn a **las** operaciones autorizadas bajo este contrato, o de cuaiquiera otra naturaieza, lo hat-6 por escrito, dirigido al Director Ejecutivo de la Autoridad, por correo certificado con **acuse** de recibo.

E. Las partes en este **contrato** estipuian someterse a la **jurisdicción** dei Distrito Judicial de San Juan, Puerto Rico, **para** diiucidar cuaiquier **controversia** legal que surge bajo este contrato.

F. La parte contratada certifica y garantiza que al **momento** de suscribir este **contrato** ha rendido su pianiiia **contributiva** durante **los cinco (5) años** previos a este **contrato** y no adeuda contribuciones al Estado Libre Asociado de Puerto

Rico o al Centro de Recaudaciones de Ingresos Municipales (**CRIM**) o se encuentra acogida a un plan de pagos con cuyos terminos y condiciones **está** cumpliendo.

Todos los subarrendatarios designados por el Arrendatario principal **también deberán** cumplir con el requisito de **certificación** antes Indicado.

El Arrendatario principal **será** responsable de requerirle a todos sus subarrendatarios **dicha certificación y** notificarle a la Autoridad del cumplimiento de **ésta**. Esta obligación **será** continua durante la **duración** de este contrato.

G. La parte contratada **certifica** y garantiza que al **momento** de suscribir este **contrato** ha pagado **las** contribuciones de seguro por desempleo, de incapacidad temporal y de seguro social **para** choferes (la que aplique); o se encuentre acogida a un plan de **pago**, con cuyos **términos y** condiciones esta cumpliendo.

Expresamente se reconoce que estas son condiciones esenciales del presente contrato, y de no ser correctas en **todo** o en parte **las** anteriores certificaciones, **será causa** suficiente **para** que la Autoridad pueda dejar sin efecto el **contrato** y el Arrendatario **tendrá** que desalojar inmediatamente **las** facilidades arrendadas.

H. El Arrendatario certifica que a la fecha de **formalización** del presente contrato, no tiene relación de tipo alguno que pueda **crear** conflicto de intereses, tal y **como** dispone la Ley de **Ética** Gubernamental, durante la vigencia del presente contrato.

I. El Arrendatario se obliga a presentar a la Autoridad todos **los años** copia del informe anual de corporaciones que **radica** en el Departamento de Estado de Puerto Rico.

K. Este **contrato** sustituye **los** Contratos AP **92-93-(4)-122** y AP **96-97-(4)-123**.

EN **TESTIMONIO** DE LO CUAL **las** partes comparecientes firman este **contrato** en la fecha antes indicada.

AUTORIDAD DE LOS PUERTOS
DE PUERTO RICO

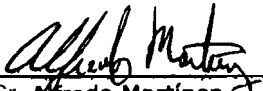
José G. Baquero
Director Ejecutivo

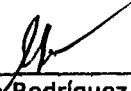
ISLAND STEVEDORING, INC.

Mayra Villalón
Mayra Villalón

SS. **660-38-8864**

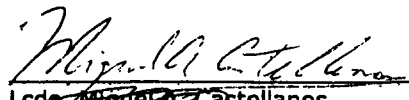
Revisado y recomendado por:


Sr. Alfredo Martínez
Jefe, Asuntos Tarifarios


Sr. Edwin Rodríguez
Jefe, Negociado Msritimo

Redactado, revisado y recomendado por el Lcdo. Waldo F. Rodríguez Ortiz, de la División Legal de la Autoridad de los Puertos de Puerto Rico, aseverando que el mismo incluye todas las cláusulas y condiciones requeridas por la Autoridad de los Puertos para esta transacción.

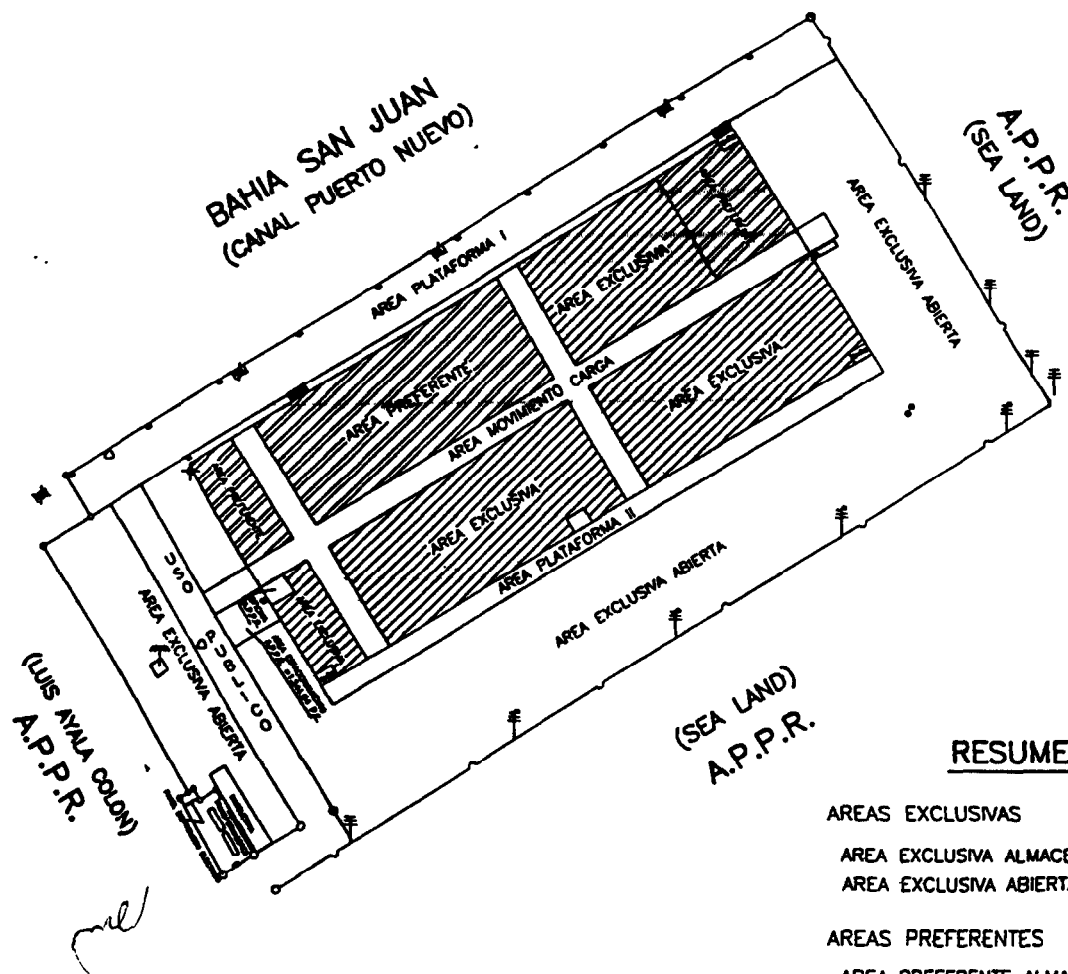
Revisado y recomendado por:


Lcdo. Miguel A. Castellanos
Asesor Legal General Interino

CONTRATO NUM. AP 01-02-(4)-079

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RESUMEN DE AREAS

AREAS EXCLUSIVAS

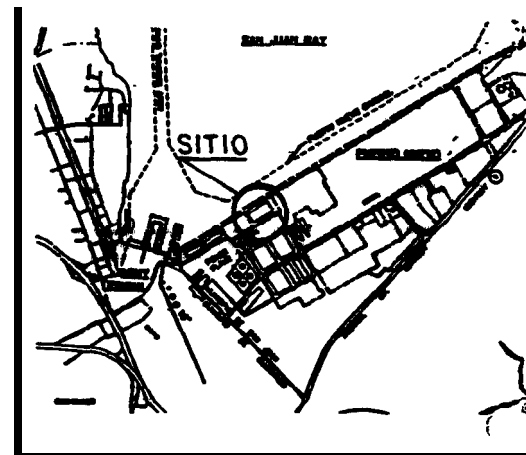
AREA EXCLUSIVA ALMACEN	53,293.58 P.C.
AREA EXCLUSIVA ABIERTA	107,100.56 P.C.

AREAS PREFERENTES

AREA PREFERENTE ALMACEN	30,410.55 P.C.
AREA PLATAFORMA I	26,131.69 P.C.
AREA PLATAFORMA II	8,302.23 P.C.

AREAS MOVIMIENTO DE CARGA

AREA EN ALMACEN	17,402.12 P.C.
AREA ABIERTA	815.99 P.C.



LANO DE LOCALIZACION

NO ESCALA

EXHIBIT

AUTORIDAD DE LOS PUERTOS DE P.R.
DIRECTORIA DE PLANIFICACION, INGENIERIA
Y CONSTRUCCION
OFICINA ESTUDIOS DE AGRIMENSURA

MUELLE DE PUERTO NUEVO
SAN JUAN, PUERTO RICO

AREA ARRENDADA A:
ISLAND STEVEDORING

CONTRATO NUM: _____

RECOMENDADO POR: *Jose O. Buitrago*

APROBADO POR: *[Signature]*

EXH. NUM: 22-285

FECHA: 23 JUN. 99 HOJA NUM: 1 DE 1

CBSA

EXHIBIT NO. 6-A

AGREEMENT

AP-01-02-(4)-079

In San Juan, Puerto Rico, this 22nd day of February, 2002.

APPEARANCES

AS PARTY FOR THE FIRST PART: **THE PUERTO RICO PORTS AUTHORITY**, a public corporation and instrumentality of the Commonwealth of Puerto Rico, created by Act No. 125 of May 7, 1942, as amended, hereinafter referred to as "the Authority", represented by its Executive Director, José G. Baquero, Esq., or any other officer authorized to act on its behalf.

AS PARTY FOR THE SECOND PART: **ISLAND STEVEDORING, INC.**, hereinafter referred to as "the Lessee" with employer identification number 660-38-8864, and represented by Mrs. Mayra Villalón.

The appearing parties, freely and spontaneously:

SET FORTH

The Authority is the owner of the Puerto Nuevo port area located in the Municipality of San Juan, of the Commonwealth of Puerto Rico, hereinafter referred to as "the property subject of this Agreement and other facilities".

The Lessee is engaged in the business of: **Cargo Shipping Agent**.

CONDITIONS

ARTICLE 1. CONCESSION SUBJECT OF THIS AGREEMENT

The Authority leases to the Lessee, and the Lessee accepts to lease the area and the facilities designated and described in Exhibits Nos. 22-163 and Nos. 22-285, attachments that are made an integral part of this Agreement, and which consist of approximately:

AREA	MEASUREMENT
Exclusive Open leveled	1.516 acres
Exclusive Warehouse	53,293.58 sq. ft.
Open Exclusive Area	107,100.56 sq. ft.
Preferred Warehouse	30,410.55 sq. ft.
Preferred Total Platform	34,433.92 sq. ft.

In addition, the Lessee has preference at Pier D during the duration of this Agreement.

ARTICLE 2. TERM

A. The term of this Agreement shall be of five (5) years, commencing on the date of its execution by the Executive Director.

B. Notwithstanding the provisions of the previous paragraph, or any other provision of this Agreement, the Authority may cancel and terminate this Agreement, as established below.

C. At the time of the termination of this Agreement, the Lessee shall move out and surrender the facilities and/or keys to such leased property immediately. If at the time of the termination of the Agreement, the Lessee does not evacuate and surrender possession and/or keys to such property leased from the Authority, the Lessee shall be obligated to pay to the Ports Authority a penalty of \$2,160.07 for each day following the termination date of this Agreement. In addition, the Lessee shall pay the Authority a sum equal to the monthly rent established in this Agreement as compensation for the use and occupation of the leased facilities. The compliance with this stipulation by the Lessee shall not prevent the Authority from taking the corresponding legal action to force the Lessee to surrender the leased facilities and/or keys. The Authority's acceptance of the stipulated sums shall not be interpreted as if the Agreement has been amended, prorated, extended, or renewed; nor has a figure for tacit extension of lease been specified.

D. In the event that the Lessee does not evacuate and surrender the possession and/or keys to the leased facility at the time of the termination of this Agreement, the Lessee agrees and submits to the eviction summary procedure under the jurisdiction of the Court of First Instance of Puerto Rico.

E. The Lessee is obligated to pay the costs and attorney's fees, in the event the Authority files an action for eviction, collection of money, tort, or any other action for breach by the Lessee of the obligations established in this Agreement.

F. If the Lessee has an interest in amending, prorating or renewing this Agreement or extending in any way the terms of such, the Lessee will notify the Authority of its interest with at least one hundred and eighty (180) days of anticipation to the date of

termination of the Agreement. If the Authority does not respond to such notification within a period of thirty (30) days from the date of the notification, it will be understood that the Authority has rejected the Lessee's request for amendment, prorate, renewal or extension.

ARTICLE 3. USE OF THE PROPERTY SUBJECT OF THIS AGREEMENT

The Lessee shall have the right to use the leased property during the period agreed, for the following purposes, solely and exclusively: storage of cargo.

ARTICLE 4. RELOCATION OF THE LESSEE

The Authority reserves the right, during the term of this Agreement, if possible, to assign to the Lessee another location in the same area contracted, or at any other area or facilities built to serve as such, with approximately the same capacity as the one hereby leased, under the condition that there shall be areas available; and, if not available, the Ports Authority is not obligated, and the Lessee has to surrender the leased area. The Lessee shall cover the costs of said relocation.

ARTICLE 5. RENT

A. The Lessee agrees to pay to the Authority, for the rights and privileges herein conferred, a monthly rent of \$21,600.67. The total sum of this Agreement during its term amounts to \$1,296,040.21. In addition, the Lessee shall pay the Authority an annual minimum of \$250,000.00 for docking and dockage fees.

B. The Lessee agrees and accepts to pay, from the date of occupation or possession of the real property or facility subject of this Agreement, the additional rent billed by the Authority, in the event that the corresponding capacity or surface area results to be larger than the one specified initially in the Agreement. This additional rent shall be billed, retroactively, in proportion with the larger capacity or real area.

The monthly rent shall be paid in advance on or before the tenth day of each month, at the Central Offices of the Authority, or at any other place established by the Authority.

C. The Lessee shall install electricity and water meters, where feasible, within the next 90 days following the effective date of this Agreement. Likewise, the Lessee relieves the Authority from responsibility over any act and/or effort related with the installation and use of said facilities.

D. The Lessee shall pay promptly to the entities that provide or supplies any utility or service when the Authority does not provide these. Any installation of these utilities or services that are necessary for the operation of the Lessee shall be installed at its own cost. Any adjustment that is made related to the consumption of these utilities and/or services shall be retroactive to the date on which the Agreement begins or to the date on which the tools that generate such consumptions are installed or removed.

E. It is understood that the rents established in this Agreement have been computed based on the rates of the rents contained in the applicable Resolutions, as promulgated, and that said rents are subject to readjustments according to the rates, fees, rents and other charges to be adopted from time to time, pursuant to the Resolutions and

the rules of the Authority. The Lessee agrees to pay the rent readjusted as determined by the Authority, pursuant to the provisions of said resolutions and the law.

F. The Lessee shall pay a penalty of 35% of the gross income obtained from any operation at the leased property that has not been authorized by this or any other agreement, or by subleases not authorized. However, this clause shall not be understood as an authorization to perform activities not specifically authorized by this or any other agreement, and the collection of such penalty shall not constitute a resignation of the right that the Authority reserves to terminate the agreement due to said breach.

G. The term "gross income" shall mean any monies received or earned by the Lessee in the operations of the business to which this Agreement refers. When determining the gross income, any costs or expenses incurred by the Lessee that is related to said gross income shall not be discounted.

H. The Lessee shall maintain, during the term of this Agreement, accounting books and records, in accordance with the normal accounting practices accepted, in which any transaction at the leased property shall be noted, and said accounting books and records shall be maintained in the Municipality of San Juan at all times.

The Lessee is required to maintain an accounting system separated from any other businesses and records and accounting books operated by the Lessee at the facilities of the Authority or outside of them.

I. The Authority reserves the right to examine and audit all and each one of the records and accounting books maintained by the Lessee before the expiration of the Agreement and the return of the contractual bond. The notification of the examination

and audit of the accounting books shall be in writing and with at least five (5) days prior to the commencement of the same.

J. The examination and audit of the records and accounting books shall be made during working hours and by the personnel of the Internal Auditors Office of the Authority, with the purpose of verifying that the operations are made according to applicable laws, procedures, regulations and agreements.

K. The records and accounting books of the Lessee's sub-contracts shall be subject to being audited whenever it is deemed convenient or necessary by the personnel of the Internal Auditors Office of the Ports Authority.

L. The Authority shall photocopy and/or in any other way obtain a duplicate, of all relevant and pertinent information to its investigation that is discovered through the examination of the books and documents previously authorized.

M. Any sum due and payable under this Agreement not paid by the Lessee within the grace period of ten (10) days from the first day of each month, shall accrue a 9% annual interest without the need to notify its breach, computed said interest from the first day of each month and until the total amount owed is satisfied by the Lessee.

ARTICLE 6. BOND

A. On the date of the execution of this Agreement the Lessee shall submit to the Authority as guarantee for the payment of rents, charges and fees, and the true compliance of its obligations under this Agreement a Lease Bond in the amount of \$64,802.07.

B. In the event that the Authority is not satisfied with the terms of the Lease Bond mentioned in the previous paragraph, the Authority shall refuse to accept it and shall require the amendments or changes that it deem appropriate.

ARTICLE 7. INDEMNIFICATION

The Lessee agrees to indemnify and hold harmless the Authority independently of a determination of negligence, of all liability, and assumes all legal obligation for any claim for damage to the property or personal injury, or any other nature, or by death, caused to any person, as a result of the operations of the Lessee in the property subject of this Agreement. The Lessee shall assume the defense of any judicial or administrative claim arising against the Authority for said damages, injuries or death, and shall pay any compensation or judgment granted.

In the event the Lessee does not comply with the provisions mentioned above, resulting this in the imposition of sanctions or penalties against the Authority, the Lessee is obligated to reimburse the Authority the total amount of the sanction or penalty imposed.

ARTICLE 8. INSURANCE POLICIES

A. The Lessee shall maintain in effect, during the term of this Agreement, general liability policies (bodily injury and Property Damage) that include insurance limits for the following coverage: Products-Completed Operations, Personal & Advertising Injury, Fire Damage and Medical Expenses. These must be issued by an insurance company acceptable to the Authority and authorized to do business in Puerto

Rico that shall insure the Lessee against any liability for damages to the property and for personal injuries, including body injuries or death caused by the use and occupation by the Lessee of the property subject of this Agreement and its operations in any other facility of the Authority.

B. The limits of said general liability policy shall not be less than \$500,000.00 Combined Simple Limit (CSL) for personal injuries, including bodily injury, Personal & Advertising and Property Damages.

C. The general liability policy shall contain a fire endorsement not less than \$500,000.00 (Any One Fire) that will respond for any damages to the structure or part of the structure herein leased to the Lessee by the Authority, including any property permanently embedded to said structure, if said damage arises as the result of negligence by the Lessee, its employees or any other person acting under its direction. Said endorsement shall provide that any loss shall be paid to the Authority.

D. The general liability policy shall contain the following endorsement: The coverage of this policy shall not be amended with the purpose of decreasing the protection under the limits herein established, or under any other circumstance, nor it shall be cancelled without the previous notification, in writing, to the Authority, with thirty (30) days in advance. In addition, the Authority shall be notified in writing, thirty (30) days in advance, in the event of expiration of the policy.

The general liability policy shall contain an endorsement of contractual liability including the Authority as additional insured, and also an endorsement of indemnification.

The general liability policy shall not contain any deductible, with the exception that the Lessee provides another policy covering the risk in the amount not covered by the deductible.

E. The Lessee shall maintain a Workmen's Compensation Insurance, according to a policy issued by the State Insurance Fund.

F. The Lessee also agrees that, no later than thirty (30) days prior to the expiration of any of the policies required by this Agreement, or any policies that the Lessee might have at the time of its issuance, it shall submit to the Authority a Certificate of Insurance, or a certified copy, of all the policies required by this Agreement.

G. Simultaneously with the execution of this Agreement, the Lessee shall provide the Authority with copies of the above-mentioned insurance policies; and if these are to expire within less than 30 days of the date of the execution of the Agreement, Lessee should present evidence of the renewal of such policies.

H. In the event that the Lessee fails to comply with this obligation of maintaining in effect the required insurances and bonds through this Agreement, the Authority shall impose a penalty of \$1 ,000.00 monthly until it complies with this obligation.

I. In the event that the obligations about insurances and bonds stipulated in this Agreement are left uncovered, or should the Authority becomes obligated to incur in expenses to cover the risks herein described, the Lessee shall become obligated to pay or reimburse to the Authority any expense or expenditure incurred as a result of said breach.

J. In the event that the Lessee does not submit the insurance policies within the term of thirty (30) days prior to its expiration, this shall be considered as a violation of the terms and conditions of the present Agreement. The Authority shall immediately proceed with the cancellation of the Agreement and at the same time shall file the corresponding eviction action, in addition to the payment of the penalty.

ARTICLE 9. REPAIRS AND ALTERATIONS

A. The Lessee has examined and knows the current condition and state of the repairs of the facilities subject of this Agreement and, likewise, agrees to the same and recognizes that the Authority has not agreed nor compromises to alter, improve, adopt or repair any of the facilities or of its parts during the term of this Agreement. The Lessee recognizes that the Authority has made no representation whatsoever about the conditions or current state of the property subject of this Agreement that has not been established herein.

B. The Authority reserves the right to make any repair or improvement to the leased property during the term of the Agreement, if it deems it proper and necessary.

C. The Lessee shall not establish any claim whatsoever for inconvenience, nuisance or adverse effect to its business by reason of repairs or substitutions in the property subject of this Agreement.

ARTICLE 10. ALTERATIONS AND SUBSTANTIAL OR STRUCTURAL IMPROVEMENTS

A. Authorization granted to the Lessee

The Lessee, with prior authorization in writing from the Authority, shall make alterations, additions or substantial or structural improvements to the property subject of this Agreement.

B. Title of the improvements at the termination of the Agreement

The property title of all the alterations, additions or substantial or structural improvements made and installed by the Lessee, shall be Lessee's, but as of the expiration of this Agreement, said property title shall be transferred to the Authority, without any cost for to the Authority and free of liens and encumbrances, providing that the Authority shall require from the Lessee to retire or demolish all or part of the alterations, additions or improvements, and to return the property subject of this Agreement to its original state with the exception of the deterioration due to normal wear and tear over which the Lessee does not have any control, and to force majeure. The Lessee is obligated to perform said retirement or demolishing acts within the period of fifteen (15) days following the written request of the Authority. Should the Lessee not proceed pursuant to what has been prescribed, it shall be understood that the Lessee has abandoned said property to the Authority and the Authority shall have the right to dispose of the same in the manner that it deems advisable or convenient, and the costs shall be assumed by the Lessee.

ARTICLE 11. CANCELLATION CLAUSE

A. This Agreement shall be terminated at any time, by any of the parties, through written notification with thirty (30) days prior to the date of cancellation, resolution, annulment or termination.

B. In addition, any other remedy or right that the Authority may exercise under the provisions of this Agreement, the Authority may terminate this Agreement upon the occurrence of the following facts:

1. Abandonment of the property subject of this Agreement by the Lessee; or the liquidation of the assets of the Lessee.
2. The occupation or attachment by a third party under judicial mandate or confiscation of the assets of the Lessee located in the property subject of this Agreement, if such occupation, attachment or confiscation is not finalized within the fifteen (15) days following the date of its commencement.
3. Breach by the Lessee of any of its obligations, pacts or agreements under this contract, or breach by the Lessee of any other payment obligation of liquid or payable debt for any other concept, pact or agreement towards the Authority that is not covered under this Agreement, if such breach is not corrected within the fifteen (15) days following the date on which the Authority required it.

C. Upon the occurrence of the above-mentioned facts, the Authority shall take immediate possession of the property subject of this Agreement and the Lessee shall pay to the Authority as liquid damages, without the need of judicial action, a sum equal to the rent established by this Agreement, from the date on which the fact occurred until the date of the normal expiration of this Agreement, [plus] expenses and attorneys' fees, if they fail to abandon the property.

ARTICLE 12. INSTALLATION OF ACCESSORIES

The Lessee may, at its own costs, install advertisements related to the business and any other accessory necessary for the normal course of its operations, in such a manner that it does not mutilate, damage or spoil the property subject of this Agreement. The Lessee shall not install such advertisements or accessories without the prior written authorization of the Authority.

ARTICLE 13. WITHDRAWAL OF ACCESSORIES AND FURNITURE

A. Within the fifteen (15) days following the date of termination of this Agreement, for any cause, the Lessee shall remove from the leased facilities all equipment, personal property, accessories, advertisements, structures and movable improvements, machinery and articles or merchandise constructed, made, maintained or deposited by the Lessee at said facilities, and shall restore the property subject of this Agreement to its original state at the moment prior to the execution of this Agreement, at its own cost.

B. In the event the Lessee does not proceed with the removal of its property as stated in the previous paragraph, it shall be understood that the Lessee has abandoned to the Authority all that property and the Authority shall dispose of it in the manner in which it deems advisable or convenient, which costs shall be assumed by the Lessee.

ARTICLE 14. COMPLIANCE WITH LAWS AND REGULATIONS

The Lessee shall obey and comply with the laws and regulations of the Commonwealth, the Federal Laws and Regulations, as well as the Municipal Ordinances, the Regulations and Resolutions of the Ports Authority, the Statutes of the Coast Guard, and any judicial or administrative mandate related with the occupation and operation at the facilities subject of this Agreement. The Lessee shall be obligated to pay or reimburse to the Authority any sanction or penalty imposed to the Authority as a result of the breach by said Lessee of the stipulations of this article.

ARTICLE 15. CONSERVATION AND MAINTENANCE OF THE LEASE FACILITIES

A. The Lessee shall maintain the property subject of this Agreement in a satisfactory state of salubrity, sanitation and cleanness at all times during the term of this Agreement.

B. The Lessee shall conserve, protect and maintain said property in good state of use, assuming its costs. The work required to comply with said requirements shall be made with prior written authorization by the Authority.

C. The breach by the Lessee of the above shall warrant the imposition of a daily penalty equal to the monthly rent established in this Agreement and, if the Lessee fails to correct the situation in a period of thirty (30) days, the Authority shall proceed with the cancellation of the Agreement.

ARTICLE 16. LIENS

The Lessee shall not make nor allow to be made, over the property subject of this Agreement, any act that might result in a lien or right in rem over said property; and shall expeditiously take the necessary action to lift, or allow the lift, of any attachment, lien or in rem right that arises from or may exist at any time with respect to said property, or any alteration, addition, improvement or modification to the same. Should the Authority have to resort to any legal eviction action, collection of money, damages or any other action related with this article, the Lessee shall pay the costs, expenses and attorneys' fees.

ARTICLE 17. LIABILITY FOR DAMAGES TO THE AUTHORITY'S PROPERTY

The Lessee shall be liable for any loss or damage to the property of the Authority that may occur as a result of its negligence or inadvertence in the compliance with the provisions of this Agreement.

ARTICLE 18. FIRE EXTINCTION EQUIPMENT

The Lessee shall maintain at the leased facilities equipment for the extinction of fires, as required by the Authority or the Local Fire Service.

ARTICLE 19. INSPECTION BY THE AUTHORITY

A. The Authority shall have the right to enter the property subject of this Agreement with the purpose of making repairs, substitutions or alterations when it

deems it necessary. Said action by the Authority shall not relieve the Lessee from its responsibility of maintaining and/or repairing its own facilities and equipment.

B. The Authority reserves the right to inspect, from time to time, through its representatives and authorized agents, the facilities and installations of the Lessee subject of this Agreement, during working hours, with the purpose of determining if the Lessee is complying with the obligations that has assumed by virtue of this Agreement.

ARTICLE 20. ASSIGNMENTS

A. The property or rights subject of this Agreement shall not be transferred or assigned nor sub-leased in any manner by the Lessee, without the prior written authorization by the Authority.

B. Prior to any transfer or assignment, in all or in part, of the property or rights subject of this Agreement, the Lessee or the part with interest in assuming the Agreement, shall liquidate any sum owed to the Authority up to the date on which the transfer or assignment is performed.

C. The Lessee, prior to any transfer or assignment, in all or in part, of the property or rights subject of this Agreement, shall obtain credit with the Authority as an indispensable requirement for the approval of the transfer or assignment.

D. The assigner shall not allow nor authorize the goods or services subject of the assignment to be occupied and/or offered, without having previously formalized the assignment and complied with all the requirements previously indicated. If the Authority has to resort to any legal eviction action, collection of money or any other

action related to said assignment. the Lessee shall pay costs, expenses and attorneys' fees.

ARTICLE 21. LIMITATIONS OF THE RIGHTS CONFERRED

This Agreement does not constitute the Lessee as an agent, officer or employee of the Authority, for any purpose.

ARTICLE 22. AGREEMENTS WITH THE GOVERNMENT OF THE UNITED STATES

This Lease Agreement shall be subordinated to the provisions of any existing or future agreement between the Authority and the Government of the United States, in regard to the operations or the maintenance of the concession and other facilities, whose execution is required or may be required as previous condition for the disbursement of federal funds for the development of the concession subject of this Agreement and other facilities.

ARTICLE 23. NOTIFICATIONS

Notifications to the Authority shall be made in writing and delivered by messenger, or sent by prepaid mail, addressed to the Executive Director, Puerto Rico Ports Authority, P. O. Box 362829, San Juan, P. R. 00936-2829. Notifications to the Lessee shall be made in the same manner, addressed to Island Stevedoring, Inc., PO Box 90665570, San Juan, Puerto Rico 00906-6570.

ARTICLE 24. SOLE AGREEMENT

This Agreement constitutes the sole agreement between the parties over the subject contracted and shall not be changed, modified or extended, except by supplementary agreement duly executed in writing by the parties.

ARTICLE 25. DISCRIMINATORY PRACTICES

The Lessee, in regard to the use of the contracted facilities, shall not discriminate against any person, employee or employment applicant, by reason of race, religion, color or nationality. This provision shall include, but shall not be limited to: employment, promotion, demotion, transfer, recruiting or publicity advertisement, suspensions, discharges or terminations, salaries or any other form of compensation or selection for training, including apprenticeship. The Lessee is obligated to place notices in places accessible to its employees and employment applicants, providing that said notices, containing the provisions of this non-discrimination clause, shall be provided by the Authority.

The Lessee assures that it shall establish an affirmative action program, as required by 14 CFR, Part 152, Subpart E, to guarantee that no person shall be excluded on the basis of race, color, nationality or sex, from participating in any employment activity covered by 14 CFR, Part 152, Subpart E. The Lessee assures that no person shall be excluded, over these bases, from participating or receiving the services or benefits of any program or activity covered by this Subpart. The Lessee assures that it shall be required from its sub-organizations to provide guarantees to the Lessee that

they, similarly, shall establish affirmative action programs and that they shall require guarantees from its sub-organizations, as required by 14 CFR, Part 152, Subpart E, to those same effects.

ARTICLE 26. SAFETY CLAUSE

The Lessee shall not allow personnel that are not authorized to enter the Operational Areas, or any other area marked as restricted by the state or federal regulations, within the facilities covered by this Agreement. In the event that the Authority is penalized or sanctioned by any local or federal agency, or by any Court of Justice, for the violation of any law or regulation related with the access to restricted areas, and that said violation is due to the Lessee's failure to comply with this section, said sanction or penalty shall be satisfied to the Authority by the Lessee.

ARTICLE 27. ENVIRONMENTAL CLAUSE

A. The Lessee shall comply with all the environmental laws and regulations, including federal, Commonwealth of Puerto Rico and local laws, statutes, ordinances, codes, rules and regulations, promulgated under the mentioned federal, Commonwealth of Puerto Rico and local and state laws, related with the protection of the environment and the place of work and/or that may regulate the management, use, generation, treatment, storage, transportation or disposal of hazardous and toxic substances, solid wastes and other regulated substances, within and outside the place of work.

B. Prior to beginning the operations, the Lessee shall request and obtain all the applicable permits and licenses, from those agencies, including federal, Commonwealth

or local agencies, such as: the Environmental Protection Agency, the Engineering Body of the United States Army, the Environmental Quality Board, the Department of Natural Resources, the Administration for the Solid Wastes Management and others.

C. During the term of the lease, the Authority, its employees or agents, shall have the right to enter the leased property and monitor the compliance by the Lessee with all the laws and regulations, environmental permits and licenses applicable. These monitoring activities include, among others: to perform physical inspections, tests and sampling; installation, service and inspection of artifacts or environmental monitoring plans; to examine and copy registers and documents that deal with the compliance on the part of the Lessee with laws, regulations, environmental licenses and permits; interviews with the personnel of the Lessee and contractors with respect to the performance and environmental compliance by the Lessee. During the term of the lease, the Lessee shall not alter nor disturb in any way the artifacts or monitoring plans.

D. The Lessee shall notify and inform the Authority of any violation of the laws, regulations, environmental licenses and permits applicable, or of any other matter that may give rise to environmental liability by the Ports Authority.

E. If during the term of this lease, the Lessee violates any law, regulation, environmental license and permit applicable, or acts in a way that may give raise to environmental liability by the Ports Authority, the authority reserves the right, at the cost of Lessee, to:

- i. Execute remedial actions as defined in CERCLA (Comprehensive Environmental Response, Compensation and Liability Act) and in the SWDA (Solid Waste Disposal Act), better known as RECRA

(Resource Conservation and Recovery Act), to immediately remedy the environmental violation.

- ii. Compel the Lessee, at its own costs, to undertake the remedial action mentioned in paragraph (i).
- iii. There shall be no right to reduction in the rent while any remedial action is being undertaken.

F. The Lessee shall not provoke or allow the use, storage, generation or disposal of any hazardous substance in or within the premises, by its agents, employees, contractors or invitees, without previously obtaining the written consent of the Authority. In the event [the premises] are used for the storage, generation or disposal of [hazardous substances] in or within the premises, except as previously allowed, or that the premises become contaminated in any way for which the Lessee is legally liable, the Lessee shall indemnify and maintain the Authority free of any liability and all the claims, damages, sanctions, judgments, penalties, expenses, responsibilities, or losses (including, without limitation, a decrease in value of the premises, damages caused by loss or restriction of space usable or profitable, or any damage caused by the adverse impact in the space market, and any and all the sums paid for the arrangement of claims, attorneys' fees and experts' and consultants' fees), that may arise during or after the term of the lease and that may arise as a result of this contamination by the Lessee. This indemnification includes, without limitation, any and all the expenses incurred by reason of any investigation of the location, or any cleanness, removal or restoration ordered by any federal, state or local agency or political subdivision.

G. As used herein, the term "Hazardous Substance" means any substance that is toxic, flammable, reactive or corrosive and that is regulated by any local, Commonwealth or federal authority. "Hazardous Substance" includes any and all material or substance as defined as "hazardous wastes", "extremely hazardous wastes" or a "hazardous waste" according to state, federal or local law authority.

H. The Lessee shall not provoke nor allow that any hazardous material is brought or maintained, used inside or near the leased premises, by its agents, employees, contractors, or invitees, except that hazardous material that is necessary and useful to the business of the Lessee.

Any hazardous material allowed within the premises or facility [and] all its packages, shall be used, maintained, stored and disposed of in a manner that complies with all federal, Commonwealth and local laws applicable to that hazardous material.

The Lessee shall not discharge, leak or allow any material to be discharged, leaked or launched to the atmosphere, surface, sewer system or any body of water, as long as that material (as well as reasonably determined by the Ports Authority or any government authority) infects or contaminates or may infect or contaminate the same or may adversely affect: (a) the health, the welfare or the safety of persons, whether inside or outside the premises or the facility; or (b) the condition, use or enjoyment of the building or any other personal or real property.

At the beginning of each year of the lease, the Lessee shall reveal to the Ports Authority the names and the approximate amounts of all the hazardous material that the Lessee proposes to storage, use, or dispose of, at the premises or facilities during the year of the lease. In addition, at the beginning of each year of the lease,

beginning with the second amounts of all the hazardous material that may have been used, stored, or disposed of at the premises if these materials have not been previously identified to the Ports Authority at the beginning of the previous leased year.

As used herein, the term "hazardous material" means: (a) any "hazardous waste" as defined by the Resource Conservation and Recovery Act of 1976, as amended from time to time, and the regulations promulgated therein; (b) any "hazardous substance", as defined by CERCLA (Comprehensive Environmental Response, Compensation and Liability Act of 1980), as defined from time to time and the regulations promulgated therein; (c) any oil, petroleum product or its derivatives; and (d) any substance that is or may be regulated by any federal, Commonwealth of Puerto Rico or local authority.

The Lessee agrees that it shall be completely responsible of all the expenses and disbursements related to the use, storage and disposal of hazardous materials maintained in the premises or the facility, and shall notify immediately to the Authority of any violation or potential violation of the previous section. The Lessee shall defend, indemnify and maintain the Authority, and its agents free of liability from and against any claims, complaints, penalties, sanctions, responsibilities, arrangements, damages, expenses, disbursements (including, without limitation, attorneys' and consultants' fees, costs and litigation disbursements) of any kind or nature, known or unknown, contingent or of any other type, that may arise from or that are related to: (a) the presence, disposal, launch or launch threat of any of these hazardous materials that are in, from or affecting the surface, water, vegetation, buildings, personal property, persons, animals, or of any other kind; (b) any personal injury (including illicit death) or

damage to the property (personal or real) that may arise or is related to this hazardous material; (c) any litigation brought or threatened, agreement reached or government order related to that hazardous material; or (d) any violation of any applicable law. The provisions of this section shall be in addition to any other obligations that in law or in equity the Lessee may have towards the Authority and shall survive the transactions herein contemplated, as well as the expiration of this lease.

ARTICLE 28. OTHER PROVISIONS

A. The Lessee shall not be relieved from the past, present or future compliance of its obligations by the fact that the Authority, on one or more circumstances, does not require or insists in the compliance of the same; nor shall it be understood that the Authority has renounced to demand the compliance or execution of the terms, pacts or conditions of the present Agreement at any time, understanding that the contractual obligations of the Lessee shall continue in all their force and effect; providing that the receipt and acceptance of the rent shall not be considered as a release of any breach or infraction on the part of the Lessee of what has been provided contractually nor shall invalidate or impair the effectiveness of the cancellation or its notification, except that it is expressly agreed in writing by the Authority.

B. The successors, trustees, administrators and assigners of the Lessee shall be obligated by the pacts and conditions herein contained.

C. This Agreement shall have no effectiveness whatsoever until the Lessee complies with the requirements of bond, cash deposits and insurance policies that are herein established, and the Authority shall not be obligated to the conditions herein

contained until the Agreement is signed by the Executive Director or its authorized representative.

D. In the event that the Lessee has a complaint or claim in regard to the authorized operations under this Agreement, or of any other nature, it shall do so in writing, addressed to the Executive Director of the Authority, by certified mail, return receipt requested.

E The parties in this Agreement stipulate to submit to the jurisdiction of the Judicial District of San Juan, Puerto Rico, to clarify any legal controversy that may arise under this Agreement.

F. The contracting party certifies and guarantees that at the time of executing this Agreement it has rendered its income tax return during the five (5) years prior to this Agreement and that it does not owe any contributions to the Commonwealth of Puerto Rico or to the Center for the Collection of Municipal Income (CRIM), or that it is complying with any terms and conditions of a payment plan.

All the sub-lessees designated by the principal Lessee shall also comply with the certification requirement indicated previously.

The principal Lessee shall be responsible of requiring from all its sub-lessees said certification and to notify the Authority of the compliance with the same. This obligation shall be continuous during the term of this Agreement.

G. The contracting party certifies and guarantees that at the time of executing this Agreement it has paid the contributions for unemployment insurance, temporary disability and social security to drivers (whichever may apply), or it is under a payment plan with which terms and conditions it is complying.

It is expressly recognized that these are essential conditions to the present Agreement and, in the event the previous certifications are not correct, in all or in part, it shall be sufficient cause for the Authority to terminate the Agreement, and the Lessee shall have to evacuate and surrender the leased facilities immediately.

H. The Lessee certifies that, as of the date of execution of this Agreement, it has no relationship whatsoever that may create conflict of interests, as specified by the Governmental Ethics Act, throughout the duration of this Agreement.

I. The Lessee agrees to present to the Authority every year a copy of the Annual Corporation Report that it files at the Department of State of Puerto Rico

J. This Agreement cancels [Agreement] AP 92-93-(4)-122 and AP 96-97-(4)-123.

IN WITNESS WHEREOF, the appearing parties sign this Agreement on the date indicated above.

PUERTO RICO PORTS AUTHORITY

ISLAND STEVEDORING, INC.

[Signed] Mr. José G. Baquero
Executive Director

[Signed] Mayra Villalón
S.S. 660-38-8864

Reviewed and recommended by:

[Signed] Mr. Alfredo Martínez
Chief, Tariff Matters

[Signed] Mr. Edwin Rodríguez
Chief, Maritime Bureau

Drafted, reviewed and recommended by Waldo F. Rodríguez Ortiz, Esq. of the Legal Division of the Puerto Rico Ports Authority, stating that the same includes all the clauses and conditions required by the Ports Authority for this transaction.

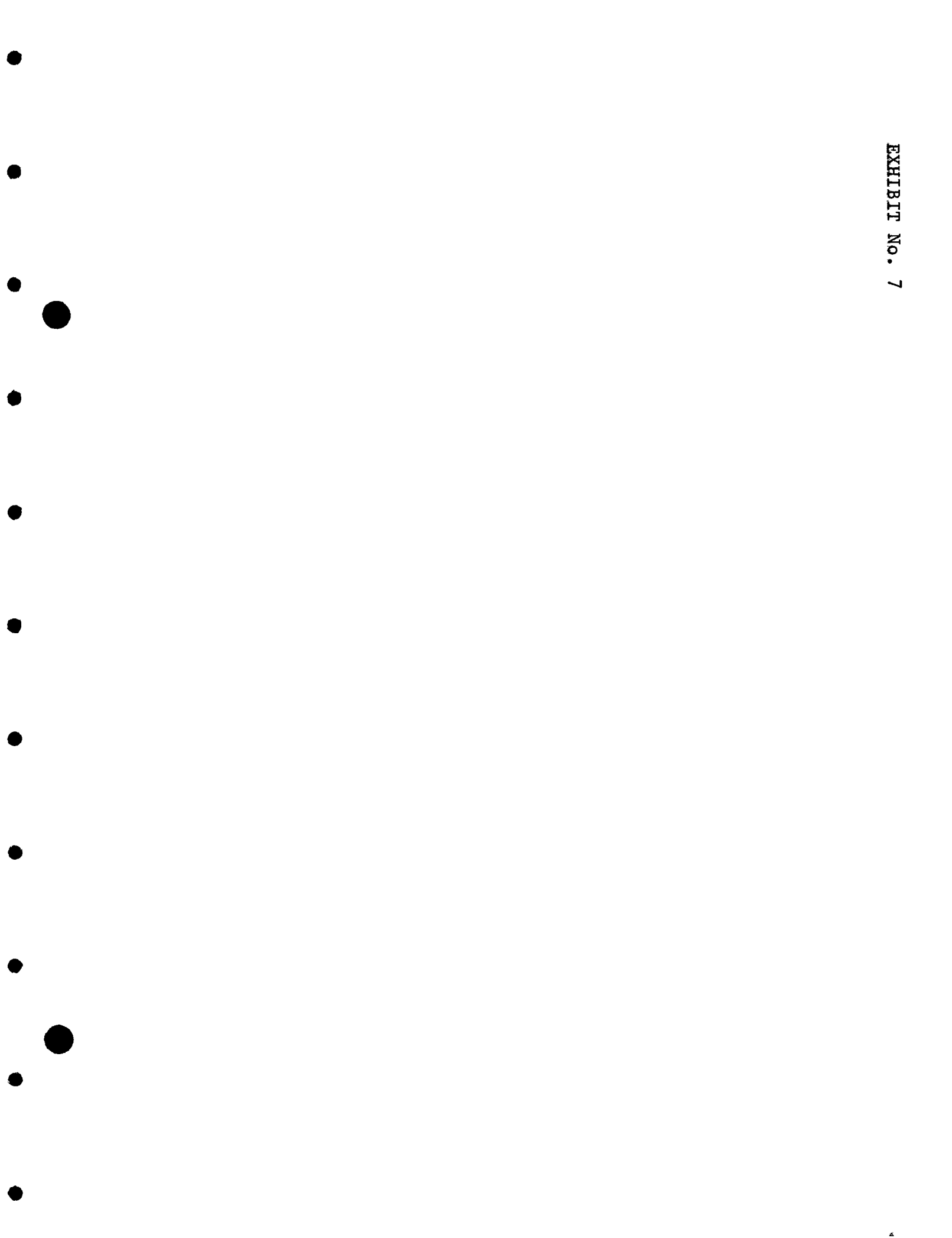
[Signed] Waldo F. Rodríguez Ortiz, Esq.

Reviewed and recommended by:

[Signed] Miguel A. Castellanos, Esq.
Acting General Counsel

CONTRACT NO. AP 01-02-(4)-079

/jms





30 de abril de 2001

Sr. Julio Ortiz
Odyssea Stevedoring PR, Inc.
PO Box 9023895
San Juan, PR 00902-3895

Estimado señor Ortiz:

Hacemos referencia a su carta del 18 de abril de 2001 donde nos solicita el uso ininterrumpido de los Muelles 15 y 16 para sus operaciones de atraque y desatraque.

Deseamos señalarle que la nueva política de la Autoridad de los Puertos es la de no organizar áreas preferenciales.

Esto basado en nuestro interés de fomentar el uso de nuestras facilidades en una forma más amplia y variada, que sea económicamente beneficiosa para la Autoridad y no comprometiendo las pocas existentes.

Atentamente,


Edwin Rodríguez Colón
Jefe
Negociado Marítimo

ERC/AMB:wipo

CDYSSEA STEVEDORING PUERTO RICO INC.

April 18, 2001

Ldo. Miguel Pereira
Director Ejecutivo
Autoridad de los Puertos
del Estado Libre Asociado de Puerto Rico

Estimado Sr. Director,

Según le informé durante nuestra reunión del pasado 26 de marzo, Odyssea lleva más de cinco (5) años tratando de alquilar un Muelle desde donde continuar sus Operaciones de Estiba. En dicha ocasión discutimos la necesidad de adquirir unas facilidades que permitan el atraque ininterrumpido de nuestros Barcos.

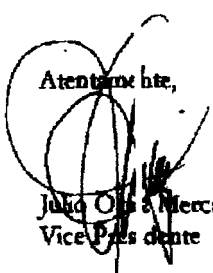
Señalamos también las dificultades potenciales que enfrenta Odyssea luego de que se le otorgara, arbitrariamente, un Contrato de Uso Preferencial a la Compañía HUAL Lines sobre el Muelle #15. Dichos problemas se materializaron el día 16 de abril de 2001, cuando atracó nuestro ITB THUNDER & LIGHTNING, en el Muelle 15. El Negociado Marítimo de la Autoridad autorizó el atraque bajo la advertencia de que el barco CARIB STAR de Puerto Rico Line (HUAL) tenía preferencia y se exigió que el ITB THUNDER & LIGHTNING desatracara antes de la llegada del CARIB STAR el día 17 de abril de 2001. Esto nos obligó a interrumpir nuestra descarga e incurrir en gastos extraordinarios de "overtime", uso de prácticos, remolcadores (doble alquiler), amarre /desamarre (triple servicio), etc.....Para poder cumplir con las restricciones impuestas por el Negociado Marítimo nos vimos obligados a trabajar de noche una descarga de acero, lo que pone en riesgo la vida de nuestros obreros y compromete la seguridad en el Muelle y la bahía en general.

Esta situación es insostenible, tanto económicamente, como en términos de la seguridad en el Muelle y las obligaciones laborales y regulatorias que rigen esta industria.

Deseamos traer este asunto nuevamente ante su consideración debido a carácter urgente del mismo. Esperamos llegar a una pronta y económica solución a este asunto en nuestra próxima reunión del 30 de abril de 2001.

Muy agradecidos por su cooperación sobre el particular, quedo.

Atentamente,


Julio Ocasio Mercado
Vicepresidente

cc/ Sr. Elwin Rodriguez - Negociado Marítimo
Ldo. José G. Baquero - Asesor Legal General

EXHIBIT NO. 7-A

PORTS AUTHORITY
COMMONWEALTH OF PUERTO RICO

April 30, 2001

Mr. Julio Ortiz
Odyssea Stevedoring PR, Inc.
PO Box 9023895
San Juan, PR 00902-3895

Dear Mr. Ortiz:

Reference is made to your letter of April 18, 2001 wherein you request the uninterrupted use of berths 15 and 16 for your operations of tying and untying.

We wish to indicate that the new policy of the Ports Authority is not to grant preferential areas.

This is based on our interest of promoting the use of our facilities in a more extensive and varied manner that is more economically beneficial to the Authority, and without compromising the few facilities currently in existence.

Cordially,

(Signed) Edwin Rodriguez Colón
Chief
Maritime Bureau

ERC/AMB/wpo

ODYSSEA STEVEDORING PUERTO RICO, INC.

PIER #15

SAN JUAN

Phone 7251065 / Fax 7251035

April 18, 2001

**Miguel Pereira, Esq.
Executive Director
Ports Authority
Commonwealth of Puerto Rico**

Dear Mr. Director:

As I had informed you during our meeting of March 26th, for more than five (5) years, Odyssea has been trying to rent a berth from which to continue its stevedoring operations. On said occasion, we discussed the need to acquire some facilities that would allow the uninterrupted berth of our vessels.

We also stated the potential difficulties that Odyssea encounters after arbitrarily granting HUAL Lines a contract for preferential use over Berth #15. Said problems materialized on April 16, 2000, when our ITB THUNDER & LIGHTNING arrived at Berth #15. The Maritime Bureau of the Authority authorized the berth under the warning that the vessel CARIB STAR, of Puerto Rico Line (HUAL), had preference and it was demanded that the ITB THUNDER & LIGHTNING be removed before the arrival of the CARIB STAR on April 17, 2001. This forced us to interrupt our unloading and to incur in extraordinary overtime expenses, use of practices, tugs (double rent), tying and untying (triple service), etc. In order to comply with the restrictions imposed by the Maritime Bureau, we were forced to work a steel load during the night, which put at risk the life of our workers and compromised the safety of the berth and the bay in general.

This situation is untenable, both economically, in terms of safety at the pier, and the labor and regulatory obligations that govern this industry.

We wish to bring this matter to your attention again due to the urgent nature of the same. We hope to reach a prompt and economic solution to this matter at our next meeting of April 30, 2001.

Appreciating our cooperation in this matter, I remain

Cordially,

(Signed) Julio Ortiz Mercado

**cc: Mr. Edwin Rodriguez – Maritime Bureau
Jose G. Baquero, Esq. -General Counsel**